

Cochin Shipyard Ltd. (COCHINSHIP)

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Call: Jun 2023

in

Dear Sir / Madam ,

Subject : Transcript of Investor / Analyst Conference Call to discuss the financial results of the Company for the quarter and year ended March 31, 2023

1. Further to our communication with respect to the conference call to discuss the financial results of the Company for the quarter and year ended March 31, 2023, please find attached herewith the transcript of the said conference call conducted on Wednesday , May 31, 2023 at 10:00 A.M.

2. The above is for your information and record please.

Thanking you,
For Cochin Shipyard Limited

SEC/48/2017 -63 June 06, 2023

The Manager
Compliance Department
BSE Limited
Phiroze Jeejeebhoy Tower
Dalal Street
Mumbai – 400 001 The Manager
Compliance Department
The National Stock Exchange of India Ltd.
Exchange Plaza
Bandra – Kurla Complex, Bandra (East)
Mumbai – 400 051
Scrip Code/Symbol: 540678/COCHINSHIP
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“Cochin Shipyard Limited
Investor and Analyst Conference Call ”
May 31, 2023

Management : Shri Madhu S. Nair, Chairman and Managing Director
Shri Jose V J, Director, Finance
Shri Rajesh Gopalakrishnan, Chief General Manager, Ship Repair
Shri Harikrishnan S., Chief General Manager, Ship building
Shri Syamkamal N., Company Secretary

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Moderator: Good morning, everyone, and welcome to the Cochin Shipyard Limited Investor and Analyst Conference Call to discuss the financial results of the company for the quarter and year ended March 31, 2023. Please note that the conference call will include forward -looking statements. These statements are made on the basis of the company's views and assumptions as of this time and are not guarantees of future performance.

As a reminder, all participant lines will be in the listen only mode. And there will be an opportunity for you to ask questions after the opening remarks of the management, at that time participants on the webcast may click on live interaction button which will be enabled below the media player. Today's session will begin with a brief introduction by the management of the company, sharing their views of the overall company's performance and strategy. This will be followed by a Q&A session.

Now I welcome the management of the company represented by Shri Madhu S. Nair, Chairman and Managing Director; Shri Jose V J, Director, Finance; Shri Rajesh Gopalakrishnan, Chief

General Manager, Ship Repair; Shri Harikrishnan S., Chief General Manager, Ship Building ; and Shri Syamkamal N., Company Secretary, to the call.

I now hand over the proceedings to Shri Madhu S. Nair, Chairman and Managing Director, Cochin Shipyard Limited.

Madhu S. Nair: Thank you very much. Good morning to all present in this con call. And as briefly mentioned, I'm joined here with Director, Finance, Mr. Jose V J; Chief General Manager, Ship Repair, Mr. Rajesh Gopalakrishnan; Chief General Manager, Shipbuilding, Mr. Harikrishnan; Company Secretary, Mr. Syamkamal.

In fact, we have uploaded a brief presentation on the exchanges and I'll quickly go through a few of those. In fact, we have touched upon salient and major aspects of the operational events of the year that's been completed. We feel it was necessary and it is necessary to offer a set of clarifications on the financial results, especially which came in the Q4 of FY '23, and these clarifications are split into two parts.

One is essentially touching upon the operational part, and the other part is a set of financial reasons. Then we have a brief on where the company is presently and what is a broad outlook into the future. We also touch up on the infrastructure projects ongoing in the company and certain novel and green initiatives.

For the year FY '23, the most important delivery was that of the indigenous aircraft carrier, which was commissioned by the Honorable Prime Minister in August of 2022. In addition to this, there were various other projects like the Floating Border Out-Post of the Ministry of Home Affairs, which we have delivered, the final lot has been delivered. We have delivered 7 vessels out of 23 to the Cochin Water Metro, which again was inaugurated by the Honorable Prime Minister, and it's given the company a lot of good visibility and appreciation in the market.

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And as we are speaking, like 9 vessels have been delivered, 7 in the last financial year and after that, 2 more have been delivered, so 9 have been delivered. The 500-passenger vessel for the Andaman & Nicobar administration was delivered. Two autonomous electric barges for ASKO Maritime in Norway was delivered. And this while from a financial point of view are not large projects. But from an impact, visibility and the future road map point of view, very important projects because these 2 projects came from Norway during the thick of COVID and the vessels have been delivered now, and these are -- once fully deployed, these will be among the world's first fully autonomous ferries. This will be used to transport cargo for this group called ASKO, which is amongst Norway's leading grocery chain group.

So they use

this as part of the greening and electrification efforts. They are calling these water drones. So we are very happy to be part of this project. It's been delivered. And reportedly, information coming in is these vessels are doing good.

Also, these were the deliveries that I just covered. The other highlights have been the 1,200-passenger vessel for A&N administration was launched. We are facing some difficulties on that project, which I can touch upon as we move forward. The most important project that is ongoing in the company after the formal delivery and commissioning of the aircraft carrier is that of the 8 numbers ASW Corvettes, which we are building for the Indian Navy. And all these vessels are in various stages of construction now, especially on the hull and the steel platform side.

The outfit part is yet to start, just about starting on the piping and other part. But in the last financial year, FY '23, steel cutting, keel laying of various vessels have happened on the ASWSWC project. Eight numbers, 7,000 deadweight multipurpose vessels being built for a German client. So that project is also in the hull construction stage now. And these contracts were secured in March of 2022.

Also, the company is proceeding with construction of arguably India's first hydrogen fuel cell vessel, which again could be the company hopes while this is not a financial point at this stage, but from a technical point of view, the company would be among the leaders in this technology. We are hoping to complete this project by September of this year, September 2023, and start with the initial pilot trials in the backwaters of Cochin.

Coming to the financial performance, it's been uploaded. I'm not getting into the details on the financial performance. We have -- in addition, we have put a slide which is showing the breakup between Shipbuilding and Ship Repair. And I would think most of the members on this con call would have some queries or concerns regarding a bit of an abnormal dip in the Q4 figures. And I think from the management side, it is imperative that we offer a set of clarifications on this.

And these clarifications, as I briefly mentioned, comes from 2 parts: one is an operational and a technical part. The other one is the financial part. So let me first start with the operational part, and then I will request our Director, Finance to explain on the financial part. On the operational

part, I'm splitting this into 4 themes.

Essentially, I just want the stakeholders to appreciate that in shipbuilding, whenever you get a contract, there is a timeline after signing of the contract, then you go through design and engineering and procurement of equipment. And then you get into steel fabrication and block making, followed by outfitting, when the ship takes shape and the outfitting happens. And then you get into commissioning, sea trials and ultimate delivery of the vessel.

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So technically, for a normal ship, for a conventional simple straightforward vessel, this initial part, from a contract to the design and engineering and when you start steel fabrication and go with the block making, that's typically about one year. And it's at the end of a year from a contract, maybe around 11 months, maybe around 12 months, maybe 13, 14 months. And that duration is when we actually get into the steel fabrication part.

So for revenues to flow in during FY '23, company should have secured orders well prior to the close of FY '22. And this was a time immediately after COVID when international ordering was largely getting constrained. The initial set of orders happened globally at the top league shipyards in the world like the Korean and some of those top-end Chinese, Japanese shipyards. And the global market was holding on to final ordering while a lot of discussions were happening. The ordering was not happening during the

latter part of FY '22 because of various uncertainties in the market. But this got released and Cochin Shipyard could secure only 2 contracts. And that too in March 2022, which was number one was ASKO projects, which I mentioned, the 2 ASKO projects, and then we also received -- the ASKO projects were received in FY '22 even prior to March. But in March, we received 2 contracts, which were -- one was a dredger, 12,000 cubic meter dredger for an Indian listed dredging company, and 8 numbers of multipurpose vessels for the German client, which I just mentioned a bit earlier.

For the ASKO vessels, which we received earlier, we could actually proceed and we could complete and deliver that project in FY '22 and revenues also accrued during FY '23. But the other vessels, which we secured, the German vessels and the dredger could not -- in a normal method, they wouldn't transfer into revenues during FY '23.

We tried. This is the second thing. We tried on that German vessels because the German vessels, the 8 numbers, 7,000 deadweight multipurpose vessels were largely simple straightforward merchant vessels. We tried to see whether we could extract about 2 or 3 months of steelmaking revenue out of it. But due to a set of reasons, especially a client-nominated design house in Europe could not match up to our pace of requirements on the design and engineering. So we could not actually get any revenues out of the multipurpose vessels.

Similarly, that dredger contract with the Indian dredging company, which we signed in March 2022. We are hoping that because it was all done, we are in partnership with a company called IHC Holland, which is the world's number one dredger company. And this dredger, it's a big budget, 12,000 cubic meter. It is being -- such large dredger is being built in India for the first time. And under the Atmanirbhar Bharat initiative of the Government of India, teaming up with IHC Holland, and we are building up this dredger. That contract was signed with the client in March, hoping that it would get effective very fast.

Within about April, we were expecting it to get effective, when we say contract getting effective, that is when CSL receives the first stage payment in our accounts, and that is the date from which

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the delivery date. This vessel is 34-month delivery period. So that delivery date starts from the date of effectiveness.

However, this particular project, the clients needed to draw forex loans from Netherlands and that again took a lot of time to get financial closure because RBI clearances were involved and all those clearances for the client took time. And while Cochin Shipyard backed it up continuously along with IHC, the client took time till November '22 for those projects also to get effective. So we could not draw any revenues from that particular project also.

The ASW SWC project. So these were the projects which we could actually do during FY '23 in addition to the aircraft carrier. And we did significant work on the ASW SWC, but that was all largely in the steel part of it. And the steel part on the ASW SWC turns out much less revenues. There is a financial part also, which Director, Finance will explain. Again, we were hoping to draw a little bit of, after the steel part, a little bit of the outfit revenues, which would have been given a much more better turnover.

We were expecting to do this. In fact, we were expecting the main engines for the first vessels to come in from Europe, from Germany, and these were to reach Cochin in February 2023, so that we could have at least installed those engines and drawn the revenues. But those -- due to the Ukraine war situation and certain additional export restrictions on dual-use technologies from Europe, it took a lot of time for clearances and even as we are speaking, the engines have not been shipped out of Germany.

We are hoping that this will be shipped out in the second week of June. All issues have been sorted out. Our mission in Europe and the Ministry of Defense and the Indian Navy has worked very hard on getting all these clearances, and this is also coming in now.

So the four large things impacting our operational part was, orders which could reflect our turn into revenues during FY '23, was lacking. Whatever a little bit on the German vessels and the dredger, we could not drive revenues out of those 2 projects. And we were constrained with the ASW SWC. And that was again on the steel part, we could not drive revenues out of the outfit part on it. So this was the operational part.

There has also been a financial part, which is essentially an estimation rework. And you are aware that the ASW SWC project was signed some time back. And now construction activity has picked up. There were certain things needing clarity, and clarity has emerged because all the major equipment purchase orders and orders have been placed for the ASW SWC vessel, and there were 2 major sensors. I will use the word sensors, but these are the 2 sensors for which the ship is actually being built. These 2 sensors are costing about approximately, it could be close to 15 percentage of the cost of the project itself, cost of the vessels itself.

And now these were initially to be procured in a particular fashion. CSL had actually gone ahead and placed orders for one of these sensors in a European country. And for the other one also, we had actually finalized with another European country. But there has been a lot of discussions due to a variety of set of reasons, which I can't discuss at this point here. But you're aware that this is 8 ships being built by Cochin Shipyard and 8 ships being built by another shipyard in India, so 16 vessels of this type are being built in India.

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But it has been decided after discussions at the highest levels in the country, in the Ministry of Defense, including discussions at the level of the Raksha Mantri and subsequently at the level of Defense Secretary. Decisions have been taken that all these sensors will now be made in India. And this decision has been taken in January 2023.

Now with these decisions taken, with clarity on the all equipment that's been ordered, we were noticing that this particular project, the steel part or the hull part was of much lower revenue value than a normal template, which we adopt in our normal vessels. And we thought that it is required to have a re-estimation of the project.

The good part is we are now very clear the members, the stakeholders would appreciate that there has always been a bit of a concern on this project because people have raised questions that these projects were contracted at a point of time when the U.S. dollar to the rupee was at an entirely different level. And now with the present forex levels, there has been concerns whether the project will have financial negative impact. But the management is happy to report that the project is actually -- on the total project, we can say that there is going to be, on the revised estimates, there is going to be a significant profitability that will come in on the project.

But with the revised estimates, what we had to do is -- what we did is on the hull part or the platform part or the steel part, whichever way you would understand it better, we have shifted revenues onto the outfit part. We felt we should not recognize that much of revenue on the steel or the hull part. And instead, we have shifted it on to the latter part. It is not a reduction in any revenue. The turnovers are being shifted onto the latter outfit part and since we had to do it, we had to -- whatever we did in Q1, Q2 and Q3, we had to take it into Q4, along with the impact of Q4. So that entire impact on shifting revenues from the steel part

or the hull part onto the outfit

part was taken in Q4. So this is why you see a significant dip in the turnover part and straightaway, that figure which Director, Finance can explain. Jose, if you can just explain a bit more than what I have explained.

V J Jose: Yes. Good morning, everyone. My name is Jose V J, Director, Finance. As CMD explained regarding the operational challenges, there were some financial hit in the Q4. CMD briefly touched upon that. So what we do, whenever we get a shipbuilding contract, the contract price will be split into 2 parts. Certain part of revenue will be recognized for the hull part, hull is the platform part of the ship and the remaining part of the contract will be recognized while the outfit part is being completed.

For the ASW project also, we have taken a certain percentage of weightage for hull and outfit. But when the construction activities picked up during '22-'23 and when the re-estimation of all the project estimate has been reworked, as CMD explained, we felt that we are recognizing slightly more than what is required for the hull part. So we thought we'll make that correction in the Q4 so as to make it more prudent and in a more conservative basis, so what we did is that we have reduced the -- some turnover from the hull part and took the entire adjustments in the Q4 for the Q1, Q2, Q3. And that impact is almost around Rs.275 crores to Rs.280 crores turnover, which has been taken into Q4.

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So, the result is that the turnover has been reduced by around that level. And the PBT also, the same impact is there. And this is shifted to the right. Means, all this turnover will be recognized in the remaining part of the outfit. There is only a timing difference.

Madhu Nair: So that was explanation on the results from an operational point of view and from the financial point of view. I'll quickly jump into a view into the future, and then I'll come and touch upon opportunities and current status on the capex projects.

We are generally happy to report a good and robust future order position. It's in the slide presented. About Rs.21,400 crores is the order book for the company. These are firm orders. And very happy to inform that in addition to the 8 ASW SWC Corvettes, the company has now signed contracts for 6 numbers, Next-Generation Missile Vessels for the Indian Navy and total project value, Rs.9,805 crores. The contract has been signed on the 30th of March 2023, and the company has also received the initial stage payments.

The company has also been successful -- I explained about the dredger contract. And there are vessels further to be delivered to the Cochin Metro. But we're also very happy to report contracts for CSOV vessels from Europe and also zero-emission feeder container vessels from Europe. And in the subsidiary company, especially in Udupi Cochin Shipyard Limited, company has secured orders for 4 tugs under the new approved standard tug design policy of the Government of India. So that segment is looking good in the subsidiary company.

So Rs.21,400 crores of contracts, and contracts actually executable and revenue which will accrue in FY '24. Because right now, the ASW SWC project, on both the hull part and the outfit part, the engines expected immediately and the outfit part, the German multipurpose vessel contracts, the dredger contract and the CSOV will all get into execution phase in FY '24.

So, the difficulties which we faced because in FY '23, not having projects which are -- not getting into the execution part in FY '22-'23, that is not there in FY '24. We are on much better wicket. Also, looking into the future, order pipeline has been presented in the presentation. We are seeing strong traction from Europe, especially for green vessels. And this is where that Cochin Metro vessels and the ASKO autonomous green vessels becomes very

important because it is those

vessels which has actually set Cochin Shipyard on a good track in the West European green shipping circuit.

So, the CSOVs, which are green vessels, methanol fuel, the zero-emission feeder container vessels, as I mentioned, for a company in Europe, which would be among the world's first hydrogen fueled container vessels, and we are seeing many more possibilities coming from Europe.

We expect we should be successful in some of these, which are at advanced stages for both execution at CSL, Cochin and also Udupi Cochin Shipyard in Udupi. In addition, the company is bidding for this month, June, we are bidding for fast patrol vessels and next-generation offshore patrol vessels to the -- these are AON to the tune of around Rs.4,830 crores.

And there are various RFIs and RFPs, prominently among them, the Next-Generation Corvettes, the Landing Platform Docks and the other NGFAC, FICs, all coming in, which we are putting

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roughly at Rs.35,000 crores of order pipeline, which probably over the next 12 to 15 to 18 months should be turning into RFPs.

So, the company feels good, very positive into FY '24. Even beyond that, Ship Repair looking strong. Ship Repair also, I did not touch upon Ship Repair of last year. Again, Ship Repair performance of last year, we had a set of difficulties. We could not, on a large naval project, which we took in our Mumbai unit. In fact, that was the first time such a large naval project we took in our Mumbai unit. It was a little bit of an aggressive push to make sure that systems work over there because it's a newer system over there, but it did not go exactly as envisaged.

So there has been a dip in Ship Repair FY '23. And at least one large project, which we expected to come to Cochin Shipyard in FY '23, it went to a competition elsewhere in the country. This is something which we are seeing recently. But at the price levels at which that project has gone to the other company, we are surprised and probably Cochin Shipyard would not have wanted that project at that price levels.

But the upcoming FY '24 on Ship Repair also looks good. There are some large projects lined up from the Navy for FY '24. For FY '25, there are larger projects lined up that are -- we had an MOU between Lakshadweep and Cochin Shipyard, which had expired in the past. And it had gone in a different direction because the administration wanted those vessels to be handled in a different direction. But probably, they come back now due to reasons best known to them. They come back. And the MOUs have been signed with Cochin Shipyard, and so that revenue stream is also back. And all in all, Ship Repair also looks pretty good for FY '24.

Before I hand over, just also wanted to touch upon the large investment cycle projects, which we are doing, a new large dry dock and the International Ship Repair Facility, stakeholders would be aware. But the new dry dock project being executed by Larsen & Toubro as turnkey contractor and the big crane to come from Hyundai Korea. We are expecting the project to be completed by December 2023, and there would be a little bit of the final crane installation and other things may remain. But by mid of 2024, we expect the project to be fully commissioned. The ISRF project had run into difficulties with a failure on the turnkey contracting company, which we had to terminate, come out, encash bank guarantees, and then split it into 3 separate contracts. That's also going good.

And December 2023, we are expecting to complete the ship lift and the first 2 workstations, and by mid of next year, the full facility. So the dry dock project is currently at 76 percentage fiscal completion levels, and the ISRF facility is currently at 78% fiscal completion levels. We also mentioned in the presentation certain initiatives we are doing on the zero-emission green vessels,

India's first hydrogen fuel cell pilot vessel, teaming up with a tech company in India to develop the fuel cell and the Indian Register of Shipping.

Company has secured orders from IWA for 2 numbers of electric Catamaran ferries for cities in Varanasi, Guwahati. And company has moved forward with an innovative start-up, maritime start-up fund through -- being implemented through IIT Madras and Indian Institute of Cochin Shipyard Limited

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Management Kozhikode. The company has got Board approvals to proceed and develop a fully Indian autonomous surface vessel, which we feel has got a market possibility into the future. The company has continued to focus good on various people initiatives because the company feels at the end of the day, it's all people driven and both at the executive level who have gone through some of the finest institutes and some of the finest exposures. The workers are also going through various programs.

We're also reaching out strongly to people who have retired from the company, to children of the employees. All in all, the whole intent is to have a happy company, productive company where employees push and employees take ownership, responsibility and work passionately and dedicated for the company. And company is, again, happy to report absolutely comfortable industrial relations across all stakeholders within the organization.

Just touching upon a particular event which has happened in May 2023. Stakeholders may be aware that ministries these days do brainstorming sessions called Chintan Shivir. And the Ministry of Port, Shipping and Waterways had its Chintan Shivir 2 weeks back in Kerala. The entire shipping fraternity led by the Honorable Minister, Shri Sarbananda Sonowal was here. And in line with India's policies, certain decisions have been taken and this has been announced. It's already in public domain. The company feels 2 decisions are very much in favor of the company: one is enhancement of the shipbuilding financial assistance scheme to 30 percentage for promotion of green shipping. For that, exact details are awaited. But presently, the Shipbuilding Financial Assistance scheme is 14 percent. It started at 20 percent. And in 2 tranches, it's come down to 14 percent.

So, if this is 30 percentage, it would be good for Indian shipbuilding. It would be good for Cochin Shipyard to get in more orders for green ships. There is a new policy called the Green Tug Transition policy. I had explained that the earlier approved standard tug design policy of the Government of India and insistence that the major ports procure tugs made only in India, has helped the company.

The subsidiary company, Udupi Cochin Shipyard Limited already secured 4 contracts from Indian private sector to be ultimately deployed in the Indian ports. We hope this Green Tug Transition Programme will also help CSL, CSL subsidiary companies, to actually secure orders in this regard. And CSL is first mover in this space amongst all Indian yards, and we think we

would be having a good traction here.

So all in all, while there has been a bit of a disappointment in the financial results of FY '23, the reasons which I've explained and which I hope the stakeholders would appreciate, understand and also very clearly appreciate that it is as a prudent company, conservative on financials, we felt this is the right thing to do. We were aware that it would actually make an impact on the Q4 results, but we felt this is the way to do because there is nothing on the turnover getting impacted, but it is actually getting shifted on to the right on to the project.

Overall, high levels of positivity, looking at the near future, the next few years. Good order book position. Good order pipeline visibility, split between shipbuilding from the defense side,

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shipbuilding from Europe

and, especially on the green front. And Ship Repair looking strong with at least a few major orders every year for FY '24, FY '25 already in sight. So, the company feels good into the future.

And I think I will stop now and would be happy to take questions. Thank you. Thank you all for your patient hearing.

Moderator: Thank you very much. Ladies and gentlemen, we will begin the question and answers session.

Participants on the webcast may click on the live interaction button below the media player. The operator will take your name and announce your name. The first question is from the line of Parimal Mithani from Credential Investments. As there is no response, we'll move to the next question from the line of Dixit Doshi from Whitestone Financial.

Dixit Doshi: Thanks for the opportunity. A couple of questions. Firstly, on the execution timeline. So, you have given the order book breakup. If you can give an execution timeline for defense, commercial export and commercial domestic separately. And in defense, if you can mention about NGMV and ASW Corvette separately?

Madhu Nair: I can give you an approximate guidance because it would be difficult for me to explain the whole schedules. But on the ASW Corvettes, as I said, the vessel is -- the first vessel -- first 3 vessels are expected to be launched from our dock this November, November 2023. So, it's 3 vessels simultaneously getting launched November 2023. And the first vessel to be delivered to the Navy in November 2024.

And thereafter, 2 vessels every year. That's on the ASW vessels. On the NGMV vessels, we have signed a contract in March 2023. And the first vessel is 48 months from delivery from contract date. And thereafter, one vessel every year.

On the other main vessels, the dredger contract, as I said, November -- is November 2022 is when it got effective. The delivery date is 34 months from contract signing. We are expecting to cut steel for that vessel, in September 2023. The German 8 numbers, multipurpose vessels, which we are building, the first vessels. I explained the first vessel. From an original contract point of view, the first vessel's delivery was January 2024. That is getting shifted by about 4 months now on to the right. The owners are in it. We have the buy-in over there.

So, after that, entire vessels get delivered in about 18 months thereafter.

Dixit Doshi: And second question is in this -- we have given the Rs.700 crores approx orders of ship repair. I assume that ship repair, we generally give the next one -year execution.

Madhu Nair: Correct. We have actually given -- ship repair, you're very right. Like, see, we are not in a position to exactly give a figure. But I can confidently say that the execution would be higher than that figure. We can guide you towards a figure of around Rs.900 crores for FY '24 on Ship Repair. We are looking very good.

Dixit Doshi: What kind of Shipbuilding revenue we can expect next year?

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Madhu Nair: We would guide you around Rs.3,000 crores.

Dixit Doshi: Rs.3,000 crores. Okay. And what kind of margins we expect in both the segments separately?

Madhu Nair: Margins. Margins in both the segments, Shipbuilding and Ship Repair.

V J Jose: Shipbuilding is a round -- on an EBITDA level, Shipbuilding will be around 12 percent to 13 percentage. And Ship Repair will be around 18% to 19%. So blended will be around 14%, 15%.

Dixit Doshi: Okay. Now if I see the results, there were two more. So, you have given clarification on most of the issues. But there are two notes to account, one is regarding the shipbuilding contract with Andaman and Nicobar, where we have recorded the LD. So, I mean how much was the LD in FY '23? And what is the status of this order now?

And secondly, there was some exceptional income of Rs.62 crores, if you can explain that as

well?

Madhu Nair: Jose, can you expl

ain the Rs.62 crores, I'll explain the A&N.

V J Jose: Yes. See, as CMD mentioned, we have two major capex. Out of that, one capex is ISRF, that is International Ship Repair Facility, which we are doing it in a lease port land from the Cochin Port Authority. So there, we are paying lease rent every year to the Cochin Port. And, we were charging the lease rent to the P&L every year. But this year, what we have done is that as per the advice from the statutory auditors since that lease is being taken for the project, that lease rent paid from the date of effectiveness of the environmental clearance that has been capitalized to the project. So those lease expenses, we already charged to the P&L, has been taken as one-off income. That is around Rs.62 crores come as one-off in the Q4.

Madhu Nair: Regarding the Andaman & Nicobar vessels. Actually, these were -- there were four vessels which we concluded with Andaman & Nicobar. These were in 2016 March, the Ministry of Shipping and A&N administration was involved. So, there were two 500-passenger vessels, which have subsequently been delivered and are in operation in Andamans. And then there are two 1,200-Pax vessels.

Now due to a set of reasons, Andaman & Nicobar administration, because of changes in flight preference, travel preferences, improved flight connectivity into the islands, the Andaman & Nicobar administration has informed the government that they probably would not be too keen to take these vessels. And they requested the ministry to try and see alternative use for these vessels. Both vessels we have -- Cochin Shipyard already secured -- 80 percentage payments have been paid for both the vessels. And both vessels are today launched, completed till the deck level, including everything below the deck level. But above the deck, we have kept it pending because we are not sure which -- what kind of function the vessel would be looked into.

One of the vessels is being looked at by the Indian Navy as a National Hospital Ship. There have been advanced levels of discussion on one of the vessels. The second vessel is being currently looked at by another government agency as also a potential use by one of the other island territories in India. I'm not in a position to discuss this because these are in the discussion stage.

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But your question, we hope it's been rather difficult for us because these vessels are under a contract. The contracts are still valid. 80% of payments have been received. But we are not in a position to move forward and complete these vessels because what exactly, if it's a hospital ship, we had to do a set of conversion and design engineering changes and the conversion. If it's the other national agency, also there is a bit of a conversion. And if it's the Island territory which you are talking about, there may be some readjustments that is to be done. But we hope it is not too late now that the ministry is also fully involved on this, we would be having effort reassignment on these vessels, and we'll keep the stakeholders post around this.

Dixit Doshi: So how much LD we have recorded already in this?

V J Jose: See, actually, now since there is a valid contract with Andamans, as per the terms of the contract, we need to provide for LD in the accounts. But since the delay is not because of ours, we may not have to pay any LD. But in a prudent manner, we have been providing LD in the accounts. And almost we have -- so far, we have provided LD almost 20 percent of the contract price. But now we have decided that further LD we will not provide. So, the statutory auditors wanted this to disclose in the notes to the accounts.

Dixit Doshi: Contract size?

Madhu Nair: Contract size approximately Rs.409 crores each vessel. So Rs.409 crores into two vessels.

V J Jose: Two vessels.

Dixit Doshi

i: And this is included in the current order book or it's right now not there in the order book of Rs.21,000 crores?

Madhu Nair: It is in the current order book.

V J Jose: The remaining part of execution is there in the Rs.21,600 crores order book.

Dixit Doshi: So, 80% is already over. The remaining part is there in the order book?

V J Jose: Not 80%.

Madhu Nair: We have put it Rs.295 crores included in the current order book. Out of Rs.409 crores into two, now the pending, what we have included in the order book is Rs.295 crores.

Moderator: Thank you. We have the next question from the line of Parimal Mithani from Credential Investments. Please unmute yourself and proceed with your question. We'll move to the next question, which is from the line of Aditya Mongia from Kotak Securities, please unmute yourself and go ahead with your question. We'll move to the next question from the line of Vijay Goel from ICICI Securities. As there is no response, we move to the next question from the line of

Pratiksha Daftari from Aequitas Investments. Please proceed with your question.

Pratiksha Daftari: So, my question is that we have guided for in the Shipbuilding side, EBITDA margins of 12% to 13%. Historically, we've been able to do higher than that. So how does the margin profile change in terms of the stage of project that we are in? And does it have – like, is it very different
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for the outfitting part, or is it very different for the steel cutting part? If you could elaborate a little bit on that?

Madhu Nair: See, actually, the margin profile, what we are actually guiding right now is you are aware that we have had the indigenous aircraft carrier, which the entire stakeholders would be aware that would -- was at a slightly more higher margin profile.

Now these days, like both the naval projects we have, are coming from competitive bidding basis. The international contracts we are having are from negotiated, but again competitive basis. So, the margin profile on Shipbuilding, while the volumes would be there, the margin profile would be a notch lower.

Pratiksha Daftari: So, going ahead, what would be sustainable margins? And what -- if at all we were to head competitive bidding, in future projects as well, then what is the margin that we would price in at the time of bidding?

Madhu Nair: That's a very, very tough thing to answer because that's actually really in the competitiveness. I will not be able to give an exact figure on that. But then I would think 12%, 13%, 14 % on a competitive bidding. But if competitive bidding, we sense that it may not have too many participants or we are having a higher chance, maybe it could be 100 basis points higher for the international contracts. It could be some of these green vessels, maybe we have again 100 basis points, 200 basis points more.

So, it's somewhere around that figure. I would just guide towards the figure, which is 12 -ish, 13, 14 kind of a thing. And then an exact figure bid -by-bid, depending on the circumstances we move forward. Certainly, for example, the NGMV. See, it's a bid with a very high volume because it's a Rs.9,000 crores, Rs.9,800 crores contract. So naturally, companies like ours, and I'm sure most of our competitors would not mind losing 100 basis points, 150 basis points lower over there and getting that strength of a large order.

But if I'm bidding towards a Rs.200 crores or a Rs.300 crores contract, I may adopt a little bit of a different strategy. That is why I said I can't exactly give you a figure, but it depends. So we have today from the naval side, we have secured two large contracts. And on the first contract, as I said, on the ASW vessels, which again, you are aware, we had bid at a very tight margin at a time where the forex was entirely different.

And now to the credit of the company, and I can say that we are

on that Rs.6,400 crores contract.

I can guide you towards overall profitability of more than Rs.800 crores. So, I think I would reiterate you to read beyond that at your end. It would be difficult for us to give you exact figures. But I can guide you for more than Rs.800 crores profitability on those projects.

Moderator: Thank you. We'll take the question from the line of Aditya Mongia from Kotak Securities. We'll take the next question from the line of Sai Pasupuleti from Kotak Securities. As there is no response, we'll move to the next question from the line of Brajesh Jhawar, individual investor. Please proceed with your question.

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Brajesh Jhawar: Thanks for the opportunity. Sir, my first question is regarding ISRF. What revenue should we expect from Ship Repair at consolidated levels post ISRF facility going live? And there is a follow-up question, I'll ask it later.

Madhu Nair: Okay. ISRF. See, ISRF, right now when ISRF goes live, ISRF is one ship lift and six workstations. We'll go live in December with one ship lift and two workstations. The other four workstations will follow shortly.

See, at the end, the ISRF has been with six workstations fully in operation, 70 vessels to 80 vessels per year of medium size. 130 -meter length is the max size of the vessel is what is proposed to be handled in ISRF. Cochin Shipyard of today handles around 80 -plus vessels every year. So, in Cochin, with the Cochin Shipyard of today and the ISRF coming in, we expect both together to handle about 140 vessels, 150 vessels. It is not exactly an addition because some of the smaller vessels we are handling in Cochin Shipyard today, we'll ship to ISRF. So, this is -- and we'll try for larger vessels in the main yard in Cochin Shipyard.

Now your question, what would be the additional revenue? We would guide like in the initial --

I don't know what is at the first year. But put in the initial 24 months, we should see an incremental revenue from ISRF in the range of, say, around Rs.250 crores kind of a revenue coming in. But ultimately, when the ISRF is in full-blown condition, the revenues should be about Rs.500 crores to Rs.600 crores from ISRF. This is the game plan under which we are moving.

Exactly how it will pan out? Give us some more time, and we really need to operate that. But then in the first, give it about 24 months, I think we should see about Rs.200 crores, Rs.250 crores to come in from ISRF alone.

Brajesh Jhawar: Okay, sir. And sir, my follow-up question is there is a tight tanker market and global shipbuilding capacity is down 40% from where it was a decade ago. And commercial oil tankers delivery schedule is Q1 FY '26 if someone books a vessel in a leading shipyard in Korea or Japan. So, what is the company's approach towards securing commercial tankers and dry bulk vessels if there are any orders in the pipeline or if we are planning to execute some, we would garner some of the orders in this space as well?

Madhu Nair: It's a very pertinent question and the global market, especially in the better shipyards have got tightened. Actually, Cochin Shipyard also, with the current set of orders we have and certain things which we are talking, we are also talking well into 2026 at this stage, including we have actually taken in contracts, which will be executed in the new dry dock, which will get, as I mentioned, will be get completed this year-end and fully commissioned mid of next year.

Now the question is about commercial tankers and bulk carriers. See, Cochin Shipyard has always been more comfortable in a niche set of vessels, where we are not working directly into the competitive strength of some of the Chinese shipyards and some of the Korean shipyards. So that is not where we want to go.

So, the straight away that commercial tanker and the classical bulk carrier market, there are very strongly entrenched players in the world. Having said that, what we have been looking at, and if Cochin Shipyard Limited

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you see the order book, we have actually gone in for the CSOV contracts. This, we feel, is an emerging new space.

After oil going down, the wind energy market has come in and the commissioning support and operations vessels, each of these vessels are in the range of EUR60 million kind of vessels. And these vessels can't get placed just like that anywhere in the world. These go only to technically strong companies with European, who are also willing to work along with European technology providers. So, we have sensed that, that CSOV looks a good market for us. The European short-sea market, which is what those German vessels are coming from, and it comes in a bit of numbers. You can see the German vessels are 8 vessels, smaller vessels, but 8 vessels. We are seeing the numbers. Europe short-sea replacement market, market studies say Europe's short-sea vessels average age profile is 19, 20 years, and they will have to definitely change and change when they will have to go for the greener new-generation vessels. We sense more than 2,000 vessels to 2,500 vessels will get replaced in Europe over the next 10 years. We feel this is an emerging market. So, the high-tech green vessels out of Europe, the short-sea vessels in Germany and Netherlands, these were more interesting to us than the classical bulk carriers, which profitability levels are much lower because these are classical things which entrenched shipyards can do very strongly.

But what we are seeing and what we are evaluating is what we are calling the feeder container vessels. Feeder container vessels are the smaller container vessels because the monstrous big container vessels, which gets built in Japan and Korea, have gone very big, 14,000 TEU, 18,000 TEU, 20,000 TEU. So, each of those vessels to evacuate would need feeder assets. And feeder vessels are vessels which would be 700 TEU all the way up to, let's say, 2,500 TEU, 3,000 TEU. We have seen strong traction. At least four leading companies are talking to us. But CSL, we are taking a cautious watch because should we actually go for such vessels or should we go for the more advanced CSOV green vessel. So, we are taking a cautious watch over this as we move forward. We will be -- I think our order intake should be, all going well, should be good. We are fully aware of this tanker market and the bulk carrier market. But we feel there are -- from CSL standpoint of view, there would be slightly better options available elsewhere at this current stage.

Moderator: Thank you. The next question is from the line of Parimal Mithani from Credential Investments.

Please go ahead. Sir, we're not able to hear you. We'll move to the next question from the line of Raj Rishi from DCPL. Please go ahead. The next question is from the line of Abhishek Chaurasiya from Voyager Capital. Please go ahead.

Abhishek Chaurasiya: So basically, in your presentation, you have said that we have missed a few major orders. So, could you please give us clarity on that? What kind of orders were? And what was the quantum of this order? And what were the reasons behind we missed it?

Madhu Nair: That is on ship repair. Ship repair, in fact, see, in Jan to March of 2023, we are actually slotted for a vessel belonging to ONGC. And this is a vessel which we have handled many times in the past. So we were fairly clear on this.
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And that project, our price levels were upwards of Rs.200 crores, but it's gone at, at least 25 % lower price. And that was not something which we were keen on at those levels. Then there was another, again, ONGC project which again has gone at a price which is about just a notch below 20% lower than our price level. That was also close to Rs.

200 crores, which was a project --

both these projects would have been spread over a year of ship repair work.

So, these two projects which we have seen, we're a bit disappointed at this because we were in a strong position on this. But something which we guided in earlier interaction also, we have seen a little bit of a jump by some of our competitors into ship repair. We have been in this business 45 years. We understand where the money comes from and where we can lose big time if that is the case. And we are cautious. We are aggressive, at the same time we are cautious. So, the price levels at which these projects have gone, we hope the markets will realize, the clients will realize at a point of time.

We've already seen something like this on a naval project, which we lost some time back to another Indian defense PSU. And there has been a struggle for that company who have taken that contract. So, I can't discuss more on this, but then we have seen a bit of an uncomfortable aggressive take coming in at what -- according to us, with all our experience, we feel are much below cost levels.

Abhishek Chaurasiya: Okay. So, my next question is regarding the -- recently, government is coming with a green ship, right? So, are we looking for any orders from your -- if yes, what will be the margins and all? Is it on the higher side?

Madhu Nair: It would definitely be because it is entire green shipping market, which is largely being driven by requirement in Europe. Because Europe is going to implement what is called the EU ETS scheme. And green vessels, only green vessels will be able to trade into Europe.

If vessels are not green, they will have to actually pay penalties or buy credit. So, there are a lot of shipbuilding requirements coming for such green vessels or hybrid vessels. And since not every yard in the world can actually jump into this, there are technology restrictions, there are capability restrictions. So, we feel it looks better.

And again, with support, it could be much better. The margins would be better than normal on such vessels if we can garner more orders. We are definitely talking to many projects across. But probably you also need to understand many of these projects, the green shipping projects worldwide have also got support from back end from their own countries.

For example, in Norway, when they do it, there's something called a Norwegian Green Shipping Programme. So, the Government of Norway actually support those programs. In fact, including the project which we have secured for 2 hydrogen-powered container vessels. Those are supported by the Government of Norway by their funding.

So, it doesn't flow just like a commercial order, but we are strongly entrenched in this. And I can just report, coming week, there are big conferences happening in Norway and a large delegation from CSL is participating in those meetings. A lot of business meetings have been lined up in Europe.

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Moderator: Thank you. The next question is from the line of Raj Rishi from DCPL. Please unmute yourself and proceed with your question.

Raj Rishi: Yes. I think in the last call, Mr. Nair had mentioned that early '26, when you leave, you would be happy with a certain level of turnover. Could you just share your view on that as to what sort of turnover would that be which would make you happy?

Madhu Nair: Rs.5,000 crores.

Raj Rishi: How much do you say?

Madhu Nair: Rs.5,000 crores.

Raj Rishi: Rs.5,000 crores.

Madhu Nair: That's what makes me happy. That's a good question, and that's a straightforward answer.

Raj Rishi: Okay. But sir, I believe last year, you said something like Rs.6,000 crores. So how come that is came down?

Madhu Nair: No. I'm not sure. Like Rs.5,000 crores, I should be happy.

Raj Rishi: Okay. And Mr. Nair, like what's the edge which Cochin Shipyard has to get

the orders in -- for international orders versus your, say, competition?

Madhu Nair: See, we have been active towards West Europe. Now this year, it will be 20 years. So, for 20 years, we have been very active in West Europe. There have been more than 50 vessels delivered into West Europe. So, there are no easy routes here. Our products have done well in West Europe. The trust and the relations we have with a lot of -- more than 100 companies out in Europe, especially Scandinavia, has been strong. And now when this green shipping market is emerging, see, we moved in initially with the classical markets and oil and gas offshore vessel segment. When the oil went out, that segment crashed a little bit.

But now we are seeing high levels of positivity on the green shipping market. And it's the same company, same friends involved in many of our discussions. So, we are seeing strength over there. There is a high level of trust in Cochin Shipyard. Again, in this business, you need to have financial strength to raise refund guarantees. Our banking, our balance sheet, our banking connects with the Indian sector is good. We're able to do that.

So overall, whatever Europe especially needs, we are able to provide the kind of technical strength, the kind of people strength we have, the kind of openness we have displayed towards Europe. I think it's all coming back and helping us right now, which we feel are major strengths which cannot be again acquired very fast. It takes time. But I think we are in a sweet position at this stage.

Raj Rishi: Okay. Sir, the segment of the green vessels in, say, three years' time or maybe three to four years' time, what percentage of your revenue can be from this area?

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Madhu Nair: So that's again a tough one. Because see, in shipbuilding, you can see like even now, significant revenue share is coming from the defense side. That's because the defense contracts are always costly contracts because it's with costly equipment. So, from a turnover point of view, that percentage is much more higher. But we would try to see our shipbuilding revenue split between defense and nondefense to the tune of something like a 60-40, maybe 55-45, something like that. So, in that nondefense part, we expect more than 50, 60 percent to come in from that space in Europe. This is what we think.

Raj Rishi: From the green side?

Madhu Nair: From the green side.

Raj Rishi: Okay. And sir, any comments on the possibility of U.S. ships coming to, say, a company like Cochin Shipyard for repair?

Madhu Nair: See, this is something, again, we have been trying for long. And due to a set of reasons, I can say there are national clearances and other things needed. Our units in Mumbai and Calcutta are being evaluated for such requirements. But due to a set of reasons, at this stage, our unit in Cochin is not being looked at. I won't be able to discuss anything beyond this. But units in Mumbai and Calcutta is being evaluated.

Moderator: Thank you. The next question is from the line of Manas. We request you to please provide your company name and proceed with your question.

Manas: Hi, I'm a private investor. I would like to understand what is the future of the second aircraft carrier, which has been proposed by the government? And the first aircraft carrier, Vikrant. You showed in your investor presentation, there's still some Rs.1,800 crores still revenue to be booked. By when will that happen?

Madhu Nair: Jose, can you explain on the revenue part?

V J Jose: Yes. The revenue, in the next two years, that means current financial year as well as the next financial year, we will book the entire revenue of around Rs.1,876 crores because there are post-delivery activities which we need to complete. This is as per the original contract, which has envisaged this post-contract, post-delivery activities a

ISO.

Manas: And what about the second aircraft carrier?

Madhu Nair: See, this is again -- there are various discussions happening. All I can say is discussions -- there has been heightened interactions and heightened level of discussions. We are seeing much more traction on those discussions. I will have to stop at that because those are discussions which are much at a different level and at a strategic level. But all I can convey is there has been much more positivity and much more speed on some of those discussions in the recent past.

Manas: So just to be clear, there is no confirmed closure of RFQ being released on that?

Madhu Nair: No. Not at this stage, not in this stage.

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Manas: So, sir, the expertise that CSL has garnered over the years by building this unique carrier. How are we leveraging that at this point of time?

Madhu Nair: See at this stage, see, the significant expertise that's been built up has been design, engineering, planning and the skill sets with the 2 large nava l projects between the ASW warfare vessels and the NGMV, which are 14 ships covering about Rs.15,000 crores.

I think we are putting this to good use because various network -centric systems, various technologies, weaponry, sensors , all these are -- there are -- the size and the scale is different on aircraft carrier. But many of the systems, subsystems, there are other significant things on these vessels also. So that is being put to use. And I also go with your keenness, and we als o would be extremely happy, and we are keeping a close tab on discussions on the next aircraft carrier. We hope and we wish it goes in the right direction.

Manas: Right, sir. Sir, 1 final question. As per Government of India, are we allowed to secure defen se orders for export in terms of vessels?

Madhu Nair: We have not really looked at it from that point of view. But yes, the Government of India is keen that Indian shipyards look at it from that point of view for exports. And the government has actually gu ided also on certain possibilities. But CSL as of now, our attention is not very much focused on that segment at this stage because there's a lot of foreign naval orders would mean strong environment at various levels of the government also. So, in fact, w e would walk one step behind with the government to actually secure such things. And it may take some more time for CSL. But we are keeping a watch on that, but we are not active in that space.

Moderator: Thank you. The next question is from the line of Di xit Doshi from Whitestone Financial. Please unmute yourself and proceed with your question.

Dixit Doshi: Yes. Thanks for the opportunity. A couple of questions. Firstly, earlier, you -- sometimes you have mentioned about the opportunities in the renewable side for wind in Europe. I think some support infrastructure for wind turbines . Any update on that?

Madhu Nair: So, wind, we probably have not really discussed wind turbine construction and other things. While yes, we are aware of such a space emerging. Bu t we have actually looked at the wind -- infrastructure, the wind energy market emerging worldwide and vessels and support ecosystem that would be needed for them.

Actually, the CSOV contracts we have taken is actually the CSOVs are ships which are for the wind market. In fact -- so these are the first contracts that's come our way from that space. And there are at least a few projects which we are in various stages of discussion in that space. That's a very exciting space. But getting into fabrication of w ind turbine towers, I'm not saying that we have not looked at it, but not the area of most immediate focus because it is a slightly different type of business from what we are currently doing.

Dixit Doshi: Okay. Now secondly, you mentioned that for ASW, th e sensors are now -- government has asked to make it in Indi

a. So, I mean, is there any company who is doing it or if the technology needs to be developed, then can this again delay the work of ASW?

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Madhu Nair: See, there are -- as I said, there are two se nsors. One of those sensors for 16 vessels, eight of CSL and eight of the other company in India are now coming from Bharat Electronics Limited.

That technology is already done. Delivery dates, pricing, everything has been finalized. So that has been done already. So, one of those sensors is Bharat Electronics. The second sensor is going to be split. Out of 16 numbers, four numbers are going to be developed in India between DRDO and Bharat Electronics Limited. And the balance 12 numbers between -- for us an d for the other shipyard is going to be developed in India by the Indian industry, private industry, along with foreign POD partner under what is called the Make in India scheme, which is with a 50 percentage Indian content.

And that second sensor, as you rightly asked that question, is there a possibility of delay and other things? Yes, there is a possibility of delay because it's not yet developed. So that has been delinked from the project delivery schedules. But the first sensor is included in the proje ct delivery schedule, and that is actually coming from Bharat Electronics Limited. I hope that answers the questions.

Dixit Doshi: Okay. Okay. And just 1 last question. On the -- so you have mentioned a lot of opportunities coming on the Europe market. So currently, our order book is, say, Rs.2,300 crores. At some point of time over the next two, three years, can this become 8 times or Rs.10,000 crores kind of order book on a running basis?

Madhu Nair: Okay. We would -- our order book position actually what -- let me clarify on that. Ideally, I want

an order book which looks good from an aspirational turnover point of view, multiplied by around 4.5x to 5x. This is an order book portion which we need. Now let me explain the logic from where it comes from. The naval projects, as I have explained, the naval project, there's a particular timeline under which it gets executed. The non-naval orders, typically a timeline, an outer timeline would be 34 months, 36 months from the date of a contract. If there's a series order, maybe first vessel, maybe 30, 32 months; second vessel, 36 months. If there are more vessels than that, maybe four-month interval kind of a thing.

So, when I build up my order book version, I would actually -- what is an annual turnover I would like to do from that particular segment, the space which you are mentioning about the green or the European orders. If I'm targeting to do about Rs.1,000 crores, Rs.1,200 crores every year from that particular segment, then my ideal order book for that particular segment would be, let us say, multiplied by 4x. So Rs.5,000 crores in that space would be good generally, if about that Rs.1,200 crores is what I'm expecting.

So, the figure which you mentioned, that part could go to about Rs.8,000 crores, maybe Rs.8,000 crores and a notch on the higher side, but maybe something like a Rs.5,000 crores, Rs.6,000 crores order book from Europe would look good and strong.

Moderator: Thank you. The next question is from the line of Parimal Mithani from Credential Investments.

Please go ahead. We'll move to the next question, which is from the Vijay Goel from ICICI

Securities. As there is no response, we'll move to the next question from the line of Aditya

Mongia from Kotak Securities. As there is no response, we'll take that as a last question. If you

have any further questions, we would request you to reach out to Cochin Shipyard Limited

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Investor Relations team. We conclude today's conference. Ladies and gentlemen, thank you for your participation.

Madhu Nair: Thank you.

Call: Nov 2023

Dear Sir / Madam ,

Subject : Transcript of Investor / Analyst Conference Call to discuss the financial results of the Company for the quarter ended September 30, 2023

1. Further to our communication with respect to the conference call to discuss the financial results of the Company for the quarter ended September 30, 2023 , please find attached herewith the transcript of the said conference call conducted on Monday, November 20, 2023 at 04.00 PM IST .

2. The above is for your information and record please .

Thanking you,
For Cochin Shipyard Limited

SEC/48/2017 -63 November 27, 2023

The Manager
Compliance Department
BSE Limited
Phiroze Jeejeebhoy Tower
Dalal Street
Mumbai – 400 001 The Manager
Compliance Department
The National Stock Exchange of India Ltd.
Exchange Plaza
Bandra – Kurla Complex, Bandra (East)
Mumbai – 400 051
Scrip Code/Symbol: 540678/COCHINSHIP
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“Cochin Shipyard Limited
Q2 FY '24 Earnings Conference Call ”
November 20, 2023

MANAGEMENT : MR. MADHU S. NAIR – CHAIRMAN AND MANAGING
DIRECTOR – COCHIN SHIPYARD LIMITED
MR. JOSE V J – DIRECTOR FINANCE – COCHIN
SHIPYARD LIMITED
MR. RAJESH GOPALAKRISHNAN – CHIEF GENERAL
MANAGER , SHIP REPAIR – COCHIN SHIPYARD
LIMITED
MR. HARIKRISHNAN S. – CHIEF GENERAL MANAGER ,
SHIPBUILDING – COCHIN SHIPYARD LIMITED
MR. SHIBU JOHN – GENERAL MANAGER , FINANCE –
COCHIN SHIPYARD LIMITED
MR. SYAMKAMAL N. – COMPANY SECRETARY –
COCHIN SHIPYARD LIMITED

MODERATOR : MR. KAUSHAL SHINDE – KIRIN ADVISORS

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Moderator: Ladies and gentlemen, good day, and welcome to Q2 FY '24 Results Conference Call of Cochin Shipyard Limited, hosted by Kirin Advisors. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the

presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Kaushal Shinde from Kirin Advisors. Thank you, and over to you, sir.

Kaushal Shinde: Thank you. On behalf of Kirin Advisors, I welcome you all to Cochin Shipyard Limited Q2 FY '24 Con Call. From the management side, we have Shri Madhu S. Nair, Chairman and Managing Director; Shri Jose V J, Director Finance; Shri Rajesh Gopalakrishnan, Chief General Manager, Ship Repair; Shri Harikrishnan S., Chief General Manager, Shipbuilding; Shri Shibu John, General Manager, Finance; Shri Syamkamal N., Company Secretary. I will now hand over the call to Mr. Madhu S. Nair. Over to you, sir.

Madhu S Nair : Thank you. Good evening to all present in this conference call. I'm Madhu Nair, the Chairman and Managing Director of Cochin Shipyard Limited. And I would like to extend a warm welcome to all the participants joining us today.

I'm joined in this con call by Shri Jose V J, Director of Finance; Shri Rajesh Gopalakrishnan, Chief General Manager, Ship Repair; Shri Harikrishnan S., Chief General Manager, Shipbuilding; Shri Shibu John, General Manager of Finance; and Shri Syamkamal N., our Company secretary.

I would like to bring your attention to the noteworthy operational accomplishments during the first half of this year. Two major defence projects took the centre stage during this period. First, the indigenous aircraft carrier, INS Vikrant, which docked at CSL on 29th July 2023 for undertaking guarantee refit, installation of MF -STAR and the concurrent work package agreed with the Indian Navy.

Our team handled underwater inspections, tank cleaning, painting and repair to ship fittings along with other tasks. The project contributed a revenue of INR85 crores for the quarter ended September 30, 2023. We plan to undock this vessel on 27th November.

The second significant undertaking during this time was the construction of the ASW SWC Corvette for the Indian Navy, valuing at approximately INR6,300 crores in total. The progress on this project has been significant, and we are targeting simultaneous launch of 3 vessels this -- 30th of this month, 30th of November 2023.

Further, we aim to lay the keel for 2 additional ASW SWC in December 2023, that is next month. And 3 others are already in advanced stages of block fabrication. These 2 projects have played a significant role in driving our revenue growth during this period. Speaking about major contracts secured during the period, our wholly owned subsidiary company, Udupi Cochin Shipyard Limited, UCSL, bagged a major order from a European client.

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The order is for construction of 6 new -generation diesel electric 3,800 deadweight general cargo vessels with an option for further 8 more vessels for the transportation of general cargo at inland as well as coastal waters in Europe. The estimated contract value is about INR580 crores and will be completed within March 2026.

CSL also signed a contract with the Ministry of Defence for the Mid Life Upgrade and Re - Powering INS Beas at a cost of INR313.42 crores. The estimated duration of this project is around 24 months. The project involves modernization and upgradation of various systems and equipment on board the ship to enhance its operational capabilities.

Now I would like to go through other achievements during the

period, which I consider worth

mentioning here. I'm pleased to inform you that Cochin Shipyard Limited has been upgraded to a Scheduled A Company. This significant development will provide us with more senior management bandwidth, enabling us to effectively manage all 7 units across the country. CSL has also received an order for building 8 Hybrid Electric Catamaran Passenger Vessels for IWAI at a contract value of INR129 crores. Six out of the said 8 vessels will be built at our subsidiary company, Hooghly Cochin Shipyard Limited at Kolkata. Balance 2 vessels are being built by CSL and currently in the advanced stages of completion. These 2 vessels are expected to be delivered in December 2023 and January 2024 .

CSL signed contract with the Naval Ship Repair Yard Kochi, Indian Navy for Multiple Refit Contract, MRC, for naval vessels. The value of the ship repair contract is INR80 crores.

CSL signed with Naval Ship Repair Yard Karwar, Indian Navy for Multiple Refit Contract, MRC, for Water Jet Fast Attack Crafts. The value of this repair contract is INR34 crores.

CKSRU, the ship repair unit of CSL at Kolkata successfully completed the dry docking and refurbishment of a floatel, it's a floating hotel.

The project involved more than 100 tons of steel renewal and was completed ahead of schedule. We delivered 4 Electric Hybrid 100 -Passenger Vessels to the Kochi Water Metro.

Our subsidiary, Udipi Cochin Shipyard Limited delivered a new -generation Purse Seiner Vessel to GKS Marine Exports. UCSL also delivered 5 Deep -Sea Tuna Long Liner vessels. CSL also won a couple of awards during this period. We won the Maritime Excellence Award for the Best Shipyard in the Country during the Global Maritime India Summit. And we also won the PMA National Award for 2023 for Project Excellence.

Moving on to the financials, I would like to mention that our first half financial results were good. These results were uploaded on November 7, 2023, and I'm sure all of you would have gone through it in detail. Director of Finance, Shri Jose V J, will briefly touch upon the results for the half year.

Jose V J: Good evening. I'm Jose V J, Director of Finance. I'll just take you through the highlights of the financials. The consolidated turnover stood at INR1,488 crores compared to INR1,124 crores in the corresponding previous period.

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Our PBT was INR389 crores, a substantial increase of -- increase from INR221 crores, while our PAT was INR280 crores as compared to INR155 crores in the corresponding financial year. It is worth noting that the PAT for the quarter was INR180 crores compared to INR113 crores for the corresponding quarter of the previous year, which is -- we have registered a growth of 61 percentage.

Looking from the segment -wise performance on a stand -alone basis, Shipbuilding turnover has increased from INR877 crores to INR996 crores, reflecting an increase of 14%. Our Ship Repair revenue has increased from INR245 crores to INR402 crores, registering an increase of 64 percentage. We have achieved a strong EBITDA margin of 20 percentage for the first half which excludes other income. The PAT margin for the half year was 21 percentage.

Madhu S Nair: Thank you, Jose. The Board has approved a stock split in the ratio 1:2 and the proposal has been put to vote through the e -voting process for obtaining shareholders' approval. The voting period will end on 13th December 2023. And if approved, we expect to complete the process by end January/early February 2024. The Board has also declared an interim dividend of INR8 per share, that is 80 percentage, which will be paid in early December 2023.

Now let's discuss our major shipbuilding projects currently under execution. As already mentioned, the construction of the ASW SWC Corvette for the Indian Navy is one of our major ongoing projects. We plan to

launch three vessels simultaneously on 30th November

2023 and lay the keel for two more vessels in December 2023. The remaining three vessels are currently in advanced hull construction stages.

Additionally, we have taken up the project to build a 12,000 cubic meter trailing suction hopper dredger for an Indian dredging company with a project cost of around INR900 crores. Fabrication is scheduled to commence at the end of November 2023.

For our European clients, we are currently working on construction of two Commissioning Service Operation Vessels with a project cost of approximately INR1,000 crores. The fabrication process has commenced. In addition, we are building eight multipurpose vessels for a German order, which are under various stages of construction.

We are also constructing 23 Hybrid Electric Catamaran Hull Vessels for Kochi Water Metro project, out of which 12 have already been delivered. We aim to complete the deliveries by June 2024. The company is also currently working on the construction of what could potentially be deemed as India's first hydrogen fuel cell vessel.

While this does not hold any major monetary significance at present, it is a noteworthy technological achievement that may put the company at the forefront. The vessel was launched in November 2023, and it's slated for completion in December '23 early January '24.

Now let's turn our attention to the large -scale expansion projects. First, our International Ship Repair Facility, ISRF, which has a total project cost of INR970 crores. We have achieved 81 percentage physical progress to date with the recent delivery of the ship lift platform at the ISRF site.

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Commissioning activities of the ship lift systems are currently in progress. We are on track to complete and inaugurate the facility, including the ship lift and the first two workstations by December 2023 with full commissioning slated for mid -2024.

Regarding our new dry dock project, which has a total project cost of INR1,799 crores, we have achieved 83 percentage physical progress. A major milestone for the project was the

delivery of the structural and other components of the 600 ton Gantry crane at CSL by Hyundai Samho Heavy Industries from Korea. This crane is a vital component of our new dry dock.

We plan to inaugurate the dry dock by December 2023 after completion of all civil works and thereafter, full commissioning by mid -2024. I'm pleased to inform you that our unexecuted order book currently stands at around INR22,000 crores, which is a healthy figure. This includes ship repair orders, which are typically difficult to state specifically, but as a reference, we usually have ship repair orders of approximately INR700 crores at any given point of time. Further, it gives me great pleasure to notify you that our company under its USHUS maritime start-up support program awarded seed funding of INR1.7 crores to 5 start -ups through the IIMK Live to catalyze maritime start -up ecosystem in the country and facilitate a larger participation of the start -up fraternity in opening up the immense potential in this relatively unexplored sector.

To sum up, Cochin Shipyard Limited remains dedicated to delivering quality in all our projects and operations. We take pride in our achievements during the first half of the year and have confidence in our ability to sustain this momentum. For the full financial year, our expectation is to cross the turnover we achieved prior to COVID -19, that is FY '20. For the full financial year, we foresee a PAT margin ranging from 16% to 17%. This general guidance should offer a glimpse into our plans for this year.

I would like to conclude now and would be happy to take questions. Thank you all for your patience. Thank you.

Moderator : Thank you very much. We will now begin the question -and-answer session. The first question

is from the line of Sagar Gandhi from Future Generali Life Insurance Company.

Sagar Gandhi: Sir, congratulations on completing the large capex project. So, sir, I have two questions. First is on IAC 2. So, in your judgment, by when is this likely to happen? And what will be the value of this project as per your expectations?

Madhu S Nair: I would have difficulty in answering that question on both the points. But we hear from the press and also from our interactions that the project -- decision on the project going to DAC is at a very advanced stage. So, I will have to rest my answer with that. And I'm not in a position to discuss project figures at this stage.

Sagar Gandhi: Okay. My second question is on the new shipbuilding and the ISRF facility. So, while the physical completion is likely to be in December 2023 and the ancillary work by June 2024.

When will these facilities start clocking or adding on the top line or clocking revenue for the...

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Madhu S Nair: Mid '24 onwards.

Sagar Gandhi: Okay. And my last question is on cash, which we currently stands at INR4,600 crores approximately. What is the free cash component and advances from customers of this figure?

Jose V J: Free cash is around INR1,000 crores and the remaining is advance from customers.

Moderator: The next question is from the line of Deepak Krishnan from Kotak Institutional Equities.

Deepak Krishnan: Yes, I just wanted to sort of look at your EBITDA margin performance, a stellar performance of 20 percentage 1H. And now you're saying PAT margin will be 16% to 17%, whereas earlier you had indicated in the FY '23 earnings call that PAT -- EBITDA margins will be 14% to 15% for the year. So, are we sort of raising the margin guidance and what sort of driven the strong performance in 1H?

Madhu S Nair: See, this year, revenues from IAC and Ship Repair. You can see Ship Repair; we are doing strong growth and the Indigenous Aircraft Carrier has also been docked and we are having a Ship Repair part in this. So largely Ship Repair is giving us better margins.

Deepak Krishnan: So even EBITDA should be in the similar range, 18% to 19%? Is that understanding correct?

Jose V J: Yes, around that stage.

Deepak Krishnan: Okay. And of the unexecuted order of Ship Repair, which is closer to INR1,300 crores, all of that is sort of -- sorry, unexecuted order book of IAC, which is INR1,300 crores, all of that will sort of come in this year itself?

Jose V J: Out of that, around INR800 crores will go to FY '25. Remaining will be in the current financial year.

Deepak Krishnan: Okay. So, we may do INR2,800 crores of top line, out of that, you're seeing that closer to INR800 crores is coming from your IAC and INR800 crores is coming from Ship Repair, which is both are higher margin, that's why we're expecting a higher blended EBITDA. Is that understanding correct?

Jose V J: Can you repeat that once again?

Deepak Krishnan: So, your total revenue guidance of INR2,800 crores -plus for this year, closer to INR2,900 crores, higher than FY '20. So, you're saying that for the full year, about INR800 crores,

INR900 crores is coming from Ship Repair and INR800 crores, INR900 crores is coming from the IAC order, which are both high margins?

Madhu S Nair: Just a minute.

Jose V J: No, total INR2,800 crores where did you get?

Deepak Krishnan: No higher than FY '20, if I look at it...

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Jose V J: It was INR3,400 crores in FY '20.

Deepak Krishnan: Okay. Yes. Sorry, my bad. So, it will be higher than that. Sorry, yes, so...

Jose V J: Yes, yes, yes.

Deepak Krishnan: Yes, yes, yes. So yes, okay. So those are the two factors. Basically, higher Ship Repair and higher IAC is driving higher margins?

Madhu S Nair: Correct.

Jose V J: Correct.

Deepak Krishnan: Okay. And

how are we looking at the pipeline in terms of immediate orders that can come. I

think we've locked the Ocean Research Vessel order, but anything else that you're seeing that can be done in the estimated 6 months?

Madhu S Nair: See, the pipeline, there have been a couple of -- the ORV we lost. And there was another project also which we actually -- FPV project, the Fast Patrol Vessel, that's also gone elsewhere. But we are okay because we never wanted it at the price levels that it has gone. But the order pipeline is still fairly strong. The immediate near-term RFP is about INR1,400 crores of RFPs at various stages are there. And there are possibilities which we are looking at in Europe also.

Moderator: Thank you. The next question is from the line of Darshil Pandya from Finterest Capital. Please go ahead.

Darshil Pandya: Yes. Sir, I just want one clarification from your end. So, could you please provide an update regarding a new cycle which was there in India to construct 24 cargo ships for Russia. This happened in economic forum reportedly. So, is this deal done or how is it? I just want a clarification from your end.

Madhu S Nair: We are not involved in this.

Moderator: Thank you. The next question is from the line of Viraj Mithani from Jupiter Financial. Please go ahead.

Viraj Mithani: Good afternoon, sir. Sir, my first question is on the guidance you gave, which we'll be having a top line of -- if I'm correct, 2020 with 17% net margin, that's what you said, right? Is it correct to think that way?

Madhu S Nair: Can you repeat that once again, there's a little bit of a bass coming in your voice. Can you repeat that once again?

Viraj Mithani: The guidance given by you, sir, was -- we will have a top line in the range of March 2020 numbers and the net margin would be 16% to 17%, is that correct? Is it -- that's what I heard.

Madhu S Nair: Correct.

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Viraj Mithani: Okay. Sir, my next question is, your free cash of INR1,000 crores, how you plan to use that, sir? This would be the capex for this year? And...

Jose V J: Capex will be around INR355 crores this year. Out of that, we have already spent INR125 crores so far in the H1. So, the remaining will be used from the cash.

Viraj Mithani: And this INR1,000 crores free cash would be used for further capex or some -- or so -- what will be the purpose of this free cash, which we have, INR1,000 crores?

Jose V J: Working capital and partly funding the capex.

Viraj Mithani: Partly funding the capex. Okay. Sir, the next question is, you talked about this possibilities in Europe just to the previous participant. In which -- can you give more colour on that, like it would be in the -- which side of the business and what kind of possibilities would be there?

Madhu S Nair: See, there are two areas where there are possibilities: one is you are aware that we have concluded a contract for two CSOV vessels. So, that space is still looking active and we are sensing possibilities in that space. There is wind support vessels. We have continuously engaged with various companies and we expect some positive news shortly.

The other sector is a European short vessel segment, which is smaller vessels, but then always, it comes in a few numbers. And that is the kind of vessel which we have recently picked up for our Udupi Cochin Shipyard Limited, the six vessels which I mentioned, with an eight option.

Something similar is what we are doing in Cochin Shipyard already for the German clients, eight vessels. So, these are all the European short-sea vessel segment. That segment also we are engaged with a few potential interest, and that also looks strong.

Viraj Mithani: What would be the size of the opportunity, sir?

Madhu S Nair: See, The CSOV project, a deal could be somewhere between INR500 crores to INR1,000 crores. And the short-sea vessel

space, again, could be about close to INR500 crores, a deal size, INR500 crores -- that will be -- each of those vessels would be about INR120 crores, INR130 crores kind of a thing. So INR500 crores, INR600 crores kind of a five vessel -, six-vessel order is what we could see on a short-sea vessel side.

But on the CSOV side, it is typically one or two numbers or maybe with a two-option kind of a thing. So that is why I said about INR1,000 crores kind of a thing.

Viraj Mithani: Okay. And sir, this the new dock which will be ready probably next year. Will we be using -- will we be leasing it or will be used for the repairs or what would be the -- until the next IAC order comes...

Madhu S Nair: Initially, we start with shipbuilding. In fact, we have already -- some of the contracts which we already secured will be executed out of that new dry dock -- but the new dry dock is a dual-purpose dry dock. So, when we sense good ship repair opportunities, that also would be taken in that dock. But as you rightly said, as and when -- and we hope the second IAC, if it comes, Cochin Shipyard Limited
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that would also be in the new dry dock. So, the new dry dock is a large dock, which has got dual use.

Viraj Mithani: Okay. And sir, my last question is about the green ferry. You understand the West Bengal government is quite interested. So, have you -- what kind of traction are you feeling in this sector, sir? Like what could be the could be a good potential for us in years to come?

Madhu S Nair: That's for sure. Actually, the government is taking a lot of interest in what is being called as a Green Vessel Transition Program, and various entities are involved, especially the Inland Waterways Authority of India, multilateral funding agencies like the World Bank and others are interested.

So, this is an area where we'll see more traction. But we expect that traction to be driven largely from our two subsidiary units, in Kolkata and in Udupi, but Kolkata could be the hub for us to drive that traction.

Viraj Mithani: And sir, who will be our competitors in this green ferry segment? I know GRSE is one. Apart from that?

Madhu S Nair: There could be many of the -- because when this market is opening up, we expect there could be many mid-sized shipyards and boatyards also coming in that space. So, we see there could be many players coming in that space. But we feel the way -- at least we are seeing discussions happening over the next couple of years, there could be significant vessels considering the size and scale of the country and the requirements.

So, I think most of the people should have good opportunities. It has to be a little bit technologically advanced. So, it is not the run-of-the-mill vessel. Such vessels may not be there too much. And if at all it is there, CSL and our subsidiary companies may not be involved in the run-of-the-mill vessels, but a little bit advanced vessels we will be keen.

Moderator: Thank you. The next question is from the line of Deepak Krishnan from Kotak Institutional Equities. Please go ahead.

Deepak Krishnan: Sir, maybe just one follow-up on the margin. So, I think going ahead, maybe for the years ahead, do we sort of revert back to about 15%, 16% sort of PAT margin? Or do we kind of sustain this improvement or how do we kind of look at it?

Madhu S Nair: Going forward means this financial year, next financial year, is that what you meant?

Deepak Krishnan: Yes, sir.

Madhu S Nair: Yes. We hope to sustain better margins over the next year also.

Deepak Krishnan: Sure. Maybe if I look at your, expected immediate pipeline, if I look at the entire approval, you're saying maybe DAC comes through. How long would you believe that for IAC 2 after the DAC approval, would we be at a stage where the order could potentially come to us? Would it be an FY '25 story or do you think it's sort of...

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Madhu S Nair: I can't, again, discuss that on a hypothetical basis. And again, it would be improper on my side to discuss that side.

Deepak Krishnan: Sure, sir. And maybe any other Indian Navy order that we are targeting? Any on the destroyer, frigate, anything that we can participate in?

Madhu S Nair: See, the RFPs that is already in line, yes, we are participating. But again, we are clear that there must be fairly good financials over there. That is the way we have participated. And the destroyer has not come in. The next -generation destroyer RFP has not come in. As of now, the LPD RFP has also not yet come in. We are eagerly awaiting all this.

Moderator: Thank you. The next question is from the line of Sagar Gandhi from Future Generali Life Insurance Company. Please go ahead.

Sagar Gandhi: Sir, what will be the approximate value of this RFPs, the next -generation destroyers?

Madhu S Nair: We are yet waiting to see this, but then the LPDs were in the range of INR20,000 -plus crores. And NGC, the next -generation destroyers figure has not been really discussed, but it's much higher than this LPD figure.

Sagar Gandhi: Okay, thank you. And sir, as far as this capex projects are concerned, new dry dock and ISRF. Sir, we spent only INR1,050 crores in new dry dock and INR740 crores approximately in ISRF. And our capex for full year as guided stands at INR 1,050 crores. So, does that mean that, we will not be extending or spending the full cost as we had envisaged initially?

Madhu S Nair: Can you repeat that and -- you came in a little bit feeble. But if you can just talk more loudly?

Sagar Gandhi: Yes, So, we have spent INR1,050 crores approximately for the new dry dock and roughly INR740 crores for the ISRF project. Now initially, we had envisaged approximately INR1,800 crores for the new dry dock and INR970 crores for the ISRF. That means that we are now doing the spend only INR350 crores for full year FY '24 and both these projects are getting completed in -- I mean until June 2024. Maybe -- I mean both this projects may be -- I mean, leaving some money on the table for Cochin as against envisaged initially?

Madhu S Nair: Yes. We can explain that to you.

Jose V J: Actually, we'll be sending -- because the full commission will happen only in FY '25.

Madhu S Nair: No, he's talking until June.

Jose V J: Until June...

Madhu S Nair: When you complete it.

Jose V J: Yes. It is ISRF will be almost that level -- maybe INR20 crores less than that, will be around INR940 crores. And dry dock because we -- originally, we envisaged two cranes, now we are doing only one crane there. So, some savings may come there. So, it may be around INR1,400 crores, INR1,500 crores instead of INR1,799 crores.

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Sagar Gandhi: Roughly INR400 crores, at least INR300 crores will be the savings?

Madhu S Nair: Yes. I would suggest conservatively, you shouldn't take that. There could be because at the end of the day, when we wrap up the projects, there are escalations -- permissible as per the contract. What Director of Finance mentioned is the main point. See, there were two cranes on the dry dock. We are putting only one crane, but that one crane was a little bit more costlier than 50% of that total crane cost.

So, we may end up a notch lower, but not to the level at INR400 crores, you said. I would guide you towards the -- both the projects together, maybe about INR150 crores to INR200 crores less than those estimates.

Sagar Gandhi: Okay. Thank you, sir. Now sir, coming to the ship repair part. So, over the last three, four years, we've tried to build facilities in Mumbai, Andaman & Nicobar then Udupi and then Tebma shipyard. And sir, now put together all these facilities are up and running including the new dry dock, which can

also be used for ship repair part. What is the maximum ship repair revenue we can clock, let's say, 80%, 85% utilization level?

Madhu S Nair: See, we are continuously being saying that our short term is around two and odd years, three years kind of a thing is to go and touch around INR1,200 crores kind of a figure. As you are aware, like the ISRF, we should have completed this a little bit more earlier. We are now in the mid of next year, even though the civil completion will complete by December. So INR1,200 crores kind of a figure is what we will see in about -- give it about three years conservatively. And this year, we have gone on record our target should be better than the best we have done. So, the best we have done was about INR820 crores...

Jose V J: INR860 or something crores.

Madhu S Nair: We should cross that, so around INR900 crores or slightly thereabouts is what we are expecting for this financial year. And when ISRF also chips in next year onwards. But INR1,200 crores crossing in about three years. And beyond that, I wouldn't want to really talk at this stage, but the next target would be about INR1,500 crores.

Sagar Gandhi: Okay. Okay. Because until IAC -2 comes in, the new shipbuilding facility can also be used for ship repair, which is a high -margin business?

Madhu S Nair: But we have certain large projects also which we had taken into that. And ship repair, we have built up significant capacity because the current existing capacities of Cochin Shipyard plus the ISRF. So, we'll have to find the methods and the ecosystem to populate it and execute it well. And we are actually working on various things for that. Rajesh could probably explain a notch on what we are trying to do on the Kochi cluster a little bit. We are not fully out in the open, but a little bit.

Rajesh Gopalakrishnan: Yes. This is Rajesh Gopalakrishnan, Chief General Manager, Ship Repair. So, as you would probably be aware, the Government of India through its Maritime India Vision 2030 had also proposed ship repair clusters along the coast of India. And since if you look at the landscape

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today, Kochi is a hub already for ship repair with so much infrastructure and ship repair happening in the country in Kochi.

So, we are just trying to see how best we can develop Kochi as a formal ship repair cluster, for which we are working towards various things like whether it is partnering, whether it is setting up more ancillaries and the overall improvement of the overall ecosystem. So, we hope Kochi, moving forward, we'll actually start seeing more volume and basis which, like sir said, we could even see where to take the long -term targets.

Madhu S Nair: We are also trying to get an international partner for certain operational aspects in the new facility. We will let you know in due course, but then we are around the corner with the RFPs slated to come any time now.

Sagar Gandhi: Okay. No, because, sir, when we did Mumbai ship repair facility, we were thinking that it will ramp up fast. But somehow it has not reflected in Ship Repair revenues. So now because we've built a lot of good facilities, especially for the repair -- I was expecting a much better guidance from you in terms of Ship Repair for the next two, three, four years?

Madhu S Nair: I agree that Mumbai should have done a bit more better, but then Mumbai this year now, we have done INR70 crores for this year. And the target is around INR140 crores to INR150 crores for the full year for Mumbai.

Sagar Gandhi: Okay. Sir, last question from my side is on Next Generation Missile Vessels that you -- that is currently a part of your order book. Now what's likely to be the execution timeline? And what will be the broad margin in this project approximately?

Madhu S Nair: Execution timeline is the first vessel is 48 months from signing the contract,

which we signed

in March of this year, March 2023. And we are in the engineering and main equipment ordering stage right now. Things are generally going good on that project as of now. Margins give us some more time to come out with specific margins on that project. But largely, it fits into our normal shipbuilding mix of projects because it's a large contract. It is altogether INR9,800 crores. So, it gives us stability in our top line and margin process as we move forward.

Rajesh Gopalakrishnan : Just a small correction on the CMSRU targets for the year. Sir, mentioned INR140 crores, but INR125 crores is what we are looking at this year.

Sagar Gandhi: Okay. Yes. And sir, can I ask one more question because I've been talking for long time? Or is somebody in the queue?

Madhu S Nair: Go ahead.

Sagar Gandhi: Yes. So, sir, recently, I was -- I mean one more yard has got operational or it is likely to get operational because NCLT thing has already happened, which we all are aware, it is in the public domain. So, what I could understand is there are a lot of LNG carriers which are being built globally and there is no adequate repair facility and some of the yards are also looking at repair facilities for these LNG vessels. So, is Cochin Shipyard also thinking in this direction

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and because it is already building new facilities, can this be an opportunity for Cochin Shipyard?

Madhu S Nair: See, our new dry dock is actually an LNG carrier -ready dry dock. It's a 310 meter long dry dock and the typical LNG vessels, except what is called the Q -Max, the Qatar -Max, all the other vessels are in the range of 174,000 to 180,000 cubic meters. That's a standard LNG parcel.

And all those vessels can actually fit into the new dry dock. And we had the LNG vessel in

mind. So that's always an opportunity. But -- it's not that straightaway you can jump into that segment. But this is something which we are closely evaluating and we'll keep a close watch on it. And this opportunity, if it's good, we will be there. That's for sure.

Moderator: The next question is from the line of Chinmaye Rane from Kojin Finvest. Please go ahead.

Chinmaye Rane: Yes. I want to understand the executable period of your order book, current order book?

Madhu S Nair: The executable period?

Chinmaye Rane: Of the current order book?

Madhu S Nair: See, the naval projects are the ASW Corvette and the NGMV. So, eight ASW Corvettes and six NGMVs. So, the 14 vessels roughly don't hold me on to this, but roughly around seven years.

Moderator: Thank you. The next question is from the line of Devesh Jhawar, who's an individual investor. Please go ahead.

Devesh Jhawar : Congratulations on a good set of numbers. Sir, my first question is regarding the vessel made for Andaman & Nicobar administration? Any update on finding new potential buyers on that project?

Madhu S Nair: Not yet, not yet, while there are interactions with at least two entities, both government I'm not in a position to disclose, but as of today, not yet. And it's a point of a little bit of concern for us.

Devesh Jhawar: Okay. And sir, my second question is regarding the dredger we were building for Dredging Corporation of India. What is the current status of projects? And what kind of opportunities are we seeing? Are we seeing any other orders of dredges in India or in the international markets?

Madhu S Nair: On the current stage of the project which we have concluded, we are cutting steel, we are targeting 30th of this month. It would be a function, but 30th of this month is what we are looking at, steel cutting and thereafter, it goes into construction.

And your second question was opportunities. See, DCI themselves would need at least one plus one more and that is an opportunity within the country, the large vessels. But we are also seeing a larger op

portunity from international market. I'm not in a position to discuss this, but we are in discussions, and it is looking good.

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So that segment, which is always on our radar because now we are doing this one vessel for DCI and in cooperation technological partnership with M/s. IHC Holland, which are world leaders in this space, it is bringing a bit of attention into that space from the international market. And we are working closely on this, but it looks good.

Moderator: Thank you. As there are no further questions, I would like to hand the conference over to Mr. Kaushal Shinde for closing comments.

Kaushal Shinde: Thank you, everyone, for joining the conference call of Cochin Shipyard Limited. If you have any queries, you can write to us at info@kirinadvisors.com. Once more, thank you, everyone, for joining the conference.

Moderator: Thank you. On behalf of Kirin Advisors, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2024

SEC/48/2017 -63 February 15, 202 4

The Manager
Compliance Department
BSE Limited
Phiroze Jeejeebhoy Tower
Dalal Street
Mumbai – 400 001 The Manager
Compliance Department
The National Stock Exchange of India Ltd.
Exchange Plaza
Bandra – Kurla Complex, Bandra (East)
Mumbai – 400 051
Scrip Code/Symbol: 540678/COCHINSHIP

Dear Sir/Madam ,

Subject: Transcript of Investor/ Analyst Conference Call to discuss the financial results of the Company for the quarter ended December 31, 2023

1. Further to our communication with respect to the conference call to discuss the financial results of the Company for the quarter ended December 31, 2023, please find attached herewith the transcript of the said conference call conducted on Thurs day, February 08, 202 4 at 04.00 PM IST.

2. The above is for your information and record please .

For Cochin Shipyard Limited

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“Cochin Shipyard Limited
Q3 FY’2 4 Results Conference Call ”
February 08, 202 4

MANAGEMENT : MR. MADHU S NAIR – CHAIRMAN AND MANAGING
DIRECTOR – COCHIN SHIPYARD LIMITED
MR. JOSE V J – DIRECTOR FINANCE – COCHIN
SHIPYARD LIMITED
MR. RAJESH GOPALAKRISHNAN – CHIEF GENERAL
MANAGER , SHIP REPAIR – COCHIN SHIPYARD
LIMITED
MR. HARIKRISHNAN S – CHIEF GENERAL MANAGER ,
SHIPBUILDING – COCHIN SHIPYARD LIMITED
MR. SHIBU JOHN – GENERAL MANAGER, FINANCE –
COCHIN SHIPYARD LIMITED
MR. SYAMKAMAL N – COMPANY SECRETARY –
COCHIN SHIPYARD LIMITED

MODERATOR : MS. CHANDNI CHANDE – KIRIN ADVISORS

Cochin Shipyard Limited
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Moderator: Ladies and gentlemen, good day, and welcome to the Q3 FY '24 Results Conference Call of Cochin Shipyard Limited hosted by Kirin Advisors. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Chandni Chande from Kirin Advisors. Thank you, and over to you, ma'am.

Chandni Chande: Thank you. On behalf of Kirin Advisors, I welcome you all to the conference call of Cochin Shipyard Limited. From management side, we have Mr. Madhu S Nair, Chairman and Managing Director; Mr. Jose V J, Director of Finance; Mr. Rajesh Gopalakrishnan, Chief General Manager of Ship Repair; Mr. Hari Krishnan, Chief General Manager, Ship building; Mr. Shibu General Manager of Finance; Mr. Syamkamal, who is Company Secretary.

Now I hand over the call to Mr. Madhu S Nair. Over to you, sir.

Madhu S Nair: Good evening to all present in this conference call. I Madhu S Nair, Chairman and Managing Director of Cochin Shipyard Limited, I would like to extend a warm welcome to all the participants who are joining us today. I'm joined by Sri Jose V J, our Director of Finance; Sri Rajesh Gopalakrishnan, Chief General Manager, Ship Repair; Sri Hari Krishnan S., Chief General Manager, Shipbuilding; Sri Shibu John, General Manager, Finance; and Shri Syamkamal N, our Company Secretary.

I would like to bring to your attention, operational achievements in the third quarter of FY '24. Two major defence projects stood out during this period. Firstly, INS Vikrant, the Indigenous Aircraft Carrier commissioned in September 2022 by the Honourable Prime Minister. This project played a significant role in generating revenue for both Shipbuilding and Ship Repair during this quarter.

The second noteworthy project involved the construction of ASW SWC for the Indian Navy with an estimated overall value of about INR 6,300 crores. The progress on this project has been good and we are happy to inform you that 3 vessels were simultaneously launched on 30th November 2023, which is probably a first for such projects of the Indian Navy. Currently, on these 3 vessels which have been launched, the machinery outfitting works are underway. Additionally, 2 more vessels, that's vessel number 4 and 5 in the series had their keel laid on 8th December 2023, and currently hull block erection is in progress. The remaining 3 vessels, that's vessel number 6, 7 and 8 are also in the advanced stages of block fabrication.

On the commercial front, of the Multi-Purpose Vessel projects, 8 numbers which we are executing for European clients, also contributed during this quarter. With respect to new orders, CSL has received several important orders in the third quarter until this date.

In October 2023, the Ministry of Defence entered into a contract with CSL for a mid-life upgrade and repowering of a Naval platform at a cost of INR 313.42 crores. This project is expected to Cochin Shipyard Limited
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be completed in 24 months and involves the modernization and upgradation of various systems and the equipment on-board the ship to enhance its operational capability. We consider this as a significant order win because this could set the context for such projects into the future.

Furthermore, in December 2023, CSL signed a contract, again with the Ministry of Defence for a value of INR 488.25 crores. This contract entails the repair and maintenance of equipment and systems onboard INS Vikrant. The full work is expected to be completed by the first quarter of FY '25.

Additionally, on the

shipbuilding front, in January 2024, CSL secured orders from a European client for the design and construction of 1 Hybrid SOV, Service Operation Vessel, the project cost for this firm order is estimated to be approximately INR 500 crores with the vessel scheduled to be delivered in 2026.

The vessel is designed and built to cater to the service, maintenance and operational needs of the offshore wind farm industry in the European market where sustainable energy solutions are in high demand. It is significant again from the point that this again is a hybrid SOV.

In early February 2024, we have signed ship repair contracts for undertaking medium refit of 2 India Naval vessels. This is called a multiple refit contract because it's 2 vessels together, so this multiple refit contracts valued at around INR 150 crores include drydocking, refits, as well as upgradation of equipment on board the ships.

Now I would like to go through other achievements during the period, which I also consider worth mentioning here. CSL successfully delivered 2 Electric Hybrid 100 Pax vessels to the

Cochin Water Metro project, a venture which has had considerable significance and visibility nationwide.

The replication of this project in various regions is underway and the contract for 8 vessels with similar configuration has been awarded by the Inland Waterways Authority of India to Cochin Shipyard Limited and two of them have already been delivered in January and has presently been positioned, 1 each at Ayodhya and Varanasi.

We started the fabrication of steel-cutting and fabrication of the Trailer Suction Hopper Dredger being built by CSL for Dredging Corporation of India. Our subsidiary company, Udupi Cochin Shipyard Limited, UCSL has delivered the first 62-ton Bollard Pull Tug to Ocean Sparkle Limited, which is now part of the Adani Group, which is the leading tug operator in India.

Also, the keel has been laid for the second 70-ton Bollard Pull Tug for Polestar Maritime Limited. Members may be aware that UCSL has contracted to build 2 numbers 62-Ton Bollard Pull Tug for Ocean Sparkle and 2 numbers, 70 Ton Bollard Pull Tug for Polestar.

Also, at UCSL, fabrication has commenced for 2 numbers, 3,800 ton dry cargo vessels being constructed for Wilson Shipowning AS, Norway, which is part of a 6-vessel series. This showcase of UCSL venture into the global shipbuilding arena.

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It's worthwhile and we take pride in informing that CSL, the main unit, Cochin Shipyard Limited has been upgraded to the GreenCo – CII GreenCo Gold rating. We were earlier rated at CII GreenCo Silver by the Confederation of the Indian Industry under the GreenCo framework. So this upgradation from GreenCo Silver to GreenCo Gold, is in line with the efforts being put by CSL to upgrade its green and environmental footprint.

The confidence that our greening efforts will establish us, as a benchmark for shipbuilding and repair yards in India and also give confidence to various ship-owners looking to build green ships in the country is encouraging for Cochin Shipyard Limited.

Moving on to the financials, I would like to mention that our financial results for the third quarter were indicative of positive growth. These results were uploaded on 30th January 2024, and I'm sure that all of you have gone through it in detail.

I would request Mr. Jose VJ, Director, Finance, to briefly touch upon the results for the third quarter of FY '24.

Jose VJ: Yes. Good evening, everyone. The financial performance of the company during the period were in line with our expectations. In the third quarter of FY '24, the company witnessed a significant increase in turnover, reaching INR1,021.45 crores compared to INR631 crores in the third quarter of FY '23, demonstrating a growth rate of 62 percentage. Similarly, the profit before tax for the third

quarter of FY '24 also showed remarkable improvement with INR345 crores as opposed to INR151 crores in Q3 of FY '23, indicating a growth rate of 129 percentage. Moreover, the profit after tax for Q3 of FY '24 stood at INR248 crores, a substantial increase from INR118 crores in Q3 of FY '23, reflecting a growth rate of 109 percentage. When considering the year-to-date performance, the company experienced overall growth in turnover and profitability.

The year-to-date turnover of FY '24 amounted to INR2,420 crores, making a 38% increase compared to the previous year turnover of INR1,753 crores. Additionally, the year-to-date profit before tax reached INR748 crores, showcasing a marked improvement from previous year's INR390 crores, representing a growth rate of 92 percentage.

Similarly, the year-to-date profit after tax was recorded at INR548 crores, indicating a growth rate of 91 percentage when compared to the previous year of INR287 crores. Furthermore, the company redeemed its tax-free infrastructure bonds amounting to INR 100 crores in December 2023, which reduced the total debt to just INR23 crores as of current date.

As a result, the company has practically become a debt-free company. In terms of the financial indicators, the company achieved a strong EBITDA margin of 34 percentage for the 9-month period ended December '24. The margin includes other income also.

Additionally, the profit after tax, the PAT margin achieved during the same period was 23 percentage, further emphasizing the company's financial success. That's all from my side.

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Madhu S Nair: Thank you. The Board of Directors of the company, at the meeting held on 7th November 2023, had approved split of equity shares having face value of INR10, each fully paid up into two equity shares of the face value of INR5 each fully paid up. Shareholders approved the proposal

on 13th December 2023, and the split of equity shares were effective from 10th January 2024. Also, the company's Board at the recent meeting held on 30th January '24, have declared second income dividend of INR3.50 per equity share of face value of INR5 each post-split for FY '23, '24, which is repaid by end of this month. This is in addition to the first interim dividend of INR8 per equity share of the face value of INR10 each, which is pre-split, which was declared by the Board at its meeting held on 7th November '23. The total payout to the shareholders on account of these two interim dividends is INR197 crores.

Moving on to the status of various vessels under construction. For the ASW-SWC Corvettes project for the Indian Navy, a total of eight vessels is being constructed at a cost of about INR6,300 crores. The status has already been covered earlier in my talk. Regarding the Hybrid Electric Catamaran Hull vessels for Kochi Water Metro, a total of 23 vessels are contracted. Out of these 12 vessels, they have already been delivered, remaining 11 are at various stages of construction.

For the 7K Multipurpose Vessel project for European clients, a total of 8 vessels are being constructed. Vessels 1 and 2 are currently undergoing hull block erection and outfitting. The vessels 3 to 8 are at various stages of construction.

Regarding the Commissioning Service Operations Vessels project, CSOV project, two vessels are being constructed. Plate cutting for the vessels was done on September 1st, 2023, and fabrication is currently in progress. The fabrication for one number, 12,000 cubic meter Trailing Suction Hopper Dredger being constructed by CSL for DCI started on the 11th of December 2023. The pilot project of one number Hydrogen Fuel cell vessel, equipment commissioning has been completed and the vessel is in advanced stages of testing and sea trial at this moment. Eight number Hybrid Electric Catamaran Passenger Vessels from IWA at a cost of about

INR129 crores. Two of them have already been delivered in January as was mentioned earlier. And the balancing process are at various stages of construction at our subsidiary, Hooghly Cochin Shipyard Limited.

Coming to the two major expansion projects being undertaken by CSL, namely the new dry dock project at a cost of INR1,799 crores, and the International Ship Repair Facility, ISRF project costing INR970 crores. The civil work for both the projects have been completed and the projects were inaugurated by the Honourable Prime Minister Shri Narendra Modi on 17th January 2024. The ceremony was also attended by the Governor of Kerala, the Chief Minister of Kerala, the Union Minister of Port Shipping and Waterway and other high-level dignitaries. For the dry dock project, all the civil works have been completed and we are now awaiting the installation of the large 600-ton gantry crane delivered to us by M/s. Hyundai Samho Heavy Industries, South Korea. And once the crane is operational, it is expected that the project will be fully functional by mid-2024.

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Regarding the ISRF project, the civil works have been fully completed. The Ship lift system and two workstations are ready for operation. The project also includes the addition of four more workstations, which are expected to be completed by mid-2024.

I am happy to inform you that our order book currently stands at about INR21,500 crores. For ship repair, we have an order book of about INR800 plus crores. We normally guide a little bit lower, but we have about INR800 plus crores in ship repair.

I would like to conclude now and would be happy to take questions. Thank you all for your patient hearing.

Moderator: Should we start for the Q&A session?

Rajesh Gopalakrishnan: Yes.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Rohit from Antique. Please go ahead, sir.

Rohit: Congratulations on a good set of numbers. Sir, if you could just help me with the order backlog position, including the IAC work, both in Shipbuilding and Ship Repair?

Madhu S Nair: What was it, the order backlog?

Jose VJ: Got INR21,500 crores mentioned by the CMD only the order backlog. Out of that, IAC is INR1,047 crores. And ASW-SWC is INR5,215 crores. NGMV, that is Next Generation Missile Vessels is INR9,802. For total from defence is around INR16,064 crores. And on the commercial front the 1,200 passenger vessels INR286 crores, then the KMRL INR32 crores, IWA 16 vessels INR73 crores and dredger for DCI around INR869 crores. So that comes to around INR1,260. That is on the domestic front.

Then the export order, the 7,000 multipurpose vessel INR734 crores. CSOV for a European client is INR955 crores and zero-emission feeder container vessel, two numbers again to another European client is INR547 crores. And SOV for another European client is INR452 crores,

which we recently signed the contract. So the total export order is around INR2,688 crores. Then subsidiaries, we have a total order book of around INR700 crores. For ship repair, we have an order book of about INR800 plus crores. So totally INR21,500.

Rohit: Thanks, sir. From the context of the EBITDA margin front, how sustainable is this about 20% kind of EBITDA margin as we conclude this IAC?

Jose VJ: The EBITDA margin of this level may not be sustainable. But after IAC, we may be around 19 to 20 level EBITDA, excluding other income.

Rohit: Even in ASW, you mean to say the EBITDA margin can be or even NGMV can give you 19% to 20%?

Madhu S Nair: We would not like to discuss exact project wise, but largely, the guidance would be 19% level.

Jose VJ: On a blended level.

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Madhu S Nair: On a blended level. Because we operate different businesses

actually. Ship repair, ship building, different businesses. On both sides, commercial and defence are different businesses. So we would probably desist from getting into a specific project. And then at kind of detail we would desist. Because it is a little bit too complex.

Rohit: Got it, sir. From an order inflow perspective, especially on INS Vishal, would you want to make any remarks? As in any conversation about it, it will be really helpful, sir?

Madhu S Nair: We probably are not in a position to make any comment in this regard.

Rohit: Any other order inflows in pipeline like next projects we have been hearing for a long time. Any colour on those aspects? Any additional [AON]?

Madhu S Nair: Not yet, not yet.

Rohit: No, that means in terms of the conventional defence order inflow, it looks big, right?

Madhu S Nair: The RFP issued as of now is -- there is RFP for INR1,600 crores for defence projects. But there are expectations, which I may not be able to discuss, but over this year, within 2024 calendar year, we are expecting further RFPs to come in.

Moderator: And the next question is from the line of Deepak Krishnan from Kotak Institutional Equities. Please go ahead.

Deepak Krishnan: Sir just wanted to understand this change in margin guidance. Because I think last quarter, you had indicated that, ship repair would be somewhere at segmental level is 13% -14%. Sorry, ship repair is 19%, ship building is 13% -14%. So, on a blended basis, we make 16% -17%. Like, any particular reason for this sharp sort of, increasing guidance and in addition, any one-off factors...

Madhu S Nair: We're probably not getting you very clear on the line because there's too much of a booming voice coming in. Can you repeat that question one again?

Deepak Krishnan: Is it better now?

Madhu S Nair: Just go ahead. Let me see.

Deepak Krishnan: Yes, just wanted to understand the 200 bps improvement in margin. So, you had last quarter indicated that ship building does 13% -14% and ship repair does 18% -19%, blended basis was 17%?

Madhu S Nair: Yes. This quarter, as was mentioned earlier, we had the aircraft carrier, both on the Shipbuilding side and the Ship Repair side, which has helped us a little bit more on the margins.

Deepak Krishna n: Sir, I am talking about long-term steady state. Like, we are saying 19% we will do. Just wanted to understand the factors, like, which is higher than 16%, 17% which you normally indicated?

Jose VJ: The 19% indicated was post IAC period, post aircraft carrier period.

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Deepak Krishnan: Yes, yes.

Madhu S Nair: Just a minute, just a minute.

Deepak Krishnan: Sir, can you hear me fine now?

Madhu S Nair: See when you're talking the margin level, like it's -- you mentioned that we have conveyed earlier 17%, 18% kind of level, and we are now talking 19% kind of level. Is this what you said?

Deepak Krishnan: Yes, yes.

Madhu S Nair: Yes. That is actually coming through when we say 17%, 18% and what we are trying to project into the future, it is a little bit a percentage here and there will always happen. But when we are talking, you would have also seen that on the Ship Repair side, we said we are sitting on a slightly more higher firm order book. So we know that Ship Repair is going to contribute a little bit more over the next few years as we move forward. There is a higher level of confidence the kind of large projects, the multi refit contracts that come in the midlife upgrade contracts that come in.

We are getting signals that this could all be sort of sustainable into the future. These are -- these could be the method that's sustainable into the future. So don't hold us too hard on to whether it's 18% or 19%, it's somewhere around that level. That is all we would like to say, yes.

Deepak Krishnan: Sure, sir. Maybe just on the 2 new facilities. Do we

have any work in hand for the ship repair

under new dry-dock? Or would that be something that comes up over time?

Madhu S Nair: The shipbuilding dock, the new dock, the current orders, the dredger will actually be built in the new docks. And then there are further vessels already scheduled and planned into the new dock.

For ship repair, we expect to go and secure orders as we move forward. We don't think that it will be too much of a difficulty to get the orders for our ISRF facility, which is for ships below 130 meters long. We are firmly entrenched in that segment. There's quite some volumes available.

Moderator: Thank you. The next question is from the line of Raj Rishi from DCPL. Please go ahead, sir.

Raj Rishi: Just wanted your comments on how big this Ship Repair can become for you. I believe the increase in capacity is, what, 25% of India ship repair capacity.

Madhu S Nair: By numbers.

Raj Rishi: Okay. And I also read that you had mentioned in a recent interview that you're looking at a cluster in Maharashtra region also for Ship Repair. So being such a labour-intensive sector, the Ship Repair, what's the edge which you would have, say, internationally to get international orders also?

Madhu S Nair: So there are 2 parts to the question. The first one you asked was what could be the size of the business from whatever we currently have. There is the unit we have right now in Cochin, the new ISRF and the units in Mumbai, Kolkata and Port Blair. That's what we currently have. So that is something which I'm not sure whether we have said this earlier, but then we should be Cochin Shipyard Limited
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seeing INR 1,200 crores very shortly and scaling it up to a INR1,500 crores kind of level in a few years. So that is a picture which we have painted on Ship Repair.

Now what we have talked about a new cluster on the West Coast, it's something which we are in discussion. And that would be actually to try and tap larger ships. Whatever we have built till now, the new ISRF and the 3 units which we have is all for medium size ship. The only large facility is actually at Cochin Shipyard Limited, the main unit. If all goes well and final assessments are clear, then if we do something in the West Coast, that would be for slightly more larger type of vessels trying to tap the international market.

And you are asking a very pertinent question. With the kind of labour-intensive work, we need to actually work with best around or next to best around turnaround times in the world to attract business. The confidence is there, the plans are yet to evolve.

Raj Rishi: And sir, what's the labour arbitrage, say, if an international ship comes here versus some other country, what's the labour arbitrage? What's the advantage which India would offer?

Madhu S Nair: I don't think the labour arbitrage is the most important part here. It is actually the skill sets and the capability to drive. See, world-over ship repair happens in pockets and clusters. For some time, there will be labour arbitrage, that is for sure. But we would not want to do anything into the long term looking at labour arbitrage because that will be gone after some time. So it will all be best-in-class turnaround time worldwide and best-in-class capabilities, which is the confidence level.

So it may not be the arbitrage on the labour, but it is trying to actually plug into the global ship repair ecosystem.

Raj Rishi: And I also read an interview which you had mentioned that the size of the -- this global ship repair industry is like massive. And I think India is, what, 1% or something. What would be your reasonable vision as to what kind of percentage can it go to?

Madhu S Nair: I may not be able to talk on that total percentage from a country perspective. But as we say, from a CSL perspective, I said INR1,500 crores in a not faraway future. But

then maybe you should

add another INR1,000 crores to it from Cochin Shipyard point of view over the next 10 years or so, something like that.

Raj Rishi: And sir, just regards to green shipping, I think you had mentioned in the earlier call that around 2,500 ships are ready for their life -- end of life. So do you think most of them will go for green shipping or it will be just like fossil fuel?

Madhu S Nair: No, they will all go for some sort of green. All these vessels will have some green part in it. So it may not be fully green but it will all have some part of it green. That is for sure.

Raj Rishi: And sir, these 2,500 ships which you had mentioned, in how many years would it be like all of them would have to go for like some new ships have to...

Madhu S Nair: The general take is in about 10 years' time.
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Raj Rishi: In 10 years. And you would expect very, very good business from there, like?

Madhu S Nair: It is actually about our execution capabilities. We have now contracted eight ships in Cochin Shipyard from German clients, another six in our Udipi subsidiary. It will really be -- once we deliver these vessels from a quality perspective, time perspective and how beneficial it's been for the clients, that will decide how things will move into the future. But as we're speaking, we feel confident, we feel good.

Raj Rishi: Okay. And sir, recent news item, you mentioned some African country delegation, which had come to Cochin Shipyard?

Madhu S Nair: A very, very preliminary reach out. It's also got governmental angles to it, but there has been nascent MOU that has been signed. But right now, we are not sensing any business on that at this stage. But we will take it forward. We will see where it goes.

Moderator: Thank you. And the next question is from the line of Rohit from Antique. Please go ahead sir.

Rohit: My question will be more to do with the capacity augmentation that we have had in the -- with the latest edition. What is the peak shipbuilding venue execution you could do theoretically in a given year?

Madhu S Nair: That's a very tough call. That depends on the type of projects we are able to garner and the type of the projects that would come up in the market. So because that would be a very difficult question to answer because whether it's a Naval project or whether it's a conventional commercial vessel or whether it's a functional vessel, it will depend on that because that turnover, it also depends. It's not just by execution of the shipbuilding capabilities. It is also the equipment which goes in because the turnover is a sum of the -- not just the execution but the equipment also. So if it's a functionally costly ship, then the turnover could be high. So that could be a question which we would not like to answer straight away.

Rohit: Sir, let me put that question in a different way. We have somewhere like 1,10,000 deadweight tons capacity. Is it fair to assume that the correct...

Madhu S Nair: We lost you.

Moderator: The line for the current participant has been disconnected, so we will take the next question. The next question is from the line of Vignesh from Ksema Wealth. Please go ahead sir.

Vignesh: I just want to understand your guidance for FY25 along with EBITDA margins.

Madhu S Nair: Director Finance, can you just explain that?

Jose VJ: This year, we may achieve the all-time high turnover we achieved pre-COVID period. And next year, we may add another 12% to 15% above that. That is a broad guidance which I can give.

Vignesh: Okay. So approximately, it should be INR3,400 crores for the year, and it should be around INR3,700 crores approximately for next year?

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Jose VJ: In a broad way.

Vignesh: Got it. And EBITDA margin should be around 18% to 19% as you have stated it approximately?

Jose VJ: Yes, yes.

Vignesh: Okay. And how for the orders from the Europe, sir like hybrid vessel, green, are you seeing positive inquiries coming up for the next year?

Madhu S Nair: We are -- there are inquiries. We are hopeful that we will be able to convert a few of those because these are all in various stages of discussion, but there are inquiries. There's no dearth of inquiry.

Vignesh: Okay, okay. And other things, any passenger ships kind of thing where in the waterways where our government is focusing on tourism kind of things, are we getting any orders in such a manner there?

Madhu S Nair: We are not in a position to discuss orders at this stage. And the smaller vessels, especially for the inland waterways space, there are discussions that would be largely handled by our subsidiary from Kolkata. That is our thinking. HCSL, Hoshangabad Cochin Shipyard Limited.

Vignesh: Okay. So but discussions are going on in...

Madhu S Nair: There are discussions happening, yes.

Moderator: And the next question is from the line of Viraj from Jupiter Financial. Please go ahead sir.

Viraj: Congratulations in outstanding numbers. My question is regarding the previous participant.

Are you guiding 15% growth from the pre-COVID levels? So that should be in the range of [3,000 -- 700 to 800] top line? And what would be the PAT margin, would be in the range of

18%?

Jose VJ: PAT margin may not be in the 18% level because next year, we will have the depreciation provision of the new capex which we commissioned. So PAT margin, it may be lower, but EBITDA level, it will be around 18% to 19%, 19% as we guided.

Viraj: The PAT margin should be in range of 15% to 16%, then that should be the case.

Jose VJ: Yes, because after considering the depreciation of the additional depreciation from the new projects, that's correct.

Viraj: Okay. And there was an article in one of the newspapers where Navy said that they would be interested in having two different -- two aircraft carrier. Any comment on that?

Madhu S Nair: See, the Navy has gone on record on that matter. But regarding a contract or any further discussions, we would not have any comments.

Moderator: The next question is from the line of Raj Rishi from DCPL. Please go ahead, sir.

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Raj Rishi: Some companies have commented on, like, India's advantage for them because of the geopolitical situation. People are a little averse to China and the political reach, which the present establishment has global south, etcetera, etcetera, is helping their cause in getting business. So how would you comment as far as -- what would you comment on this as far as Cochin Shipyard is concerned?

Madhu S Nair: I'd say overall field for India is looking very positive. And we have been a little bit of an early mover in this space, especially in West Europe. And right now, with the geopolitics, we feel it's much better positive vibes coming in. So it's definitely looking good for us.

Raj Rishi: Okay. So this -- do you get help from the government to government level also, like you have to solicit business on your own?

Madhu S Nair: We do it on our own. Government is not getting involved in the business.

Moderator: And the next question is from the line of Vignesh from Ksema Wealth. Please go ahead.

Vignesh: Just wanted to understand the opportunity. Apart from Europe, are we targeting any other geographies as such?

Madhu S Nair: Not really at this stage.

Vignesh: Okay. So basically, we are seeing like execution or the orders are pulled from the Europe side, execution will be a challenge is what we understand, sir?

Madhu S Nair: Europe, our strength we have built up is a little bit towards Europe, which is quality of the product, engineering strength of the organization, trust that we have built up over the past 20 years with various

us clients in Europe, visibility in Europe.

And especially since Europe is looking at significant vessels to be built, we really see no reason at this stage to check other geographies at this stage. We are aware of what could happen in other places. But right now, we are focused on Europe other than what we are seeing in the country on our defence and whatever is happening within the country.

Vignesh: Okay, understood. Just a little bit more on Europe orders. Were we are seeing it is the replacement demand or the new ships, which is being coming up for the orders with us?

Madhu S Nair: So Europe, two types of demand is what we are seeing. One is in European short sea vessels, which are various type of cargo, multipurpose vessels plying largely within Europe. These are largely old vessels. Average age of the fleet could be getting close to 20 years. And naturally, they would need replacement. And when they are getting replaced, they will not get replaced by old class design. They will get replaced by newer technologies and lesser emission vessels, so what we call the green or the hybrid vessels. So that is one part of the demand.

The second part of the demand what we are focused on is the wind energy market, which is emerging in Europe and allied requirement for service and support vessels in the wind farm fields. This is expected to peak from 2027 onwards. So right now, there are various agencies

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finding it right time to start doing the investment into this segment. And we are getting into that circuit.

Vignesh: Sir, just a bit more on the wind energy. Why do these ships come in? How does it work for the wind energy market for ships, just to understand more on that?

Madhu S Nair: It's a difficult question. All I can just explain is the wind energy in Europe, being in the tropics, wind energy is going to be dominating the energy transition into the future, and these are largely going to be offshore wind. So it will be offshore field. When you install fixed offshore wind towers or floating wind towers, these days about 10 megawatt each tower and countries are

rolling out their own scale.

For example, U.K. is talking about 25 gigawatt. Various other countries are talking about. So once this field come up with multiple thousands of wind towers in the field, all these windmills will need continual maintenance and support. And you need a lot of specialized ships in the field to go ahead and service this market. We are trying to look at that support ship, various types of support ships.

Moderator: And the next question is from the line of Deepak Krishnan from Kotak Institutional Equities. Please go ahead, sir.

Deepak Krishnan: Just wanted to check because you said that the margin increase and all of that is some sort of large number of ship repair and ship refit contracts. So, when you indicate ship repair, INR1,200 crores for the top line, that also includes these medium refit orders? Or ships are largely booked in shipbuilding and how big a pipeline is this?

Madhu S Nair: All the medium refit, all whatever we said, that is all ship repair. All the mid-life upgrades and the multi-refit contracts, it will all be ship repair. And as we move forward, we feel, as you rightly pointed out, the ship repair turnover goes up and we can hold our business tight as we are doing right now. That will be positive for the company as we move forward.

Deepak Krishnan: What could be the size of this research market right now or maybe, say, next two, three years, what is the size that Cochin Shipyard is targeting?

Madhu S Nair: As I said, these are very, very fluctuating figures. That's why we wouldn't want to stick to exact figures. But right now, visibility could be INR1,200 crores in a year or two, INR1,500 crores in three and three odd years. This would be roughly where we would like to be.

Deepak Kris

hnan: And maybe just sort of understanding if there's any update on IAC -2 potential, anything that you can kind of think that could happen?

Madhu S Nair: Not yet. We both are on the same page. Whatever is there in public domain, only we also know.

Deepak Krishnan: Okay, sir. Those are my questions. Maybe just one more follow up. Any guidance that you've given for next year? I sort of lost out on the call in between.

Madhu S Nair: We just conveyed this a bit.

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Deepak Krishnan: Sorry, I got dropped off. Could you just repeat that?

Madhu S Nair: What we had said is like for this year, we would exceed our all-time best turnover targets. And for the next year, that's for FY'25, we would try to raise it by 12 to 15 percentage on top of that.

Moderator: As there are no further questions from the participants, I now hand the conference over to management for closing comments.

Madhu S Nair: Thank you, dear participants, and we are happy to have all of you tuning into the company. We continue to have these engagements taking forward, and whenever there is any significant events or developments in the company, we'll appropriately convey it to the market. Thank you. Thanks for your time.

Moderator: On behalf of Kirin Advisors, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2024

SEC/48/2017 -63 February 15, 202 4

The Manager
Compliance Department
BSE Limited
Phiroze Jeejeebhoy Tower
Dalal Street
Mumbai – 400 001 The Manager
Compliance Department
The National Stock Exchange of India Ltd.
Exchange Plaza
Bandra – Kurla Complex, Bandra (East)
Mumbai – 400 051
Scrip Code/Symbol: 540678/COCHINSHIP

Dear Sir/Madam ,

Subject: Transcript of Investor/ Analyst Conference Call to discuss the financial results of the Company for the quarter ended December 31, 2023

1. Further to our communication with respect to the conference call to discuss the financial results of the Company for the quarter ended December 31, 2023, please find attached herewith the transcript of the said conference call conducted on Thurs day, February 08, 202 4 at 04.00 PM IST.

2. The above is for your information and record please .

For Cochin Shipyard Limited

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“Cochin Shipyard Limited
Q3 FY’2 4 Results Conference Call ”
February 08, 202 4

MANAGEMENT : MR. MADHU S NAIR – CHAIRMAN AND MANAGING
DIRECTOR – COCHIN SHIPYARD LIMITED
MR. JOSE V J – DIRECTOR FINANCE – COCHIN
SHIPYARD LIMITED
MR. RAJESH GOPALAKRISHNAN – CHIEF GENERAL
MANAGER , SHIP REPAIR – COCHIN SHIPYARD
LIMITED
MR. HARIKRISHNAN S – CHIEF GENERAL MANAGER ,
SHIPBUILDING – COCHIN SHIPYARD LIMITED
MR. SHIBU JOHN – GENERAL MANAGER, FINANCE –
COCHIN SHIPYARD LIMITED
MR. SYAMKAMAL N – COMPANY SECRETARY –
COCHIN SHIPYARD LIMITED

MODERATOR : MS. CHANDNI CHANDE – KIRIN ADVISORS

Cochin Shipyard Limited
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Moderator: Ladies and gentlemen, good day, and welcome to the Q3 FY '24 Results Conference Call of Cochin Shipyard Limited hosted by Kirin Advisors. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Chandni Chande from Kirin Advisors. Thank you, and over to you, ma'am.

Chandni Chande: Thank you. On behalf of Kirin Advisors, I welcome you all to the conference call of Cochin Shipyard Limited. From management side, we have Mr. Madhu S Nair, Chairman and Managing Director; Mr. Jose V J, Director of Finance; Mr. Rajesh Gopalakrishnan, Chief General Manager of Ship Repair; Mr. Hari Krishnan, Chief General Manager, Ship building; Mr. Shibu General Manager of Finance; Mr. Syamkamal, who is Company Secretary.

Now I hand over the call to Mr. Madhu S Nair. Over to you, sir.

Madhu S Nair: Good evening to all present in this conference call. I Madhu S Nair, Chairman and Managing Director of Cochin Shipyard Limited, I would like to extend a warm welcome to all the participants who are joining us today. I'm joined by Sri Jose V J, our Director of Finance; Sri Rajesh Gopalakrishnan, Chief General Manager, Ship Repair; Sri Hari Krishnan S., Chief General Manager, Shipbuilding; Sri Shibu John, General Manager, Finance; and Shri Syamkamal N, our Company Secretary.

I would like to bring to your attention, operational achievements in the third quarter of FY '24. Two major defence projects stood out during this period. Firstly, INS Vikrant, the Indigenous Aircraft Carrier commissioned in September 2022 by the Honourable Prime Minister. This project played a significant role in generating revenue for both Shipbuilding and Ship Repair during this quarter.

The second noteworthy project involved the construction of ASW SWC for the Indian Navy with an estimated overall value of about INR 6,300 crores. The progress on this project has been good and we are happy to inform you that 3 vessels were simultaneously launched on 30th November 2023, which is probably a first for such projects of the Indian Navy. Currently, on these 3 vessels which have been launched, the machinery outfitting works are underway. Additionally, 2 more vessels, that's vessel number 4 and 5 in the series had their keel laid on 8th December 2023, and currently hull block erection is in progress. The remaining 3 vessels, that's vessel number 6, 7 and 8 are also in the advanced stages of block fabrication.

On the commercial front, of the Multi-Purpose Vessel projects, 8 numbers which we are executing for European clients, also contributed during this quarter. With respect to new orders, CSL has received several important orders in the third quarter until this date.

In October 2023, the Ministry of Defence entered into a contract with CSL for a mid-life upgrade and repowering of a Naval platform at a cost of INR 313.42 crores. This project is expected to Cochin Shipyard Limited
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be completed in 24 months and involves the modernization and upgradation of various systems and the equipment on-board the ship to enhance its operational capability. We consider this as a significant order win because this could set the context for such projects into the future.

Furthermore, in December 2023, CSL signed a contract, again with the Ministry of Defence for a value of INR 488.25 crores. This contract entails the repair and maintenance of equipment and systems onboard INS Vikrant. The full work is expected to be completed by the first quarter of FY '25.

Additionally, on the

shipbuilding front, in January 2024, CSL secured orders from a European client for the design and construction of 1 Hybrid SOV, Service Operation Vessel, the project cost for this firm order is estimated to be approximately INR 500 crores with the vessel scheduled to be delivered in 2026.

The vessel is designed and built to cater to the service, maintenance and operational needs of the offshore wind farm industry in the European market where sustainable energy solutions are in high demand. It is significant again from the point that this again is a hybrid SOV.

In early February 2024, we have signed ship repair contracts for undertaking medium refit of 2 India Naval vessels. This is called a multiple refit contract because it's 2 vessels together, so this multiple refit contracts valued at around INR 150 crores include drydocking, refits, as well as upgradation of equipment on board the ships.

Now I would like to go through other achievements during the period, which I also consider worth mentioning here. CSL successfully delivered 2 Electric Hybrid 100 Pax vessels to the

Cochin Water Metro project, a venture which has had considerable significance and visibility nationwide.

The replication of this project in various regions is underway and the contract for 8 vessels with similar configuration has been awarded by the Inland Waterways Authority of India to Cochin Shipyard Limited and two of them have already been delivered in January and has presently been positioned, 1 each at Ayodhya and Varanasi.

We started the fabrication of steel-cutting and fabrication of the Trailer Suction Hopper Dredger being built by CSL for Dredging Corporation of India. Our subsidiary company, Udupi Cochin Shipyard Limited, UCSL has delivered the first 62-ton Bollard Pull Tug to Ocean Sparkle Limited, which is now part of the Adani Group, which is the leading tug operator in India.

Also, the keel has been laid for the second 70-ton Bollard Pull Tug for Polestar Maritime Limited. Members may be aware that UCSL has contracted to build 2 numbers 62-Ton Bollard Pull Tug for Ocean Sparkle and 2 numbers, 70 Ton Bollard Pull Tug for Polestar.

Also, at UCSL, fabrication has commenced for 2 numbers, 3,800 ton dry cargo vessels being constructed for Wilson Shipowning AS, Norway, which is part of a 6-vessel series. This showcase of UCSL venture into the global shipbuilding arena.

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It's worthwhile and we take pride in informing that CSL, the main unit, Cochin Shipyard Limited has been upgraded to the GreenCo – CII GreenCo Gold rating. We were earlier rated at CII GreenCo Silver by the Confederation of the Indian Industry under the GreenCo framework. So this upgradation from GreenCo Silver to GreenCo Gold, is in line with the efforts being put by CSL to upgrade its green and environmental footprint.

The confidence that our greening efforts will establish us, as a benchmark for shipbuilding and repair yards in India and also give confidence to various ship-owners looking to build green ships in the country is encouraging for Cochin Shipyard Limited.

Moving on to the financials, I would like to mention that our financial results for the third quarter were indicative of positive growth. These results were uploaded on 30th January 2024, and I'm sure that all of you have gone through it in detail.

I would request Mr. Jose VJ, Director, Finance, to briefly touch upon the results for the third quarter of FY '24.

Jose VJ: Yes. Good evening, everyone. The financial performance of the company during the period were in line with our expectations. In the third quarter of FY '24, the company witnessed a significant increase in turnover, reaching INR1,021.45 crores compared to INR631 crores in the third quarter of FY '23, demonstrating a growth rate of 62 percentage. Similarly, the profit before tax for the third

quarter of FY '24 also showed remarkable improvement with INR345 crores as opposed to INR151 crores in Q3 of FY '23, indicating a growth rate of 129 percentage. Moreover, the profit after tax for Q3 of FY '24 stood at INR248 crores, a substantial increase from INR118 crores in Q3 of FY '23, reflecting a growth rate of 109 percentage. When considering the year-to-date performance, the company experienced overall growth in turnover and profitability.

The year-to-date turnover of FY '24 amounted to INR2,420 crores, making a 38% increase compared to the previous year turnover of INR1,753 crores. Additionally, the year-to-date profit before tax reached INR748 crores, showcasing a marked improvement from previous year's INR390 crores, representing a growth rate of 92 percentage.

Similarly, the year-to-date profit after tax was recorded at INR548 crores, indicating a growth rate of 91 percentage when compared to the previous year of INR287 crores. Furthermore, the company redeemed its tax-free infrastructure bonds amounting to INR 100 crores in December 2023, which reduced the total debt to just INR23 crores as of current date.

As a result, the company has practically become a debt-free company. In terms of the financial indicators, the company achieved a strong EBITDA margin of 34 percentage for the 9-month period ended December '24. The margin includes other income also.

Additionally, the profit after tax, the PAT margin achieved during the same period was 23 percentage, further emphasizing the company's financial success. That's all from my side.

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Madhu S Nair: Thank you. The Board of Directors of the company, at the meeting held on 7th November 2023, had approved split of equity shares having face value of INR10, each fully paid up into two equity shares of the face value of INR5 each fully paid up. Shareholders approved the proposal

on 13th December 2023, and the split of equity shares were effective from 10th January 2024. Also, the company's Board at the recent meeting held on 30th January '24, have declared second income dividend of INR3.50 per equity share of face value of INR5 each post-split for FY '23, '24, which is repaid by end of this month. This is in addition to the first interim dividend of INR8 per equity share of the face value of INR10 each, which is pre-split, which was declared by the Board at its meeting held on 7th November '23. The total payout to the shareholders on account of these two interim dividends is INR197 crores.

Moving on to the status of various vessels under construction. For the ASW-SWC Corvettes project for the Indian Navy, a total of eight vessels is being constructed at a cost of about INR6,300 crores. The status has already been covered earlier in my talk. Regarding the Hybrid Electric Catamaran Hull vessels for Kochi Water Metro, a total of 23 vessels are contracted. Out of these 12 vessels, they have already been delivered, remaining 11 are at various stages of construction.

For the 7K Multipurpose Vessel project for European clients, a total of 8 vessels are being constructed. Vessels 1 and 2 are currently undergoing hull block erection and outfitting. The vessels 3 to 8 are at various stages of construction.

Regarding the Commissioning Service Operations Vessels project, CSOV project, two vessels are being constructed. Plate cutting for the vessels was done on September 1st, 2023, and fabrication is currently in progress. The fabrication for one number, 12,000 cubic meter Trailing Suction Hopper Dredger being constructed by CSL for DCI started on the 11th of December 2023. The pilot project of one number Hydrogen Fuel cell vessel, equipment commissioning has been completed and the vessel is in advanced stages of testing and sea trial at this moment. Eight number Hybrid Electric Catamaran Passenger Vessels from IWA at a cost of about

INR129 crores. Two of them have already been delivered in January as was mentioned earlier.

And the balancing process are at various stages of construction at our subsidiary, Hooghly Cochin Shipyard Limited.

Coming to the two major expansion projects being undertaken by CSL, namely the new dry dock project at a cost of INR1,799 crores, and the International Ship Repair Facility, ISRF project costing INR970 crores. The civil work for both the projects have been completed and the projects were inaugurated by the Honourable Prime Minister Shri Narendra Modi on 17th January 2024. The ceremony was also attended by the Governor of Kerala, the Chief Minister of Kerala, the Union Minister of Port Shipping and Waterway and other high-level dignitaries. For the dry dock project, all the civil works have been completed and we are now awaiting the installation of the large 600-ton gantry crane delivered to us by M/s. Hyundai Samho Heavy Industries, South Korea. And once the crane is operational, it is expected that the project will be fully functional by mid-2024.

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Regarding the ISRF project, the civil works have been fully completed. The Ship lift system and two workstations are ready for operation. The project also includes the addition of four more workstations, which are expected to be completed by mid-2024.

I am happy to inform you that our order book currently stands at about INR21,500 crores. For ship repair, we have an order book of about INR800 plus crores. We normally guide a little bit lower, but we have about INR800 plus crores in ship repair.

I would like to conclude now and would be happy to take questions. Thank you all for your patient hearing.

Moderator: Should we start for the Q&A session?

Rajesh Gopalakrishnan: Yes.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Rohit from Antique. Please go ahead, sir.

Rohit: Congratulations on a good set of numbers. Sir, if you could just help me with the order backlog position, including the IAC work, both in Shipbuilding and Ship Repair?

Madhu S Nair: What was it, the order backlog?

Jose VJ: Got INR21,500 crores mentioned by the CMD only the order backlog. Out of that, IAC is INR1,047 crores. And ASW-SWC is INR5,215 crores. NGMV, that is Next Generation Missile Vessels is INR9,802. For total from defence is around INR16,064 crores. And on the commercial front the 1,200 passenger vessels INR286 crores, then the KMRL INR32 crores, IWA 16 vessels INR73 crores and dredger for DCI around INR869 crores. So that comes to around INR1,260. That is on the domestic front.

Then the export order, the 7,000 multipurpose vessel INR734 crores. CSOV for a European client is INR955 crores and zero-emission feeder container vessel, two numbers again to another European client is INR547 crores. And SOV for another European client is INR452 crores,

which we recently signed the contract. So the total export order is around INR2,688 crores. Then subsidiaries, we have a total order book of around INR700 crores. For ship repair, we have an order book of about INR800 plus crores. So totally INR21,500.

Rohit: Thanks, sir. From the context of the EBITDA margin front, how sustainable is this about 20% kind of EBITDA margin as we conclude this IAC?

Jose VJ: The EBITDA margin of this level may not be sustainable. But after IAC, we may be around 19 to 20 level EBITDA, excluding other income.

Rohit: Even in ASW, you mean to say the EBITDA margin can be or even NGMV can give you 19% to 20%?

Madhu S Nair: We would not like to discuss exact project wise, but largely, the guidance would be 19% level.

Jose VJ: On a blended level.

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Madhu S Nair: On a blended level. Because we operate different businesses

actually. Ship repair, ship building, different businesses. On both sides, commercial and defence are different businesses. So we would probably desist from getting into a specific project. And then at that kind of detail we would desist. Because it is a little bit too complex.

Rohit: Got it, sir. From an order inflow perspective, especially on INS Vishal, would you want to make any remarks? As in any conversation about it, it will be really helpful, sir?

Madhu S Nair: We probably are not in a position to make any comment in this regard.

Rohit: Any other order inflows in pipeline like next projects we have been hearing for a long time. Any colour on those aspects? Any additional [AON]?

Madhu S Nair: Not yet, not yet.

Rohit: No, that means in terms of the conventional defence order inflow, it looks big, right?

Madhu S Nair: The RFP issued as of now is -- there is RFP for INR1,600 crores for defence projects. But there are expectations, which I may not be able to discuss, but over this year, within 2024 calendar year, we are expecting further RFPs to come in.

Moderator: And the next question is from the line of Deepak Krishnan from Kotak Institutional Equities. Please go ahead.

Deepak Krishnan: Sir just wanted to understand this change in margin guidance. Because I think last quarter, you had indicated that, ship repair would be somewhere at segmental level is 13% -14%. Sorry, ship repair is 19%, ship building is 13% -14%. So, on a blended basis, we make 16% -17%. Like, any particular reason for this sharp sort of, increasing guidance and in addition, any one-off factors...

Madhu S Nair: We're probably not getting you very clear on the line because there's too much of a booming voice coming in. Can you repeat that question one again?

Deepak Krishnan: Is it better now?

Madhu S Nair: Just go ahead. Let me see.

Deepak Krishnan: Yes, just wanted to understand the 200 bps improvement in margin. So, you had last quarter indicated that ship building does 13% -14% and ship repair does 18% -19%, blended basis was 17%?

Madhu S Nair: Yes. This quarter, as was mentioned earlier, we had the aircraft carrier, both on the Shipbuilding side and the Ship Repair side, which has helped us a little bit more on the margins.

Deepak Krishna n: Sir, I am talking about long-term steady state. Like, we are saying 19% we will do. Just wanted to understand the factors, like, which is higher than 16%, 17% which you normally indicated?

Jose VJ: The 19% indicated was post IAC period, post aircraft carrier period.

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Deepak Krishnan: Yes, yes.

Madhu S Nair: Just a minute, just a minute.

Deepak Krishnan: Sir, can you hear me fine now?

Madhu S Nair: See when you're talking the margin level, like it's -- you mentioned that we have conveyed earlier 17%, 18% kind of level, and we are now talking 19% kind of level. Is this what you said?

Deepak Krishnan: Yes, yes.

Madhu S Nair: Yes. That is actually coming through when we say 17%, 18% and what we are trying to project into the future, it is a little bit a percentage here and there will always happen. But when we are talking, you would have also seen that on the Ship Repair side, we said we are sitting on a slightly more higher firm order book. So we know that Ship Repair is going to contribute a little bit more over the next few years as we move forward. There is a higher level of confidence the kind of large projects, the multi refit contracts that come in the midlife upgrade contracts that come in.

We are getting signals that this could all be sort of sustainable into the future. These are -- these could be the method that's sustainable into the future. So don't hold us too hard on to whether it's 18% or 19%, it's somewhere around that level. That is all we would like to say, yes.

Deepak Krishnan: Sure, sir. Maybe just on the 2 new facilities. Do we

have any work in hand for the ship repair

under new dry-dock? Or would that be something that comes up over time?

Madhu S Nair: The shipbuilding dock, the new dock, the current orders, the dredger will actually be built in the new docks. And then there are further vessels already scheduled and planned into the new dock.

For ship repair, we expect to go and secure orders as we move forward. We don't think that it will be too much of a difficulty to get the orders for our ISRF facility, which is for ships below 130 meters long. We are firmly entrenched in that segment. There's quite some volumes available.

Moderator: Thank you. The next question is from the line of Raj Rishi from DCPL. Please go ahead, sir.

Raj Rishi: Just wanted your comments on how big this Ship Repair can become for you. I believe the increase in capacity is, what, 25% of India ship repair capacity.

Madhu S Nair: By numbers.

Raj Rishi: Okay. And I also read that you had mentioned in a recent interview that you're looking at a cluster in Maharashtra region also for Ship Repair. So being such a labour-intensive sector, the Ship Repair, what's the edge which you would have, say, internationally to get international orders also?

Madhu S Nair: So there are 2 parts to the question. The first one you asked was what could be the size of the business from whatever we currently have. There is the unit we have right now in Cochin, the new ISRF and the units in Mumbai, Kolkata and Port Blair. That's what we currently have. So that is something which I'm not sure whether we have said this earlier, but then we should be Cochin Shipyard Limited

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seeing INR 1,200 crores very shortly and scaling it up to a INR1,500 crores kind of level in a few years. So that is a picture which we have painted on Ship Repair.

Now what we have talked about a new cluster on the West Coast, it's something which we are in discussion. And that would be actually to try and tap larger ships. Whatever we have built till now, the new ISRF and the 3 units which we have is all for medium size ship. The only large facility is actually at Cochin Shipyard Limited, the main unit. If all goes well and final assessments are clear, then if we do something in the West Coast, that would be for slightly more larger type of vessels trying to tap the international market.

And you are asking a very pertinent question. With the kind of labour-intensive work, we need to actually work with best around or next to best around turnaround times in the world to attract business. The confidence is there, the plans are yet to evolve.

Raj Rishi: And sir, what's the labour arbitrage, say, if an international ship comes here versus some other country, what's the labour arbitrage? What's the advantage which India would offer?

Madhu S Nair: I don't think the labour arbitrage is the most important part here. It is actually the skill sets and the capability to drive. See, world-over ship repair happens in pockets and clusters. For some time, there will be labour arbitrage, that is for sure. But we would not want to do anything into the long term looking at labour arbitrage because that will be gone after some time. So it will all be best-in-class turnaround time worldwide and best-in-class capabilities, which is the confidence level.

So it may not be the arbitrage on the labour, but it is trying to actually plug into the global ship repair ecosystem.

Raj Rishi: And I also read an interview which you had mentioned that the size of the -- this global ship repair industry is like massive. And I think India is, what, 1% or something. What would be your reasonable vision as to what kind of percentage can it go to?

Madhu S Nair: I may not be able to talk on that total percentage from a country perspective. But as we say, from a CSL perspective, I said INR1,500 crores in a not faraway future. But

then maybe you should

add another INR1,000 crores to it from Cochin Shipyard point of view over the next 10 years or so, something like that.

Raj Rishi: And sir, just regards to green shipping, I think you had mentioned in the earlier call that around 2,500 ships are ready for their life -- end of life. So do you think most of them will go for green shipping or it will be just like fossil fuel?

Madhu S Nair: No, they will all go for some sort of green. All these vessels will have some green part in it. So it may not be fully green but it will all have some part of it green. That is for sure.

Raj Rishi: And sir, these 2,500 ships which you had mentioned, in how many years would it be like all of them would have to go for like some new ships have to...

Madhu S Nair: The general take is in about 10 years' time.
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Raj Rishi: In 10 years. And you would expect very, very good business from there, like?

Madhu S Nair: It is actually about our execution capabilities. We have now contracted eight ships in Cochin Shipyard from German clients, another six in our Udipi subsidiary. It will really be -- once we deliver these vessels from a quality perspective, time perspective and how beneficial it's been for the clients, that will decide how things will move into the future. But as we're speaking, we feel confident, we feel good.

Raj Rishi: Okay. And sir, recent news item, you mentioned some African country delegation, which had come to Cochin Shipyard?

Madhu S Nair: A very, very preliminary reach out. It's also got governmental angles to it, but there has been nascent MOU that has been signed. But right now, we are not sensing any business on that at this stage. But we will take it forward. We will see where it goes.

Moderator: Thank you. And the next question is from the line of Rohit from Antique. Please go ahead sir.

Rohit: My question will be more to do with the capacity augmentation that we have had in the -- with the latest edition. What is the peak shipbuilding venue execution you could do theoretically in a given year?

Madhu S Nair: That's a very tough call. That depends on the type of projects we are able to garner and the type of the projects that would come up in the market. So because that would be a very difficult question to answer because whether it's a Naval project or whether it's a conventional commercial vessel or whether it's a functional vessel, it will depend on that because that turnover, it also depends. It's not just by execution of the shipbuilding capabilities. It is also the equipment which goes in because the turnover is a sum of the -- not just the execution but the equipment also. So if it's a functionally costly ship, then the turnover could be high. So that could be a question which we would not like to answer straight away.

Rohit: Sir, let me put that question in a different way. We have somewhere like 1,10,000 deadweight tons capacity. Is it fair to assume that the correct...

Madhu S Nair: We lost you.

Moderator: The line for the current participant has been disconnected, so we will take the next question. The next question is from the line of Vignesh from Ksema Wealth. Please go ahead sir.

Vignesh: I just want to understand your guidance for FY25 along with EBITDA margins.

Madhu S Nair: Director Finance, can you just explain that?

Jose VJ: This year, we may achieve the all-time high turnover we achieved pre-COVID period. And next year, we may add another 12% to 15% above that. That is a broad guidance which I can give.

Vignesh: Okay. So approximately, it should be INR3,400 crores for the year, and it should be around INR3,700 crores approximately for next year?

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Jose VJ: In a broad way.

Vignesh: Got it. And EBITDA margin should be around 18% to 19% as you have stated it approximately?

Jose VJ: Yes, yes.

Vignesh: Okay. And how for the orders from the Europe, sir like hybrid vessel, green, are you seeing positive inquiries coming up for the next year?

Madhu S Nair: We are -- there are inquiries. We are hopeful that we will be able to convert a few of those because these are all in various stages of discussion, but there are inquiries. There's no dearth of inquiry.

Vignesh: Okay, okay. And other things, any passenger ships kind of thing where in the waterways where our government is focusing on tourism kind of things, are we getting any orders in such a manner there?

Madhu S Nair: We are not in a position to discuss orders at this stage. And the smaller vessels, especially for the inland waterways space, there are discussions that would be largely handled by our subsidiary from Kolkata. That is our thinking. HCSL, Hoshangabad Cochin Shipyard Limited.

Vignesh: Okay. So but discussions are going on in...

Madhu S Nair: There are discussions happening, yes.

Moderator: And the next question is from the line of Viraj from Jupiter Financial. Please go ahead sir.

Viraj: Congratulations on outstanding numbers. My question is regarding the previous participant.

Are you guiding 15% growth from the pre-COVID levels? So that should be in the range of [3,000 -- 700 to 800] top line? And what would be the PAT margin, would be in the range of

18%?

Jose VJ: PAT margin may not be in the 18% level because next year, we will have the depreciation provision of the new capex which we commissioned. So PAT margin, it may be lower, but EBITDA level, it will be around 18% to 19%, 19% as we guided.

Viraj: The PAT margin should be in range of 15% to 16%, then that should be the case.

Jose VJ: Yes, because after considering the depreciation of the additional depreciation from the new projects, that's correct.

Viraj: Okay. And there was an article in one of the newspapers where Navy said that they would be interested in having two different -- two aircraft carrier. Any comment on that?

Madhu S Nair: See, the Navy has gone on record on that matter. But regarding a contract or any further discussions, we would not have any comments.

Moderator: The next question is from the line of Raj Rishi from DCPL. Please go ahead, sir.

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Raj Rishi: Some companies have commented on, like, India's advantage for them because of the geopolitical situation. People are a little averse to China and the political reach, which the present establishment has global south, etcetera, etcetera, is helping their cause in getting business. So how would you comment as far as -- what would you comment on this as far as Cochin Shipyard is concerned?

Madhu S Nair: I'd say overall field for India is looking very positive. And we have been a little bit of an early mover in this space, especially in West Europe. And right now, with the geopolitics, we feel it's much better positive vibes coming in. So it's definitely looking good for us.

Raj Rishi: Okay. So this -- do you get help from the government to government level also, like you have to solicit business on your own?

Madhu S Nair: We do it on our own. Government is not getting involved in the business.

Moderator: And the next question is from the line of Vignesh from Ksema Wealth. Please go ahead.

Vignesh: Just wanted to understand the opportunity. Apart from Europe, are we targeting any other geographies as such?

Madhu S Nair: Not really at this stage.

Vignesh: Okay. So basically, we are seeing like execution or the orders are pulled from the Europe side, execution will be a challenge is what we understand, sir?

Madhu S Nair: Europe, our strength we have built up is a little bit towards Europe, which is quality of the product, engineering strength of the organization, trust that we have built up over the past 20 years with various

us clients in Europe, visibility in Europe.

And especially since Europe is looking at significant vessels to be built, we really see no reason at this stage to check other geographies at this stage. We are aware of what could happen in other places. But right now, we are focused on Europe other than what we are seeing in the country on our defence and whatever is happening within the country.

Vignesh: Okay, understood. Just a little bit more on Europe orders. Were we are seeing it is the replacement demand or the new ships, which is being coming up for the orders with us?

Madhu S Nair: So Europe, two types of demand is what we are seeing. One is in European short sea vessels, which are various type of cargo, multipurpose vessels plying largely within Europe. These are largely old vessels. Average age of the fleet could be getting close to 20 years. And naturally, they would need replacement. And when they are getting replaced, they will not get replaced by old class design. They will get replaced by newer technologies and lesser emission vessels, so what we call the green or the hybrid vessels. So that is one part of the demand.

The second part of the demand what we are focused on is the wind energy market, which is emerging in Europe and allied requirement for service and support vessels in the wind farm fields. This is expected to peak from 2027 onwards. So right now, there are various agencies

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finding it right time to start doing the investment into this segment. And we are getting into that circuit.

Vignesh: Sir, just a bit more on the wind energy. Why do these ships come in? How does it work for the wind energy market for ships, just to understand more on that?

Madhu S Nair: It's a difficult question. All I can just explain is the wind energy in Europe, being in the tropics, wind energy is going to be dominating the energy transition into the future, and these are largely going to be offshore wind. So it will be offshore field. When you install fixed offshore wind towers or floating wind towers, these days about 10 megawatt each tower and countries are

rolling out their own scale.

For example, U.K. is talking about 25 gigawatt. Various other countries are talking about. So once this field come up with multiple thousands of wind towers in the field, all these windmills will need continual maintenance and support. And you need a lot of specialized ships in the field to go ahead and service this market. We are trying to look at that support ship, various types of support ships.

Moderator: And the next question is from the line of Deepak Krishnan from Kotak Institutional Equities. Please go ahead, sir.

Deepak Krishnan: Just wanted to check because you said that the margin increase and all of that is some sort of large number of ship repair and ship refit contracts. So, when you indicate ship repair, INR1,200 crores for the top line, that also includes these medium refit orders? Or ships are largely booked in shipbuilding and how big a pipeline is this?

Madhu S Nair: All the medium refit, all whatever we said, that is all ship repair. All the mid -life upgrades and the multi -refit contracts, it will all be ship repair. And as we move forward, we feel, as you rightly pointed out, the ship repair turnover goes up and we can hold our business tight as we are doing right now. That will be positive for the company as we move forward.

Deepak Krishnan: What could be the size of this research market right now or maybe, say, next two, three years, what is the size that Cochin Shipyard is targeting?

Madhu S Nair: As I said, these are very, very fluctuating figures. That's why we wouldn't want to stick to exact figures. But right now, visibility could be INR1,200 crores in a year or two, INR1,500 crores in three and three odd years. This would be roughly where we would like to be.

Deepak Kris

hnan: And maybe just sort of understanding if there's any update on IAC -2 potential, anything that you can kind of think that could happen?

Madhu S Nair: Not yet. We both are on the same page. Whatever is there in public domain, only we also know.

Deepak Krishnan: Okay, sir. Those are my questions. Maybe just one more follow up. Any guidance that you've given for next year? I sort of lost out on the call in between.

Madhu S Nair: We just conveyed this a bit.

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Deepak Krishnan: Sorry, I got dropped off. Could you just repeat that?

Madhu S Nair: What we had said is like for this year, we would exceed our all -time best turnover targets. And for the next year, that's for FY'25, we would try to raise it by 12 to 15 percentage on top of that.

Moderator: As there are no further questions from the participants, I now hand the conference over to management for closing comments.

Madhu S Nair: Thank you, dear participants, and we are happy to have all of you tuning into the company. We continue to have these engagements taking forward, and whenever there is any significant events or developments in the company, we'll appropriately convey it to the market. Thank you. Thanks for your time.

Moderator: On behalf of Kirin Advisors, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jun 2024

Dear Sir / Madam ,

Subject : Transcript of Investor / Analyst Conference Call to discuss the financial results of the Company for the quarter and year ended March 31, 2024

1. Further to our communication with respect to the conference call to discuss the financial results of the Company for the quarter and year ended March 31, 2024, please find attached herewith the transcript of the said conference call conducted on Friday, May 31, 2024 at 04:00 P.M.

2. The above is for your information and record please .

For Cochin Shipyard Limited

SEC/48/2017 -63 June 07, 2024

The Manager
Compliance Department
BSE Limited
Phiroze Jeejeebhoy Tower
Dalal Street
Mumbai – 400 001 The Manager
Compliance Department
The National Stock Exchange of India Ltd.
Exchange Plaza
Bandra – Kurla Complex, Bandra (East)
Mumbai – 400 051
Scrip Code/Symbol: 540678/COCHINSHIP
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“Cochin Shipyard Limited
Q4 FY '24 Earnings Conference Call ”
May 31, 2024

MANAGEMENT : MR. MADHU S NAIR – CHAIRMAN AND MANAGING
DIRECTOR – COCHIN SHIPYARD LIMITED
MR. JOSE V J – DIRECTOR FINANCE – COCHIN
SHIPYARD LIMITED
MR. NEELAKANDHAN A N – CHIEF GENERAL
MANAGER , PLANNING & PROJECT MANAGEMENT –
COCHIN SHIPYARD LIMITED
MR. RAJESH GOPALAKRISHNAN – CHIEF GENERAL
MANAGER , SHIP REPAIR – COCHIN SHIPYARD
LIMITED
MR. HARIKRISHNAN S – CHIEF GENERAL MANAGER ,
SHIPBUILDING – COCHIN SHIPYARD LIMITED
MR. SHIBU JOHN – GENERAL MANAGER , FINANCE –
COCHIN SHIPYARD LIMITED
MR. SYAMKAMAL N – COMPANY SECRETARY –
COCHIN SHIPYARD LIMITED

MODERATOR : MS. CHANDNI CHANDE – KIRIN ADVISORS

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Moderator: Ladies and gentlemen, good day and welcome to Cochin Shipyard Limited Q4 and FY '24 Conference Call hosted by Kirin Advisors. As a reminder, all participant lines will be in the listened only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an

operator by pressing star then zero on your touch-tone phone. Please note that this conference has been recorded.

Ladies and gentlemen, the call duration is for one hour. I now hand the conference over to Ms. Chandni Chande from Kirin Advisors. Thank you and over to you, ma'am.

Chandni Chande: Thank you. On the behalf of Kirin Advisors, I welcome you all to the conference call of Cochin Shipyard Limited. From management team, we have Shri Madhu S Nair, Chairman and Managing Director; Shri Jose V J, Director of Finance; Shri Neelakandhan A. N., Chief General Manager, Planning & Project Management, Shri Rajesh Gopalakrishnan, Chief General Manager, Ship Repair; Shri Harikrishnan S., Chief General Manager, Shipbuilding; Shri Shibu John, General Manager, Finance; Shri Syamkamal N., Company Secretary. Now I hand over the call to Shri Madhu S Nair. Over to you.

Madhu S Nair : Thank you. Good evening and a warm welcome to the conference call of Cochin Shipyard Limited. As has been briefly mentioned, I'm Madhu S Nair, Chairman and Managing Director of Cochin Shipyard Limited; and the senior officials whose names have just been introduced are with me. As the CMD of Cochin Shipyard Limited, I'm proud to present the outstanding performance of the company for the last financial year. Let me begin by highlighting some of our significant achievements during Q4 2024 till date.

On the new orders, from January 2024 till date, we are happy to announce the signing of the contract with a prominent European client for the design and construction of Hybrid Service Operation Vessel, Hybrid SOV, which is slated for delivery in the year 2026. Subsequently, CSL has secured another contract from the same client for the design and construction of a Hybrid SOV with an additional option for 2 more such vessels expected to be completed by end of 2026. Both these contracts put together is in the range of INR1,000 crores to INR1,200 crores.

Furthermore, our wholly-owned subsidiary, UCSL, has secured an order for a 70-ton Bollard Pull Tug for Polestar Maritime Limited and another order for 3 numbers of 70-ton Bollard Pull Tug for Ocean Sparkle Limited. Other wholly-owned subsidiary, Hooghly Cochin Shipyard Limited, HCSL, has secured an order for the construction of 2 numbers of 40-ton Bollard Pull ASD Tugs for Industrial Handling Private Limited. All these orders aggregate to around INR250 crores to INR300 crores.

On the ship repair front, CSL has entered into a contract with the Indian Navy for undertaking medium refits of two Indian naval vessels, the value of which comes to around INR150 crores. Additionally, CSL has signed the Master Ship Repair Agreement, MSRA, with the United States Navy, which will facilitate the repair of U.S. naval vessels under the Military Sealift Command in our shipyards.

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We are honoured to have the Honourable Prime Minister of India flag off India's first indigenously-built Hydrogen Fuel Cell Vessel, a remarkable achievement that underscores our commitment to sustainable maritime solutions.

We have also delivered two state-of-the-art Hybrid Electric Catamaran Hull Vessels for the Kochi Metro Rail Limited under the Kochi Water Metro Project. Our subsidiary, UCSL, has also delivered a vessel named Ocean Splendour, a 62-ton Bollard Pull Tug built for Ocean Sparkle Limited and a 70-ton Bollard Pull Tug named Konna Star, for Polestar Maritime Limited.

ited.

Turning our attention to other major events, the Honourable Prime Minister dedicated the International Ship Repair Facility, ISRF and the world's first stepped dry-dock to the nation on January 17, 2024, marking a significant milestone in the augmentation of India's maritime capability. These projects are significant for the company as it's the highest capex, around INR2,769 crores, ever made by CSL in its long journey of over 50 years.

The civil work for the new dry-dock project, including the dock floor, caisson gate, pump house and substations, etcetera, has been fully completed and the installation and commissioning of the 600-ton gantry crane are currently in progress and the new dry dock is expected to be fully in operation by August 2024.

The ship lift system, 2 workstations and afloat repair berth of ISRF project at Willingdon Island is operational and it is expected that ISRF will be fully operational after the completion of certain allied work by August 2024. We have also successfully carried out the maiden surface run of the High Endurance Autonomous Underwater Vehicle, HEAUV, at our ISRF facility in Kochi, meeting all the required parameters.

CSL has also been awarded the prestigious Kerala Industrial Safety Award 2023 under the category of Very Large Factories in Engineering instituted by the government of Kerala, reaffirming our commitment to excellence in safety standards.

Turning my attention to the financial performance of the company. I'm pleased to report that

Cochin Shipyard has registered its all-time high turnover in the financial year '23-'24, surpassing the previous high achieved in the financial year 2019-'20.

On a consolidated basis, the turnover in 2023-'24 stands at INR3,830.45 crores compared to INR2,364.55 crores in '22-'23, representing an increase of 62 percentage. Furthermore, our profit before tax in '23-'24 has reached INR1,070.94 crores, 156 percentage increase from the INR418.44 crores recorded in '22-'23. Our profit after tax in '23-'24 is INR783.28 crores, 157 percentage increase from the figure of INR304.71 crores in the previous year.

It is also worth mentioning that the company's ship repair turnover has crossed INR1,000 crores and the net worth of the company has clocked INR5,000 crore mark for the first time in the history of CSL. For the financial year '23-'24, CSL derived 72 percentage of its total operating income from shipbuilding activities and the remaining 28 percentage came from ship repair operations. Within the shipbuilding segment, 46 percentage of the revenue was generated from Cochin Shipyard Limited
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the work on the Indigenous Aircraft Carrier and the remaining 54 percentage work from other shipbuilding projects.

The ship repair units, apart from the main unit in Kochi, performed well during the year.

CMSRU, CSL's Mumbai Ship Repair Unit, registered a revenue of over INR150 crores; and CANSRU, CSL's Andaman & Nicobar Ship Repair Unit, achieved a turnover of about INR100 crores. The other ship repair unit, CKSRU, also demonstrated reasonable performance.

Regarding the subsidiary companies, Udupi Cochin Shipyard Limited, UCSL, which CSL had acquired through the IBC process, has turned around completely. It's recorded a total revenue of INR186 crores, a PBT of INR3 crores and a PAT of INR1 crore during the financial year compared to a loss of INR9 crores in the previous year. The order book position of UCSL stands at approximately of INR800 crores as on date. The other subsidiary, Hooghly Cochin Shipyard Limited, HCSL, has started securing new orders, with a total order value of approximately INR150 crores as on the reporting period. The company is optimistic about achieving a good execution rate in the upcoming financial year for HCSL.

In recognition of our financial performance, the Board has recommended a final dividend of

INR2.25 per share, aggregating to INR59.19 crores. Coupled with the interim dividends paid during the year, the total dividend for the financial year '23-'24 amounts to INR256.50 crores, which is 32 percentage of the profit after tax.

Furthermore, I would like to remind that the company has redeemed its tax free bonds amounting to INR100 crores in December 2023 and as of now, the company is practically debt-free, with only INR23 crores as long-term debt. Also, the company in January 2024, completed the split of equity shares in the ratio of 1:2, that is one equity share of face value of INR10 each was split into 2 equity shares of face value of INR5 each.

Turning our attention to the status of vessels under construction. We have made significant progress across various shipbuilding projects. On the anti-submarine warfare shallow water craft corvette, ASW-SWC, we have a total of 8 vessels under contract, with 3 vessels launched in November 2023 and the machinery outfitting of these vessels are underway. The keel has been laid for a further 2 vessels, that is number 4 and 5 in the series, in December 2023 and the hull block erection is progressing steadily. The remaining 3 vessels, vessel number 6, 7, & 8 are in advanced stages of fabrication.

With regards to the Hybrid Electric Catamaran Hull Vessels for Kochi Metro Rail Limited, under the Kochi Water Metro project, we have a total of 23 vessels under contract, of which 14 vessels have been delivered and the remaining 9 vessels are under various stages of construction. For the 7,000 deadweight Multi-Purpose Vessel project for European clients, we have a total of 8 vessels under contract and block erection and outfitting are underway for 2 vessels, while the keel has been laid for other vessels, which are in various stages of construction. Additionally, we have 2 Commissioning Service Operation Vessel, CSOV and 1 number of 12,000 cubic meter Trailer Suction Hopper Dredger, all of which are under block fabrication stage. Notably, the Hydrogen Fuel Cell Vessel, we have completed its trial and that sailed off from CSL to Varanasi on 18th May 2024.

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As we look towards the future, I'm pleased to inform you that our current order book position is healthy, with approximately INR22,000 crores of unexecuted orders, including the ship repair orders, which typically amounts to a little bit of higher level than earlier times at about INR1,200 crores at this given point of time.

These achievements are the result of hard work, dedication and innovative spirit of our entire CSL team, right from the senior management to the worker level. I'm confident that with the continued support of all stakeholders, we will maintain this momentum and drive sustainable growth that will create value for our shareholders.

For the financial year 2024 -'25, we would like to guide with a target of 20 to 25 percentage increase in the top line. Our PAT level will have to be tempered due to the higher depreciation cost from the commissioning of the ISRF and the new dry dock project. We expect to sustain the EBITDA at the level which we have previously guided.

Thank you for your patient hearing and now we would be happy to take any questions. Thank you, Jai Hind.

Moderator: Thank you very much. We will now begin the question-and-answer session. Our first question is from the line of Deepak Krishnan from Kotak Institutional Equities. Please go ahead.

Deepak Krishnan: I just wanted to understand, you said the EBITDA margin previously guided, so in the range of 18% to 19% on a consolidated. Is that understanding correct?

Madhu S Nair: Can you just repeat that last part of the question? You were talking about the EBITDA margins?

Deepak Krishnan: Yes, sir. You said EBITDA margins will be in the range of previous guidance. So does that imply more closer to the 18%

to 19% on an annual basis EBITDA margin guidance?

Madhu S Nair: That's right.

Deepak Krishnan: Sure, sir. And maybe just a follow-up on that. Factors that drove such high EBITDA margin this quarter. Is it largely due to the INR400-odd crore ship repair contract that we have that continues till Q1 FY '25 and the IAC -1 sitting in our book? Are those two factors having margins ahead in this particular quarter? Or was there any one-off factor?

Madhu S Nair: It's not one-off. It's the large things, as you rightly said. We had good projects and project execution, both on the ship repair side, aided by the aircraft carrier in the dock and the IAC revenue is also coming in. So there has been good traction, both on the execution side, ship repair and shipbuilding. So it's not largely one-off.

Deepak Krishnan: Sure. And maybe just a follow-up question. The agreement that we have, the MSRA, when do we kind of see any orders coming through? Or is it just like a prequalification? And how does things really progress from the signing of the MoU?

Madhu S Nair: It is a formal agreement and we are expecting inquiries and offers will be submitted. It will have to be taken through. But as a company, we'll push for earlier starts on this. I'm not able to give timelines on this, but it's a full agreement and we'll have to get into execution at the earliest.

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Deepak Krishnan: Sure. But is there like a guaranteed volume or anything that you can kind of comment on?

Madhu S Nair: No guaranteed volumes. But the company has been evaluated thoroughly and the final inspections were in Jan by a 17-member team spread over 3 days and the feedback has been excellent.

Deepak Krishnan: Maybe just one follow-up. If you could indicate the order backlog within sections, defense - you've given the overall number of INR22,000 crores, but within defense, commercial, commercial exports.

Madhu S Nair: It will be uploaded immediately after this call.

Deepak Krishnan: Okay, maybe I will just come back on the questions after a while.

Moderator: Our next question is from the line of Umesh Raut from Nomura. Please go ahead.

Umesh Raut: Good evening and Congratulations for the good set of numbers. Sir, my first question is pertaining to future prospect pipeline on the ordering side, both on shipbuilding and ship repairing. Could you please highlight key projects which you are expecting in next couple of years?

Madhu S Nair: Ship repair, Rajesh, can you just throw light on the ship repair part in brief?

Rajesh Gopalakrishnan: Yes. Ship repair, as was mentioned briefly, typically, ship repair, we don't maintain a long term order book because inquiries keep coming and we quote and take orders. But this particular year is slightly different because we already have secured firm orders for almost for the full year and most of them are mainly from the Navy, a couple of large weapon platform refit projects and of course, one major conversion project from the Navy.

Along with that, there are also MoU projects which we are handling for the Lakshadweep Administration. These are all almost assured projects. So from that sense, the order book for this particular year for ship repair looks quite well settled and final figures will actually be revealed when we complete the negotiations especially on the naval projects.

Madhu S Nair: On the shipbuilding side, you're talking about further order inflow. You'll have to wait a little bit to see on the defense side. And on the international side, as was briefly mentioned, we have secured this recent two contracts for the Hybrid SOVs. And I won't be able to give you much more information, but I can tell you that there is good traction we are seeing on similar vessels

from Europe and we expect to sign more contracts. Naturally, with a caveat that's 'all going well'.

Umesh Raut:

Okay. A follow-up on shipbuilding prospects. So basically, there is a next corvette order which is in the pipeline. And what we are hearing, there are about 4 shipyards which are now shortlisted by MoD to participate into the tender. So just wanted to clarify whether Cochin Shipyard has qualified in that particular order or not.

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Madhu S Nair : I wouldn't want to comment on that specific information because it's not a formal communication kind of a thing. So we would not want to comment on matters which would be the prerogative of the Indian Navy .

Umesh Raut: Okay. Got it, sir. My follow-up on repairing side is more of on the utilization of new facilities, which got commenced recently. How you are planning to kind of ramp up revenue from that particular facility?

And maybe in the medium to longer term, maybe 3 to 5 years down the line, what kind of repairing top line you are seeing? And along with that, maybe what kind of margins you are kind of seeing more of sustainability to maintain on the repairing side?

Madhu S Nair : See, the facility for ship repair , ISRF has been commissioned, as I briefly mentioned. We expect this to be put into operations from August '24 onwards. We are coming up shortly with a global tender for a global operating partner, which will be out in the open shortly. And over the next few years, we expect significant revenues to come in, but I wouldn't want to put figures on to this, we have our internal projections and we have a plan of action. But it probably would not be proper to put this across in the open at this stage. But number of vessels, there will be , because as we already said, the facility is to cater to 82 vessels in a year of size less than 130 -meter in length. So you were wanting a guidance in 3 years to 5 years' time, but I can say for sure that in 3 years to 5 years, it will actually touch that kind of numbers on the ship repairs. We would not want to put money values into it at this stage.

Umesh Raut: And sir, on the margin side, is it fair to say that 25% to 30% is more of a sustainable EBIT margin range for ship repairing business?

Madhu S Nair : My Director Finance would like to guide you to 22 to 23 percentage.

Umesh Raut: Okay. So sir, that is more of at the company level, right, at a blended shipbuilding plus ship repairing level, right? I was asking more of from the repairing point of view only.

Jose V J : It would not be prudent to take Q4 performance or this FY23 -24 performance be taken as the guidance, because in FY24 , since there a better execution, the EBITDA level is higher. But going forward, the blended level, you can expect around the 17% - 19%.

Madhu S Nair : We always say 17% to 19% for the blended level. We would like to be conservative, but we would like to say 17% to 19%. Ship repair, we would like to say 22 to 23 percentage. Probably, you can take a little bit of your views, but we would like to convey these levels on a prudent basis.

Umesh Raut: Got it. Fair enough, Sir, you have mentioned in your opening remarks that depreciation costs from '24 onwards will go up significantly. Is it fair to assume that new capacity will have a depreciation rate of closer to, say, 6% and maybe additional cost of about INR50-odd crores incrementally on a base of '24?

Jose V J : Both capacities put together is around INR2,800 crores. So the additional depreciation will be around INR125 crores to INR150 crores , not exact .

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Umesh Raut: Okay. But would that be applicable from FY '25 onwards? Or that will come up in phases ?

Jose V J : We are planning to fully commission that project by August '24. So around 8 months, it will be there . The depreciation will be there for almost 8 months of the financial year.

Umesh Raut: Got it, sir. My last question is more of on the balance

sheet side, where if I look at inventory position for FY '24, that has increased by about 40 days. If I look at on an average in the last few years, we were maintaining closer to about 45, 50 days, but for '24, it was closer to 100 days. So was there any particular reason behind this?

Jose V J : Now both ASW and NGMV , projects are coming to the production stage. So a lot of materials have started reaching CSL. So the inventory has gone up this year and high value equipments also. For NGMV project , the material component is quite high.

Umesh Raut: Okay. Got it. And similarly, advances from customers, that has also seen marginal drop as compared to FY '23 and FY '24. So would that continue, assuming that our execution from ASW Shallow Water Craft and NGMV will go up only from current level?

Jose V J : Yes, it is likely to come down. The advance of customers was mainly from the NGMV project, but now since the execution started, the advance will come down.

Umesh Raut: Okay. Got it sir. Thank you.

Moderator: Our next question is from the line of Pritam from Wealth Way . Please go ahead.

Pritam: My question is regarding decarbonization and the opportunity for Cochin Shipyard in green vessels. So how big is the opportunity for the hybrid vessels, zero emission vessels, both large and the medium -sized as well as the green tugs, patrolling boats, etcetera?

We saw some orders coming along on those fronts and also how we are technologically advanced when we will have to compete against a few of those Japanese or Korean companies also perhaps with the European policy that is coming up by 2027 -'28 that they are probably levying penalties for the diesel petrol boats and more efforts towards green?

Madhu S Nair : On the green vessels, from an international point of view, CSL has got a generally good footing in the European market and we expect orders to come in from that segment. Many of the companies are looking at options and would like to talk to Cochin Shipyard. We are expecting orders from that side. So we have set in motion. I don't want to use the word firmly entrenched, but we are almost there in the international functional vessel part. Specialized vessels like wind construction vessels and other specialised vessels, we are generally good.

Coming to the Indian market, you were alluding to the green tug policies and other things. And we again feel there would be a good opportunity for CSL and for other shipyards also. But we have been working on this for quite some time. We are expecting at least 8 to 10 vessels being ordered over the next year or so by the major ports through private entities and of course we expect to be very much actively parked in those process. I'm not in a position to say exactly what Cochin Shipyard Limited

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we will get, but both international green vessels on the functional vessels side and Indian vessels on the green tug side, we are good.

The other thing on the green vessel side, green ferries and other things, what we are talking, it will not translate into too much of business at this stage, but we would be frontrunner in all those aspects. You also asked a question on the technology and competition. We are good on that. We are good from a competitive point of view and we have our methods to do appropriate partnerships and collaborations . So that is not a great worry at this stage. I presume this gives you an overall feel of this space.

Pritam: And regarding Kochi Water Metro station, do you see replicas of those coming in other areas of India? Are there any inquiries or potential sales could be coming ?

Madhu S Nair : It is not exactly the same, but definitely, there is. I can confirm that the Bengal government is talking projects. We are actively involved there. There are others also. So we are also waiting for the outcome.

Moderator: Our next question is

s from the line of Vivek from Shanti Financial . Please go ahead.

Vivek: Congratulations . The entire shipyard sector itself catching the fancy of the market and Cochin is probably the pioneer for everything to do within defense. I'd like to understand, broadly, you mentioned that you have an order book of some sort, but then there are so many other projects in the pipeline. So I guess to understand the breakup of - what are orders on hand? You mentioned around only INR1,200 crores. What is the size of the volume of such mix? What's the size of the revenue that is part of your pipeline?

And I'd also like to understand if there's going to be a call transcript that's going to be posted on your website or any of the normal financial websites for us to take stock of the numbers that you mentioned, because there are many projects and many different numbers that have been discussed?

Madhu S Nair : Regarding the order book and the order possibilities, I would request you to kindly wait till end of this call and immediately thereafter, we are uploading a presentation in which there are 2 slides giving a fair bit of information on the order position. But the overall for a figure, INR22,000 crores from both shipbuilding and shiprepair out of which about INR15,000 crores is the defense part and the balance is the non -defense part.

The ship repair component of order book is about INR1,250 crores, which normally, if you have been following us earlier, we always used to guide about the order book of INR600 crores, INR700 crores. So ship repair order book is also at much better level right now. But you will get more information when we upload this after this call.

Moderator: Our next question is from the line of Viraj from Jupiter Finance. Please go ahead.

Viraj : Congratulations, sir, on the good set of numbers. My question is regarding the guidance. You

gave a growth of 25% and EBITDA of 19% to 20% EBITDA margin. So the PAT should be in the range of 12% to 14%, is that correct to think, number one?

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Number two, what are the factors making you - giving you some confidence that the growth will be double digit, maybe 20%, 25% on the revenue growth? That's my question number two.

My other question is on the ship repair sir, like with U.S. the strong connection plus Europe, what kind which will give you more colour in terms of growth in the ship repair business for a bit of time. Just your sense. I'm not asking for a guidance, but just your sense for a period of time to understand? Thank you sir. That's it from side.

Madhu S Nair : On the growth guidance, 20 percentage to 25 percentage on the overall turnover in FY25. You are aware that shipbuilding and ship repair for the year, we talk based on contracts in hand and our current execution status and the confidence is based on that. So that's the top line growth on both shipbuilding, ship repair together.

Your next question was on ship repair, connected with the MSRA with the U.S. Navy. Currently, financial figures from MSRA has not been factored in. Our ship repair story, what we have conveyed is based on what we are currently in and what we are seeing our potential to see over the next 12 to 18 to 24 months.

We will not be able to record it, but we are also tracking continuously in the market what kind of orders in the ship repair space will come, both from defense and from our friends in the commercial space. So it is based on that.

Specifically on the U.S. MSRA, see, all I can say is it's a very significant step for Cochin Shipyard. Because the U.S. vessels, both the - what we call the MSC sealift vessels and the combatant vessels, there are a lot of challenges and a lot of requirements, but Cochin Shipyard has been cleared after a long and detailed assessment. The entire team have been happy with our performance and what we have done

e.

But we are waiting for the first order and probably the second order to come in and to exactly convey to people like you how exactly it is going. But all in all, if I may use the word, it is a very positive step for Cochin Shipyard. I would not want to add figures on it.

Viraj : Sir, my follow-up on this would be that as the aircraft carrier comes, this will be additional to all the guidance, right? My thinking is correct in this direction?

Madhu S Nair : That is correct.

Viraj: Thank you Sir and good luck.

Moderator: Our next question is from the line of Sagar Gandhi from Invesco Mutual Fund. Please go ahead

Sagar Gandhi : My question is related to IAC -2. So I'm not asking you whether it will come or not, but if it has to come, will it be '26 or '27?

Madhu S Nair : Sagar Gandhi, your guess should be as good as mine and there would be - if at all I have better information, I will not be able to share it also here. That's all.

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Sagar Gandhi : Okay. Sir, my second question is considering that next 2 years are likely to be very heavy in terms of delivery or revenue bookings, so in absence of IAC -2 will FY '25 or '26 still see peak revenue?

Madhu S Nair : We don't want to consider it that way. Because with IAC -2, there is a plan of action. Without IAC-2, if at all such a scenario happens, I think we should still have a plan of action, both on our defense and non-defense side. Defense also, there are projects coming in. We will be there strongly. Non-defense and the export side, as we have just explained in interactions earlier, we feel things are good.

So we don't want to talk about peak revenue as a company. We want to continually grow both top line with a steady-state margin levels. So IAC -2 coming in definitely would be great and welcome, but in case, because it's not under our control and there are lot of other reasons how it will move forward, but we would nevertheless confidently talk growth at least for the next 5, 6 years as of today.

Sagar Gandhi : Okay. And sir, when is our new shipbuilding facility getting commissioned? Ship repair you said August 2024?

Madhu S Nair : Shipbuilding, also August '24. It is actually that the crane is getting installed, we probably are putting a picture after this call. So, the crane is halfway through. So the crane gets commissioned and a little bit of work. So August this year, we expect to start shipbuilding work in the new facility.

Sagar Gandhi: Okay. Thank you so much sir.

Moderator: Our next question is from the line of Dhiraj from Samvad Financial Services LLP. Please go ahead.

Dhiraj: My one request, which you have already said that we will be putting the presentation, but it would have been better had the presentation being circulated in advance. That would help reduce and improve the understanding for all of us. So just a request, in future, whenever you do a call, please pre-circulate presentation in advance.

Madhu S Nair : We will do that. That's a positive suggestion and we'll do that for sure.

Dhiraj: And second part, while we do kind of path breaking work, but at least there is no update about what kind of R&D, whether do we have an R&D laboratory or research lab or IP kind of things, patents, etcetera.

Can you share some insights and share whatever you can disclose on those parts? Are we protecting our IP, because we are doing so much good amount of work. Any thoughts of management? And if you can disclose what exactly your effort on that side?

Madhu S Nair : You're bringing out a very, very important point. See, Cochin Shipyard, due to historical reasons, we have been a shipbuilder and ship repair and it's not been too much of an R&D and IP kind of thought process. But over the last many years, the kind of knowledge that is coming up in the Cochin Shipyard Limited

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company that is why by 2021, we set up a new division called the CSL Strategic & Advanced Solutions (C-SAS).

And I can tell you, we have set it up as a new division. Our divisions are shipbuilding and ship repair, the business division, so we did not call this new C-SAS as a group, we actually call it as a division, wanting to convey to ourselves and to the external stakeholders that this is actually potential growth area for us.

And within the new C-SAS is where we are doing this innovative work, including the hydrogen fuel cell vessel and various other things which we have conveyed. Currently, we have commenced works on a fully indigenous autonomous surface vessel and it is a 24-month project. We are already about 6, 7 months into the project.

And we are teaming up with the DRDO, IITs and at least 7 startups. Similarly, there are other work also being undertaken. Regarding IP and protecting the knowledge, yes, there are certain aspects and certain things which we are doing. But a little bit beyond the IP, we are recording, we are documenting and we are holding on to the knowledge spot much better and C-SAS will be our vehicle to take this forward.

Dhiraj: Thanks a lot for updating and performing so well. Just one more suggestion. In the annual report for FY '24, if you can give some, whatever you can disclose about your research and IP, that would be appreciated. Anyway you are supposed to disclose the answer. Just a humble suggestion.

Madhu S Nair : And whatever that's possible we can do, we'll absolutely do.

Dhiraj: Thanks a lot and wish you all the best.

Moderator: Our next question is from the line of Gagan from ASK Investments. Please go ahead.

Gagan: The first question is on this very significant addition to gross block of almost INR2,800 crores. What could be the peak fixed asset turnover one could expect on this?

Jose V J : Kindly repeat that question please?

Gagan: I'm saying that your current gross block is probably closer to INR1,300 crores, on which you are doing a sales turnover of INR3,400 crores or more. On this new gross block addition that you're doing, this new capex of INR2,800 crores, which will get added to the gross block? What could be the potential fixed asset turnover on that? What could be the peak fixed asset turnover on that?

Jose V J : It will be around, I don't have the exact numbers right now. It will be around 2, once the operation in both new facilities get stabilised.

Gagan: Okay. So I mean, when these capacities are fully utilized, you are saying essentially INR5,500 crores, INR5,600 crores contribution to sales can come from them eventually when they are fully utilized.

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Madhu S Nair : I think it's safe to assume that way.

Gagan: And would it be possible for you to elucidate in a little more detail your pipeline on the commercial side pertaining to hybrid vehicles sorry, hybrid vessels, especially which we're

getting from European or Scandinavian countries. Some idea of the pipeline that is possible from there?

Madhu S Nair : What we already have contracted, you will get this information when we upload these figures. But when we are talking about pipeline and what the potential possibility of the pie outside is, all I can say is there's enough on the green vessel, on the short sea vessels getting replaced that's enough. But Cochin Shipyard what we are looking at it is not just about grabbing orders. It is also to make sure that we are generally good.

I won't say exact, but we are generally and largely good with execution and what we can handle. And within that, we want to maximize the, what shall we say, the value for the company, which would be a combination of financial and strategic insights. So we are also a bit choosy. Choosy about the project, choosy about the client, choosy about how much of ri

sk, because any new

aspect we are getting into the European market, because these are new things even in the European market. So risk is also a factor. So it's a combination of these things. As an organization, we want to be prudent. We want to be aggressive, but at the same time, we want to be very prudent in what we do. But I can tell you, currently, there is enough in Europe for a company like Cochin Shipyard. That is what I would like to say, if that answers your question.

Gagan: All right, sir. And this shipbuilding, ship repair order book of INR1250 crores, is that executable in less than 12 months? Or is it executable in 12 months or more?

Madhu S Nair : It spreads beyond that also. But then that is not the ship repair. There will also be orders we'll pick up as we go also during this year. It is not that we pick up, for example, if we are talking about everything today, that means that for the next 10 months, we won't pick up any new work for this year. That is not the way we do ship repair. Maybe 2 months down the line, I would be picking up various other orders also for execution within this year itself.

But we are, again, targeting significant growth in our ship repair top line also for this year as we move forward. We are happy and you would have noted that for the first time in our history, we crossed the INR1,000 crores on ship repair. It's a tough job, ship repair, but between Cochin Shipyard units, the three ship repair units elsewhere and the upcoming ISRF, we are still hoping to do a good increase in top line as we move forward. And we again feel there is good traction in the market to support that kind of a growth.

Gagan: Final question, sir. You mentioned the additional depreciation from the new facilities, but there would also be additional employee and overhead costs related to the new facilities. Can you give some idea of what could be the additional leverage and inventory costs coming from the new facility?

Madhu S Nair : We may not be able to put an exact figure on it, but all I can say is like the new facilities, which the new dry dock, let me say, the new dry dock is not a stand-alone facility. It is contiguous to Cochin Shipyard Limited
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the percent Cochin Shipyard main unit. So largely, we are leveraging the existing facility. So it would be marginal additions on the labour side.

And wherever is core labour, that is what it will be our own. Otherwise, there will be a significant part which is outsourced on a business on need basis. But the core aspects, let's say the plant maintenance because it's a brand new facility, we would put our own people to handle that facility. Similarly, on the ISRF side, if you were there earlier on the call, I have mentioned that we are looking at an operational partner. I can't disclose more details at this stage, but this will be coming out in the open when we do the tender hopefully within a month from now. We are trying to bring in a global operating partner. So again, it is not just about increasing the number of people, but again, in ISRF also, it's a brand-new ship lift and crane, which would be our own core people who will handle the electronics and the ship lift.

So we are cognizant of the fact. We don't want to be brought up anything. But it will be more marginal. It will not be a multiplier kind of a thing, depending on the size and scale.

Gagan: When you say you're looking for a partner, can you elaborate a little more on the business contents of this? Is the partner the one who will operate the ship repair facility, which will be owned by you? What exactly are the contents of this project?

Madhu S Nair : I won't get into too much detail, but the partner is not just to do the work, it is to make sure that we are best-in-class in the world. Turnaround times for us in ship repair, we are good in India. We are good generally, but we are not t

he best. We still need significant improvement. And for that significant improvement, we need to learn and work with some of the best in the world. We need to leverage some of the ecosystem, which is supply chain and service provider chains, which many of them have developed in places like Singapore or the Middle East. And we also would like to see them coming in with their clients. So it is, a close example would

be the Indian airport, when it's been , some of the leading Indian operators have work ed on this, but then they are also in league with some of the best international operators. I would like to stop at that, but that is our whole i ntention.

Gagan: Thank you.

Moderator: Our next question is from the line of Deepak Krishnan from Kotak Institutional Equities. Please go ahead.

Deepak Krishnan: Maybe just one follow -up. Just wanted to understand how are we looking at a potential IAC execution time line, given that we've already guided in the past. So suppose the order comes through, how many years for design and typical execution after that from fit -out launch as well as in final delivery?

Madhu S Nair : Again, this is something which we wouldn't want to talk too much. But whatever we have said on record earlier, if next carrier, when it comes, is largely based on the same or similar platform as what was Vikrant , then we have said we are somewhere around 8 to 10 -ish years. This is what we have said. But I would like to stop at that because, again, it's the prerogative of the MoD and the Indian Navy to talk more on this.

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Deepak Krishnan: Sure, sir. Maybe just any outlook on the landing platform though? Initially we had indicated that, tha t project could be potentially coming up for RFP over the next 2 years. Anything that you're seeing incrementally positive on that front?

Madhu S Nair : Not yet. Probably maybe after the elections and the new government comes in, maybe there will be tractio n on that.

Deepak Krishnan: Thank you.

Moderator: Thank you. Ladies and gentlemen, that was the last question for the day. I now hand the conference over to Ms. Chandni Chande for closing comments.

Chandni Chande: Thank you, everyone, for joining the confe rence call of Cochin Shipyard Limited. If you have any queries, you can write to us at research@kirinadvisors.com. Once again, thank you for joining the call.

Moderator: Thank you. On behalf of Kirin Advisors, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thanks.

Call: Aug 2025

Dear Sir / Madam ,

Subject : Transcript of Investor / Analyst Conference Call to discuss the Financial Results of the Company for the quarter ended June 30, 2025

1. Further to our communication with respect to the investor/ analyst conference call to discuss the Company's financial results for the quarter ended June 30, 2025 , please find attached herewith the transcript of the said conference call conducted on Tuesday, August 19, 2025 at 03:30 P.M.

2. The above is for your information and record please .

Thanking You,

For Cochin Shipyard Limited

SEC/48/2017 -63 August 26, 2025

The Manager

Compliance Department

BSE Limited

Phiroze Jeejeebhoy Tower

Dalal Street

Mumbai – 400 001 The Manager

Compliance Department

The National Stock Exchange of India Ltd.

Exchange Plaza

Bandra – Kurla Complex, Bandra (East)

Mumbai – 400 051

Script Code/Symbol: 540678/COCHINSHIP

“Cochin Shipyard Limited Q1 FY'26 Earnings Conference Call ”

August 19 , 2025

MANAGEMENT : SHRI MADHU S NAIR – CHAIRMAN & MANAGING DIRECTOR

SHRI JOSE V J. – DIRECTOR , (FINANCE) COCHIN SHIPYARD LIMITED

SHRI RAJESH GOPALAKRISHNAN – EXECUTIVE DIRECTOR , SHIP REPAIR

SHRI HARIKRISHNAN S. – EXECUTIVE DIRECTOR , SHIP BUILDING

SHRI SHIRAZ V P – CHIEF GENERAL MANAGER (PLANNING & PROJECT MANAGEMENT)

SHRI SHIBU JOHN – GENERAL MANAGER , (FINANCE) COCHIN SHIPYARD LIMITED

SHRI VULLI HARANATH – DEPUTY GENERAL MANAGER & EA TO CHAIRMAN & MANAGING DIRECTOR

SHRI SYAMKAMAL N. – COMPANY SECRETARY

MODERATOR : MS. CHANDNI CHANDE – KIRIN ADVISORS PRIVATE LIMITED

Cochin Shipyard Limited

August 19 , 2025

Moderator: Ladies and Gentlemen, Good Day and Welcome to the Q1 FY26 Results Conference Call of Cochin Shipyard Limited, hosted by Kirin Advisors Private Limited.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity

for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded and scheduled for one hour.

I would now like to hand the conference over to Ms. Chandni. Thank you and over to you, ma'am. Chandni Chande: Thank you. On behalf of Kirin Advisors, I welcome you all to the conference call of Cochin Shipyard Limited.

From Management Team, we have Shri Madhu S Nair – Chairman and Managing Director ; Shri Jose V J. – Director , (Finance); Shri Rajesh Gopal akrishna n – Executive Director, Ship Repair ; Shri Hari krishnan S . --Executive Director, Ship Building ; Shri Shira z V P – Chief General Manager, Planning and Project Management ; Shri Shibu John – General Manager, (Finance) ; Shri Vulli Haranath – Deputy General Manager and EA to CMD ; and Shri Syam kamal N – Company Secretary.

Now, I hand over the call to Shri Madhu Nair. Over to you, sir.

Shri Madhu S Nair: Good Evening, Everyone and Welcome to the 1st Quarter Results Conference Call of Cochin Shipyard Limited for the Financial Year 2025 -26. The people present in this call from the Cochin Shipyard Limited side has already been mentioned.

Let me “Briefly Share the Highlights of the First Quarter .” During this quarter, CSL secured new orders for building two 70 -ton bollard pull tugs from M/s. Polestar Maritime Limited . CSL also secured an order to build a Luxury River Cruise Vessel from Heritage River Cruise Journeys through Hooghly Cochin Shipyard Limited.

On the delivery side, we handed over 19th Electric Hybrid Water Metro Boat to Kochi Metro and Udupi -CSL delivered its first dry cargo vessel to the European client.

We also signed two important MOUs that will strengthen our global collaboration. With Dry docks World UAE, MOU was signed to explore the development of ship repair clusters at Kochi and Vadinar.

With HD KSOE of South Korea, we intend to jointly explore new shipbuilding opportunities, share technical expertise, and work together to scale up productivity, capacity utilization, and workforce skills. These partnerships will help us position India more strongly in the global market and will

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help to achieve the targets envisioned in the Maritime India Vision 2030 and the Maritime Amrit Kaal Vision 2047 Documents.

I am also pleased to report that both our major capital projects, namely the new Dry dock and the International Ship Repair Facility, (ISRF), have been completed and are now operational. This marks an important step in expanding our capabilities and strengthening our long -term growth prospects.

Turning to the “Financial Performance ,” we reported a turnover of Rs.1,068.59 crores in Q1, up from Rs.771.47 crores in the same quarter last year. Profit before tax was Rs.249.54 crores compared with Rs.235.82 crores last year and profit after tax rose to Rs.187.82 crores from Rs.174.23 crores. Our EBITDA margin for the quarter stood at 28% and PAT margin at 18%. These results reflect steady growth and operational strength.

Our order book remains good at about Rs.21 ,100 crores. This includes ship repair order book also of approximately Rs.1,500 crores. The balance out of the Rs.21,100 crores is the shipbuilding order book which is about Rs.19,600 crores across 75 vessels in the Kochi facility, the Udupi CSL and the Hooghly CSL. Out of the 75 vessels on order, 25 vessels are in design and construction stage, that is in the early stages , 37 are under

fabrication and assembly stages, which is in the mid stages of the shipbuilding cycle and 13 vessels have been launched and are in advanced stages of completion.

This concludes my brief overview of the first quarter. We value your trust and continued support and with that we are happy to have questions from our investors and from all of you. Thank you.

Moderator: Thank you. We will now begin the question -and-answer session. The first question comes from the line of Sucrit Patil from Eyesight Fintrade. Please go ahead.

Sucrit Patil: Good afternoon to the Cochin Shipyard team. I have two questions. My first question is to Mr. Madhu Nair and second is to Mr. Jose. Good afternoon, Mr. Nair.

Shri Madhu S Nair: Good afternoon.

Sucrit Patil: Just touching base on your previous calls, I have a forward -looking question. In the last few calls, you spoke about defense exports, green vessels and using modular construction for faster shipbuilding. Now that the revenue has grown considerably on the positive side this quarter, are you planning to build a full digital shipyard model where AI and smart sensors and modular systems will work together to reduce the build time and improve global competitiveness? Is there a roadmap to make Cochin Shipyard a global center for smart naval manufacturing? Thank you, sir.

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Shri Madhu S Nair: See, we will invest into modern systems, especially on the engineering side. On the production side also, there would be digital tools and gadgets being adopted. But, as you pointed out, we are not currently talking about moving entirely into a smart shipyard kind of a configuration. We will take facets out of what is smart, but we will not be a fully fly-by-wire kind of smart shipyard. That is not on the anvil. But, yes, we will adopt technology wherever it is required.

Sucrit Patil: Okay, great. Thank you. And my follow-up question is to Mr. Jose. I believe he is on the call today.

Shri Jose V J.: Yes, I am there. Go ahead.

Sucrit Patil: Yes, sir. So, I just want to understand from a financial point of view. As Cochin Shipyard is trying to invest in new tech, build modular yards and export plans, how do you decide where to spend first, like, is there a system that helps you balance short-term profits with long-term growth? I just want to understand how you approach the whole thing. Thank you.

Shri Jose V J.: We have a long-term plan. This is 2030 and 2047, based on which we have set certain priorities based on the sectors in which we have to invest. So, based on that, we have a long-term investment plan. Accordingly, we will do that based on the merits of each case.

Sucrit Patil: Okay, fine. Thank you very much and I wish the entire team best of luck for the next project ahead.

Shri Madhu S Nair: Thank you.

Shri Jose V J.: Thank you.

Moderator: The next question comes from the line of Deepak Krishnan from Kotak Institutional Equities. Please go ahead.

Deepak Krishnan: Yes. Sir, I just wanted to understand the HD KSOE announcements, the dry docks announcements, as well as sort of other sort of announcements with Maersk. Each of these three, at what stage are we in terms of getting anything on the ground – are we looking at building a separate shipyard with HD or in terms of medium term, what could potentially be the revenue potential that could kind of come through from all of these ventures? What are we planning to do? By when and what is the sort of revenue that we are looking at?

Shri Madhu S Nair: With HD KSOE, we are talking largely ship building and that too merchant ship building. If you are asking for a timeline for such things, we will start with engagement from our Cochin facility.

You are aware that in the Cochin facility, we have completed a new large dry dock, which is a 310 meter large dry dock. So, the initial approach would be to make sure that

that dry dock is leveraged

to its optimal or its best capacities for which what we are thinking at this stage would be to create additional fabrication capacities aligning with HD KSOE's thought process and using that fresh Cochin Shipyard Limited

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fabrication capacities to build more vessels in a much more competitive timeframe from this new dry dock. So, the dry dock is already completed, it is already operational, but to use that dry dock to build more vessels in more competitive framework. So, this is HD KSOE's core engagement. Along with it, naturally there will be skill sets improvement, there will be training improvement and there will be engineering cooperation. So, it is actually a comprehensive, I am using the word comprehensive and long term. So, it is a comprehensive long term association with HD KSOE on the ship building side. With the Drydocks World Dubai, it is actually ship repair, which is the core focus. It could also encompass other areas, but then it is ship repair to start off with. And the intent is again long term. As you are aware, Drydocks World is one of the most respected ship repair and specialist ship building organizations in the Middle East. So, with them, the intent is to leverage the newly completed international ship repair facility at Cochin to again to start off with, so that the working relations and the methodologies are strengthened. And once we get into that, we have also discussed further expansion of that cooperation. But again, that would be ship repair at the initial stages. Overall, we are talking about anything between three to five years for these things to actually mature and come. Certain things, the ship repair part could happen in the next one and a half to two years onwards. The ship building part, as you are fully aware, will take a little bit more time. But largely, we are talking about a horizon of around three to five years for these things to fructify. The important part to note here is both these organizations, HD KSOE, as we are speaking, the number one ship building group in the world from Korea, and Drydocks World, Dubai is potentially one of the most reputed groups in the world from Middle East. So, these relationships, again, I use the word long-term, these relationships are strategic in nature, pure business-driven, and the teaming up is working very well. That is all I can say at this stage. I am not in a position to paint any financial figures out of both these associations at this stage. But these are very critical, very important, and with a long-term view for our organization and from HD KSOE and Drydocks World point of view. You also touched upon the Maersk MoU. This is again multiple fronts, start of ship repair and people skilling. At a later stage, there could also be ship building. But initially, we would be happy to target to get the ball rolling. This financial year, trying to get one vessel of Maersk to be repaired in our ship repair facility at Cochin. Again, I will not want to paint financial figures onto this. But again, Maersk being one of the most leading shipping companies in the world, we take pride in this association.

Deepak Krishnan: Sure, sir. Maybe I just wanted to understand on the order pipeline given on the slide 2.2 trillion, out

of that 1.29 trillion is at RFI stage for the defense side and the Rs.65,000 crores on the commercial front. In this context, also wanted to understand where we are in terms of IAC -2, any developments since the last earnings call that we have had? So, the pipeline for both defense commercial and IAC, if you could give any updates on all of those?

Shri Madhu S Nair: See, the pipeline on the defense, what we wanted to convey is that there is enough and there is a strong order pipeline. There are a few projects which have already crossed the bidding stage and we have bid against that. There are others in

the interim stage at the RFI stage and there will be more

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to come. All we wanted to paint is that there is enough from the defense side that is coming in. On the commercial side, what we have projected is we are not talking whatever is there in the world, that kind of assessment we feel does not have a meaning for us. But what Cochin Shipyard is looking at where there have been some form of interactions and some thought process, that is what we are painting here. Both look good. So, we will run our defense establishment also strongly, we will run our commercial establishment also strongly, and we feel the pipeline is good for that. There was a third point which was asked. IAC -2, again, we are not in a position to convey anything. I can say that there are no fresh developments to report. That is all I can say. I think we are hopeful, but we are not in a position to hazard a guess on the timelines.

Deepak Krishnan: Ship repair, we have seen very strong margins. I think it is a function of both the two IACs, Vikrant, and Vikramaditya under repairs getting executed. Now that those orders are out, how are we looking at overall margins for the year? And specifically, any comments on the two segments between ship building and ship repair, how are we looking at the margin profile for FY26?

Shri Jose V J.: Ship repair last year, as you rightly said, there were two aircraft carriers. So, we may not have that much margin coming from ship repair this year. Still, ship repair will do a decent performance this year maybe around Rs.1,500 crores levels. But the margin may not be at the level of what you have seen last year.

Deepak Krishnan: And sir, on ship building?

Shri Jose V J.: Ship building also, as you rightly said, that the ship building margin is not at the level of ship repair. It is around 10% to 12% normally. So, that kind of margin we can expect from ship building also.

Shri Madhu S Nair: So, on an overall PAT level, we would guide -

Shri Jose V J.: Around 15% on a PAT margin level.

Deepak Krishnan: Sure, sir. Thanks for all the answers.

Moderator: The next question comes from the line of Dhiraj Dave from Samvaad Financial Services, LLP. Please go ahead.

Dhiraj Dave: Thanks a lot for providing me an opportunity and congratulations on great set of numbers. My first question is basically on both these JVs. Do we expect further CAPEX to be incurred or the new JVs should be CAPEXed?

Shri Madhu S Nair: You are not coming fully clear. Can you get it better?

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Shri Jose V J.: Two JVs, whether it will have more CAPEX from CSL side?

Shri Madhu S Nair: See, on the HD KSOE side, as we are moving forward, there will be CAPEX in, as I said, new workstation facilities. We are discussing this. We are not in a position to comment at this stage, but there will be more CAPEX. On the Dry docks World side, we are already having the ship repair facility with a ship lift and six workstations already completed. So, for that, there would not be further CAPEX. But teaming up with Dry docks World, when we expand further the business, we will look at CAPEX. And whether it is CSL or whether it would be together, these are early days, we may not be able to comment on it, but it will call for further investments given the opportunity.

Dhiraj Dave: Yes. And my suggestion from my side is when you give us a presentation, please try to include an order movement also over a period, because basically, we get all the sales figures and everything. But since it is a material, at least whatever order in hand or order pipeline, please show that also over a quarter or over a year whatever is convenient and what you want to convey. That will help us. It gives us context. Orders in hand.

Shri Madhu S Nair: Order book has been given in the slide -

Dhiraj Dave: Yes, y

es. I know. But it is basically that order book of like say Rs.2 lakh crores. Now, last year it was Rs.1,50,000 crores or Rs.2,50,000 crores. So, what my suggestion would be that at least over a year if you can compare, it helps us to understand.

Shri Madhu S Nair: Okay. Okay. Noted.

Dhiraj Dave: Thanks a lot and thanks for giving the opportunity. Thanks.

Moderator: The next question comes from the line of Naman Jain with Kotak Institutional Equities. Please go

ahead.

Naman Jain : So, a couple of questions. One is you gave the PA T guidance of 15%. If possible, can you also give top li ne growth guidance for the year?

Shri Madhu S Nair: Top line, for the current year from where we were last year, we consider 14 % to 15% top line growth.

Naman Jain: Okay. Thank you. And secondly, on the two new facilities which you have created, obviously, the ISRF will be used at a faster pace from our new M oU as far as what I have understood. What sort of asset turn or maximum, because obviously, this is the first facility which you will use, right , so, what is the top line that you can potentially generate from here before we move on to the additional CAPEX as we scale up our ship repairing business?

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Shri Madhu S Nair: So, for ISRF, we hope in about the initial 18 to 24 months we sh ould go to about Rs.250 crores of extra revenue. And then, full blown condition, we go to about a Rs.600-plus crores.

Naman Jain: Okay. And similarly, sir, if you can share something on the new drydock also if possible, that will be very helpful ?

Shri Madh u S Nair: That is a little bit difficult to decipher it that way, because that gets reflected in the overall top line , because shipbuilding you can not exactly put it into one facility because a drydock does not produce ships , the overall ecosystem produces ships. Ship repair, again is much more with clarity.

Naman Jain: Correct. And lastly, sir, if you can share something as an basis the current facility we have and the current revenue we are generating from shipbuilding, how much more CAPEX we will need, let us say, if we want to double our revenue size for shipbuilding eventually in four, five years given we are already anyways growing at 14 %-15%, so, we will double likely in five years. So, what more CAPEX will we need, if you have some estimate?

Shri Madhu S Nair: See, in various discussions earlier, we have said by about 2030 -31, somewhere around that period, we should, as you said, double our turnover kind of a level for which we may not need too much CAPEX as we are, because we have already complete d almost a Rs.3,250 crore s of CAPEX cycle across the two facilities and some of our subsidiaries. So, that has been done over the last, say, about seven years , that is completed. Going beyond double that figure, which is something like Rs.10,000, 11,000, Rs.12,000 crores in about 2030 -31, crossing that threshold and moving forward is where we will invest the CAPEX now, because any CAPEX we are investing now will take some time to turn around and shipbuilding facilities are not very easy to build up, it take s time. So, we are talking about that CAPEX, which we will invest over the next, let us say, five years or so, and you will see the outcomes of that coming beyond 2030 kind of a requirement.

Naman Jain: So, from now on, we will be generating free cash primarily from our existing facility ? Got it.

Shri Madhu S Nair: This is the intent.

Naman Jain: Okay. Thank you.

Moderator: The next question comes from the line of Akhilesh Gupta, an individual investor. Please go ahead.

Akhilesh Gupta : Hi! First of all, congratulations on a good set of numbers. So, I just wanted to know on the increased Maritime Development Fund that the government has announced around 70,000 crores , how much of it are we going to tap onto?

Shri Madhu S Nair: So, the Maritime Deve

lopment Fund, the contours have not com e in fully in public domain. But the Maritime Development Fund is essentially a fund for multiple uses. It will help fund ship owners to

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place orders for ship building in India , it will support in case an organization like Cochin Shipyard Limited wants to, there could be an equity part in it, there could be a debt part in it. So, funding could be available from the Maritime Development Fund. But it is essentially a pool. It is a specialist maritime financial pool. We should take it at that point. It is not a grant from the government. It is not just money it is not just available as a freebie kind of thing. That is not what we are talking. But it will take into account the specific nature of requirements in the ship building and the shipping industry. It is not just for ship building; it is also for shipping. So, as I said, for example, if we need investments which are long -term in nature, and we need a part of that as equity, potentially the MDF could come in as an equity par tner, the MDF could come in as a loan at an affordable rate. So, we are not in a position to say exact figures on this, but we are factoring in the MDF into our discussion.

Akhilesh Gupta: Okay. Thank you so much.

Moderator: The next question comes from th e line of Dhanraj Tolani, an individual investor. Please go ahead.

Dhanraj Tolani: I just wanted to know like what is the current utilization rate of your, I would say, new drydock or ISRF facilities?

Shri Madhu S Nair: The new ISRF, as we are speaking, we have... Rajesh, how many vessels?

Rajesh Gopalakrishnan : 14 vessels .

Shri Madhu S Nair: 14 vessels are under various stages of repair in the ISRF. When we say this, we say that the total

strength of ISRF is 82 ships per year. That is what we are talking. We currently have 14 vessels at ISRF. And on the new drydock, we are not in a position to talk about a utilization factor kind of a thing. It is not normally talked about in dock days. But right now, there are three vessels being built in the dock and there will be one dredger which will come in for ship repair. So, it is actually being utilized to the full right now. But we are not probably in a position to give you a percentage kind of a thing as we speak.

Dhanraj Tolani: Do we have any plans to expand to offshore renewables or allied?

Shri Madhu S Nair: Plans to expand?

Dhanraj Tolani: Sorry?

Shri Madhu S Nair: I did not get that question.

Dhanraj Tolani: Do we have any plans to expand to offshore renewables or allied segments?

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Shri Madhu S Nair: No, not right away.

Dhanraj Tolani: Okay. And currently, given the current order book, so what about revenue growth we expect in FY26?

Shri Madhu S Nair: Revenue growth FY26, as I said, 14 to 15 percentage.

Dhanraj Tolani: Okay. And also, like, how do you balance between domestic projects and higher margin international commercial projects?

Shri Madhu S Nair: This depends on . We have given our order book in the presentation. So, we have projects on hand, both from the defense, we have domestic, commercial, we have export. So, it is a balance between this and it is from a business point of view and it is from an infrastructure point of view. So, I think if we can just have a look at the order book portion, which we have presented, you will get a fair feel of what we are trying to do.

Dhanraj Tolani: So, are we taking any steps to upscale our workforce for that or -?

Shri Madhu S Nair: Yes, Very much. We have continuously the multiple levels of skilling for the workmen. There are capability and capacity development for the officers and supervisors. So, that is an ongoing process and we are putting in quite some effort in that direction.

Dhanraj Tolani: Okay. Thank you. That is all from my side .

Moderator: The next

question comes from the line of Priyal Jain from Green Capital. Please go ahead.

Priyal Jain: Hello, how are you, sir? So, I am new to the company and just wanted to understand a few things.

Can you give me a breakdown of the profitability profile across your domestic commercial and export orders?

Shri Madhu S Nair: We have put in a few more details in the presentation that is already uploaded. Would it be good ? Because that is too general and too large a question to be answered pointedly. But if you have a few pointed questions, maybe we will be able to answer it. Otherwise, it is going to be difficult because it is very general what we have been asked for.

Priyal Jain: Fair enough, sir. Okay . A few more questions like, if you can give me about working capital requirement for such large order pipeline?

Shri Madhu S Nair: Can we request you to send in your most important question by e -mail to company secretary? We will respond to it.

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Priyal Jain: Yes, sure, sir. If you can give me a few pointers like what opportunities we see in India's defense push and how is company placed to benefit?

Shri Madhu S Nair: Overall, the company is today more confident , and it is a robust company from a n operational point of view and from a financial point of view. We are cautious and optimistic both at the same time because that has been our DNA. We are aggressive, at the same time conservative. So, we take that path, which we think keeps us going strong into the future. From a country's point of view, the country is very strongly promoting shipbuilding as a mainstay of the Indian industry. The government policies have never been this supportive. So, we are also very clear in this whole ecosystem, using the opportunities, the global major players are looking at India as a potential collaborator , Cochin Shipyard is one of the most sought -after companies by the global partners , and for us also, we are sensing that the opportunity in India is good to do this global partnerships. So, overall, the company today where it is, it looks good , and give it a five-year horizon, give it a 10 -year horizon, both look good. So, this is what I can say. And we have generally guided, as I said, this particular financial year, we can guide a top line growth of 14 % to 15 %. But generally, we say a guidance of 10 % to 12 %, which is what we have seen in this industry. This industry has got a cyclical nature. Factoring all of those, we are confident to guide a 10 to 12 -year growth prospects over the next five to 10 years or more. So, would that answer your question in general?

Priyal Jain: Hi, yes, fair enough, sir. Just one more question like how should investors interpret the shift in revenue mix between shipbuilding and repair?

Shri Madhu S Nair: I would desist from answer that . That is that is something which people like you should advise

them. Our job is to run the company transparently, trustfully and with credibility, how the investors have to look into investing, we leave to the market.

Priyal Jain: I told you earlier that I am new to the company like seeing the current momentum where I can see you and like Cochin Shipyard in the next five years ?

Shri Madhu S Nair: Somewhere around double this turnover, strong company and very strongly alive and kicking.

Priyal Jain: Fair enough, sir. Good to hear. All the best. Thank you. That is it from my side.

Moderator: The next question comes from the line of Aditi Roy , an individual investor. Please go ahead.

Aditi Roy: Good afternoon, sir. What is your strategy to build recurring revenue streams beyond the ship building?

Shri Madhu S Nair: Can you repeat that question once again?

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Aditi Roy: Yes, sir. What is your strategy to build recurring revenue streams beyond the project of ship building?

Shri Madhu S N

air: Essentially, the company is in ship building and ship repair. Ship building and ship repair, the current method and the market is ship building , we do not build the stock , it is an EPC business. So, we scout for orders , we look at the segment that is available and we pick up what is available and from amongst what is available , what is the best suited for us. This is in ship building. Ship repair is a continually flowing market. There are always ship repair requirements and it is a business where the company is continuously in connect and touch with the major ship owners. So, it is a continual business where we look at requirements over the next anywhere within three months to the next year, year, and a half kind of future business. So, the business has got its own nuances and we follow those nuances because essentially, this is all stemming from shipping which is the mother industry for this.

Aditi Roy: My next question is, how significant our exports as a part of your long -term growth strategy?

Shri Madhu S Nair: Exports are very important as part of our long -term strategy because we are focused on a specialist vessel export into Europe and we are also now along with potential partners like HD KSOE from Korea we are looking at the merchant vessel export segment also. So, exports is very important in our scheme of things. On the commercial ship building side, if you have looked at our figures, you will see that we are having a defense ship building part and we are having a commercial ship building part. The defense ship building, as we are speaking, it is only for the Indian Navy. So , it is 100% Indian. But the commercial ship building, we will very strongly focus on the export business also.

Aditi Roy: What cost pressure are you facing in steel equipment or manpower and how are they being managed?

Shri Madhu S Nair: Again, as I said, we are not building to stock. It is actually we bid for projects and once the projects come in we tap our supply chain. So, we are exposed only between the bidding stage and till the construction phase. Over the years, we have developed a fair bit of experience to tide over such situations , and largely at the bidding stage, we consider the current market pricing to be passed on to the clients and that is how the market also takes it normally.

Aditi Roy: Okay, sir. That is from my side. Thank you, sir and all the best.

Moderator: The next question comes from the line of Harsh Shah from Shree PMS. Please go ahead.

Harsh Shah: Good evening, sir. Thank you for the opportunity. Sir, if you could throw some light on the government's focus on the upcoming shipbuilding clusters across the country, how will that affect the industry in general and our company to be very specific, sir?

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Shri Madhu S Nair: The government of India is putting an emphasis on developing shipbuilding as a large industry from multiple points of view, from strategic important point of view, from country's industrial infrastructure point of view, the requirement to build more ships for the domestic market also in India and from a large -scale employment generator point of view , and from a point that this is an industry which churns up a lot of ancillary industries and MSMEs. So, from that point of view, the government is very focused. The government is looking at this by development of multiple clusters across various Indian coastal states. The central government along with the states are trying to work on this. At this stage, the initial scouting of the locations, the initial policy and support systems between the central government and largely with the state government that is being presented, multiple interests are looking at this, but it is too early days to comment on how exactly these clusters will come up . But it is very gratifying to note that most of the coastal states, Odisha, Andhra

Pradesh, Maharashtra, Gujarat and Tamil Nadu to mention specifically are very keenly looking at this. How it will impact the market? The expectation is that the Indian shipbuilding industry will have significant growth into the future. What opportunities and what challenges it

opens up ? Cannot say for sure, but for sure, one thing is clear that the shipbuilding industry is going to be much more stronger under the direction of the central government. That is all we can say and we will see potential foreign players, collaborations, especially countries like Korea and Japan, potentially investing into some of these clusters in India.

Harsh Shah: I understand, sir. Thank you so much for the explanation. All the very best.

Moderator: The next question comes from the line of Rupam Jaiswal from Invest well Agents. Please go ahead.

Rupam Jaiswal: I wanted to know about the repair number. You said in this financial year, how much are we going to do in terms of ship repairing? And last year you did two aircraft carriers. So, is this the repair finished?

Shri Madhu S Nair: Yes, last year we had the aircraft carrier. So, that is why that figure was pretty good. This year, still, we are expecting to do fairly good figures ; so we are expecting to do about Rs.1,500 crores of ship repair revenue in FY26. So, if you have seen our figures, we have grown from about a Rs.1,000 crore s to Rs.1,875 crores, which was a little bit of a one -off because of the aircraft carrier repair. But when compared with that, we hope to do good this year also at about Rs.1,500 crores.

Rupam Jaiswal: Okay, sir. And one more thing, sir. Cochin Shipyard has a master agreement with the US Navy. So, are we expecting ships from them in terms of repairs?

Shri Madhu S Nair: We have the master ship repair agreement with the US Navy. There are discussions ongoing, but we are probably not in a position to comment. We have not concluded any ship repair engagement with them as of today. That is all I can say.

Rupam Jaiswal: So, are we expecting that we will receive any ships for the repairs?

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Shri Madhu S Nair: So, we are working towards it. Being the US Navy and being an MSRA, we will not be able to comment, but we are working towards it.

Rupam Jaiswal: Okay. And one more thing, sir. In terms of ship building, what is the capacity in terms of how many ships can be built in terms of commercial or in terms of defense , what is the capacity of number of ships that can be built consistently ?

Shri Madhu S Nair: That is a slightly difficult question to answer , because it depends on the size and scale of the ship, the complexity of the vessel. So, we normally do not talk about a number. See, as we are speaking today within the group, that is within Cochin Shipyard, Cochin unit, Udupi -CSL and Hooghly - CSL, there are 75 vessels, but you will have to measure these vessels . They are of different sizes and scales, but there are 75 vessels under contract. And in our presentation, when we say under contract, what is physically being constructed is 37 plus 13 , that is 50 numbers are under various stages of construction , 25 are under design and engineering stage. So, it is very difficult to say what is the number of vessels to be constructed. We would rather request you to look at the overall financial figure of Cochin Shipyard as an indicator of what we can actually build.

Rupam Jaiswal: Okay, sir. And one more thing, sir, in terms of commercial ship building, like you were very optimistic in the types of order you will be getting and you are bidding for it also. So, do we have the design and technology like for the Panamax or the FSRU, like those kind of ships which are more for LPG or crude oil , do we have the technology or the design to build those ships?

Shri Madhu S Nair: Typically, there are a fair bit of capabilities available in India, but it

is also a measure of the market

and what the client would need. Does he need it because an Indian designed ship or a Cochin Shipyard designed ship probably is being designed for the first time or the experience or the proof in the market is yet to come. So , there may be clients who may want to look at ships which are in the market, what I call proven designs or from proven design houses. So, we will look at both options, but largely we will look at teaming up with international players to build merchant vessels. There would be projects which we will handle in India within Cochin Shipyard or within the design establishments in India in the private sector space.

Rupam Jaiswal: Okay, sir. As far as I remember, we were building one dredger for the Dredging Corporation of India. So, have we completed that project and have we delivered it?

Shri Madhu S Nair: It is not yet completed. In fact, we are facing some challenges in the delivery timelines on that vessel. But in the next one month, we are launching that vessel. That vessel is at advanced stages of construction. So, we will launch the vessel , that means the vessel will be in water in the next about a month and thereafter it will take a few months for us to get it delivered to the client.

Rupam Jaiswal: Okay, sir. Thank you so much, sir.

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Shri Madhu S Nair: Thank you.

Moderator: The next question comes from the Sachin Maniyar with 3P Investment Managers. Please go ahead.

Sachin Maniyar: Hi, sir. Good afternoon. Yes, my first question is on the order book of the defense for Rs.13,700 crore s. Can you give a rough breakup for the larger platforms?

Shri Madhu S Nair: Rs.13,700 crore s, 14 vessels spread across two projects ; one project is in ASW Corvette, which is about Rs.3,700 crores unexecuted order , and the remaining part out of Rs.13,700 crores is a project

called the Next Generation Missile Vessels , that is six ships.

Sachin Maniyar: And my second question is on the defense order pipeline, which you have shown in the PPT of almost Rs.2,20,000 crores. Can you give me a few of the larger platforms that have been included here in the bid stage, RFP stage and RFN stage?

Shri Madhu S Nair: There are two projects worth about Rs.10,000 crores for which bids have been submitted. There are a few small projects about Rs.1,000 crores, which are in the RFP stage. And getting into the RFI stage, the large projects are what is MCMV, the Mine Countermeasure Vessel, the P-17 Bravo Vessel, the LPD. Those are the vessels that are RFI or yet to be RFP ed stage.

Sachin Maniyar: Okay. So, Rs.10,000 crores order, which are these two projects?

Shri Madhu S Nair: One is with the Coast Guard. This is the Next Generation Fast Patrol Vessels. How many vessels was that? That was 18 vessels for the Coast Guard. And then there is this Next Generation Survey Vessels for the Indian Navy.

Sachin Maniyar: Okay, sir. Sure, sir. Thanks.

Moderator: The next question comes from the line of Harsh from Toro Wealth Managers LLP. Please go ahead.

Harsh : Thank you for the opportunity. I wanted to understand that in FY24, we had higher EBITDA margins of almost 24% and right now, we are close to 19% , even in last year, we are expecting it to be lower because of changing product mix. So, is there a change in mix versus FY24 as well when we had clocked higher margins?

Shri Jose V J.: The EBITDA for the company for the Q1 is 28%.

Shri Madhu S Nair: Correct , it is 28% for Q1, but we are guiding that it would be lower, right, for the entire year.

Shri Jose V J.: Yes, Correct.

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Harsh: So, I am just trying to compare , at a blended level, we would be lower, say around 20 %-22% versus blended if I have to take a number from FY24 numbers , I was just trying to understand that , was there a difference in the product mix versus

a couple of years before as well . Because last year you mentioned that there was this order which was there which will not be in this year . I just want to try to understand, is there product mix changing across the years which is splitting the margins?

Shri Jose V J.: Yes. See, the year before we had the aircraft carrier building. The last year we had the aircraft carrier repair also. So, both the margins were on slightly higher side. But this year, we do not have such large projects. So, the EBITDA will be around 20% , that is what we guide overall.

Harsh: Okay. And do we expect to get these aircraft orders again in future?

Shri Madhu S Nair: The ship repair ones will come. It is a cycle through which the ship repair ones will come. As we discussed the next aircraft carrier, we are not in a position to discuss at this stage because we hope it will come , but timeline we are not in a position to talk.

Harsh: Okay. Thank you.

Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Ms. Chandni for the closing remarks .

Chandni Chande : You may write to us at research@kirinadvisors.com. Once again thank you for joining this call. Thank you, everyone.

Shri Madhu S Nair: Thank you.

Moderator: Ladies and gentlemen, on behalf of Kir in Advisors Private Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.